

Sustainability – The Long View

2026 EMEA Sustainable Investing Back to School – Signs of Hope

- SFDR Universe: Art 9 funds are outperforming YTD.** Article 8 and 9 equity funds remain the core of the SFDR fund landscape by assets. However, in 2026 YTD, Article 6 has absorbed the bulk of inflows (+\$262bn), while Article 8 is modestly positive (+\$24.3bn) and Article 9 is slightly negative (-\$1.6bn). The nuance is that index funds are still gathering across categories, while non-index strategies are seeing outflows in both Article 8 and 9. Against this backdrop, the YTD outperformance of non-index Article 9 versus Article 8/6 stands out as a notable reversal versus 3Y/5Y patterns, and—if sustained—could be a precondition for rebuilding confidence as flows tend to follow performance.
- EU domiciled thematic funds: AI & geopolitical shifts benefit Energy Transition.** EU thematic AUM is sizable (\$482bn across 27 themes) with Energy Transition and AI among the largest buckets, and thematic strategies have (so far) acted as a relative “safe harbor” versus the ongoing rise of passive. What matters in 2026 is that flows are converging around two macro forces: security in a fragmented world and AI-driven capex. Both support “hard” geopolitical themes (Political, Security, Space) and “enabling” build-out themes. Year-to-date, Energy Transition has led inflows (+\$6.2bn), while Political/Security and AI + Big Data have also attracted meaningful demand.
- Regulatory pragmatism:** EU policymakers are converging on ambition with simplification: the EU is seeking to preserve Green Deal objectives while easing the implementation burden amid tighter fiscal space and geopolitical pressure. The EU ETS 1 reform debate reflects this, with a package that remains broadly ambitious but includes both bullish and bearish elements for medium/long-term EUA pricing. We also see a pivot from “market-only” levers to a blended toolkit—transition investment plans, tighter industrial-policy alignment, and more pragmatic protectionism (e.g., CBAM). In sustainable finance, pragmatism is rising too: transition investing is being defined more “mixed,” SFDR 2.0 timelines are extended (implementation unlikely before 2029), and simplification is filtering through CSRD/ESRS and bank disclosures even as climate risk is embedded into prudential supervision. The UK echoes this direction but with greater near-term uncertainty, with the Autumn Budget key for clarity as policy tries to balance net zero, energy security, and affordability via power market reform.
- Thematic Stock Ideas:** We highlight six thematic opportunity sets across EMEA (Overweight-rated names, anchored in fundamental research): **Electro-Sovereignty** (28 stocks, 35% avg upside), **Climate Adaptation Enablers** (11, 28%), **EMEA AI Beneficiaries** (8, 55%), **Cyber-security** (5, 39%), **Circular Economy** (30, 33%), and **Shareholder Activism** (5, 33%).
- ESG Backlash: a reality check on climate commitments & shareholder proposals.** Perception of “greenlash” often exceeds measurable retrenchment. We updated our Holding the Line report. We find that most EU companies have maintained their climate targets vs.2024, with revisions limited and downgrades concentrated in high-emitting sectors (notably oil & gas), typically driven by exogenous shocks or strategic realignment. In parallel, the 2026 voting season shows fewer proposals globally but sustained focus on core “G” topics, with EU maintaining a higher share of E&S proposals than the US.



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Executive Summary

SFDR Universe: Art 9 Funds are outperforming YTD

Sustainable Funds (Art 8 & 9) still represent the majority of the SFDR Equity funds market. Art 8 funds account for 51% of AUM, while Art 9 funds represent only 3%. In absolute terms, at the end of July 2026, SFDR Article 8 & 9 equity funds held a combined \$4,456.4bn (Article 8: \$4,190.2bn; Article 9: \$266.2bn), up slightly vs. Jan 2026 (\$4329.6bn, inc. \$4074 for Art 8 and 255.3bn for Art 9).

Non-Index Funds are challenged: Overall, flows into Art 8 are in positive territory YTD. Since January 2026, net flows into Art 8 have reached \$24.3bn. Art 9 funds, on the other hand, experienced -\$1.6bn of net flows. Meanwhile, Art 6 funds received \$262bn of inflows. This balance reflects a strong shift vs. what could be observed pre-2022. Flows into Art 6 funds have kept accelerating since 2023. However, the picture looks more nuanced once one separates index funds from non-index funds. For index funds, net flows since Jan 26 are in positive territory for all categories (\$2.6bn for Art 9, \$52.5bn for Art 8 and \$220bn for Art 6). However, for non-index funds, outflows can be observed for Art 9 (-\$4.2bn) and Art 8 (-\$28.2bn).

Wait & See Mode? So far in 2026, 135 Article 8 equity funds and just 4 Article 9 funds have been launched. This is only 39% of the number of funds launched in 2025, capturing what seems to be a significant slowdown in new products, likely explained by regulatory uncertainties around SFDR 2.0.

Trend reversal – a sign of hope for sustainability focused strategies? YTD, we observe a reversal of trend, with Art 9 outperforming both Art 8 and Art 6, suggesting that sustainability focused strategies are benefitting from a positive momentum. This “outperformance” of sustainability focused funds is also confirmed when analyzing our universe using our proprietary classification of funds. This represents a significant shift vs. previous periods, esp. 5Y and 3Y, where Art 9 / Sustainable strategies underperformed. Given that flows tend to follow performance, this represents an encouraging sign in our view.

EU domiciled thematic funds: AI & Geopolitical Shifts benefit Energy Transition funds

Energy Transition & AI are among the largest themes: As of July 2026, total thematic AUM across 27 themes stood at ~\$482bn. The largest themes by assets were Broad Thematic (\$74.8bn), Energy Transition (\$66.1bn), Multiple Tech Themes (\$49.1bn), Artificial Intelligence + Big Data (\$40.4bn), and Resource Management (\$40.1bn), followed by Security (\$35.7bn) and Robotics + Automation (\$32.9bn).

A safe harbor vs. the rise of passive investing? Thematic funds are, at least for now, a “safe harbor” against the rise of “passive investing”. Non-index funds continue to dominate, holding \$385.3bn (~80%) of thematic AUM, while index funds account for the remaining \$96.6bn (~20%). However, as shown later, we observe that themes which have recently gained traction (e.g. Security) are dominated by index funds.

ET, Political / Security & AI drove received the highest inflows: Year-to-date, Energy Transition (+\$6.2bn) drew the largest inflows, followed by Political (+\$4.3bn),

Security (+\$3.9bn), AI + Big Data (+\$2.4bn) and Space (+\$2.2bn). In our view, geopolitical shifts & the rise of AI are the two “overarching” themes, with capex deployments being driven by the need for security & energy in a fragmented world.

EU Regulatory Developments: Mission Simplification, Beware of Execution

Balancing Act: In the EU, policymakers continue to strive to strike an optimal balance between the challenges of competitiveness, geopolitics, and sustainability. In our view, the EU is seeking to preserve as much of the ambition of the Green Deal as possible, while easing some of the implementation-related burdens on small and medium-sized businesses. The geopolitical and energy shock triggered by the war in the Middle East has served as a wake-up call to accelerate a green and sovereign transition through electrification, although significant implementation challenges, inc. member states’ fiscal constraints, remain for the EU.

EU ETS 1 Reform – a mix of bullish & bearish developments: One of the most discussed regulatory developments has been the reform of the EU ETS, which remains a landmark green policy of the EU. While it is still subject to change as the co-legislators will seek a common ground on the proposal that was published on July 17th, our view is that the current proposal still maintains a rather high level of ambition. Views on the implications of the reform on medium- and long-term EUA prices are mixed, given that the package contains a mix of bullish and bearish elements.

Carrots & Sticks & more pragmatism on protectionism: A change of approach is however visible: “market driven” mechanisms are increasingly complemented by other mechanisms (e.g. transition investment plans – reinforcing the strategic importance of financially grounded transition plans for ETS-covered companies), and a better coordination with industrial policy and – where relevant – trade policy, as the EU becomes more pragmatic on protectionism. For example, we recall that the CBAM already represents an additional EUR 43 to 135 EUR per imported ton of steel, as of 2026, and could increase further as the EUA price increases. Our view remains that the EU will increasingly seek a better balance between the use of “sticks” and “carrots” to incentivize decarbonization, while remaining attentive to the need to maintain and support domestic industrial capacity.

Circular Economy, Adaptation & Digital through a sovereignty & resilience lens: Looking ahead, we expect the Circular Economy Act, which will be presented in Q4, to be shaped by the need to strengthen the sovereignty and resilience of key materials value chains—bringing circular inputs, recyclability, and the affordability of recycled materials to center stage. We also expect climate adaptation to gain traction, as this summer’s events will likely reshape the EU policy conversation on adaptation and resilience, with a heightened focus on cross-border disaster response, infrastructure (including buildings) adaptation, and agricultural insurance and reinsurance. Finally, we see digital sovereignty as a theme that is also gaining momentum, supported by strong, “learning-by-doing” policy progress.

EU Sustainable Finance Framework: Toward a Pragmatic Softening

The EU sustainable finance agenda is trending toward pragmatic softening. The EU Parliament's vote on SFDR 2.0 has slipped to at least September amid MEP disagreements over transition fund exclusions. In our view, the direction of travel is that co-legislators will be shifting from a purely sustainability-driven stance on "transition investing" to a "mixed approach" i.e. defining transition as "investing in assets that benefit from the transformation of energy systems, while also favoring issuers that are implementing credible GHG-reduction actions that go beyond business as usual". We recall that implementation of the upcoming changes is unlikely before at least 2029.

Simplification efforts: The same scope-narrowing and burden-reduction runs through CSRD, ESRS, and EBA disclosure simplification—though climate risk is, conversely, being embedded into prudential supervision.

UK Regulatory Developments: Uncertainty & Pragmatism

Waiting for the Autumn Budget: The upcoming Autumn Budget is expected to provide greater clarity on the policy priorities of the new Burnham government, including its approach to sustainability.

Green policies & Energy Security: MPs adopted the Seventh Carbon Budget (24 Jun 2026) targeting ~87% emissions cuts in 2038–2042 vs 1990, alongside claims the net-zero economy supported >1m UK jobs and £105bn GVA in 2025. Policy also prioritizes energy security via an Energy Independence Bill to speed domestic renewables, plus nuclear progress (Sizewell C early construction at ~£38bn, summer 2039 target; Rolls-Royce SMR advances with public funding).

Electricity Market reform & affordability: Electricity market reforms aim to weaken the gas-power price link by offering ROC generators a voluntary move to fixed-price CfDs, raising the Electricity Generator Levy to 55% above £83/MWh, and ending Carbon Price Support in April 2028. Power prices may fall as CPS is removed, though a possible UK ETS–EU ETS link could dampen the drop and has no set timeline.

Sustainable Finance: In parallel, recent sustainable finance developments have signaled a pragmatic regulatory direction, with a focus on alignment with ISSB standards while seeking to limit incremental reporting burdens on companies.

The UK SDR-labeled fund market is still niche: as of 30 Jul 2026 it had 103 funds (5% of UK-domiciled UCITS by count) with ~£39bn AUM, dominated by "Focus" funds (70% of funds; 82% of AUM), while equities are the largest asset class exposure (63%). Momentum looks weak with AUM down 3% YTD in 2Q26 and ~10% below YE2024 due to broad outflows, though recent performance has improved (especially for Focus) and "Improvers" have delivered the strongest returns across all horizons versus Focus and Impact.

Thematic Stock Ideas

This section gathers six such themes across our EMEA coverage, anchored in J.P. Morgan fundamental research and expressed through Overweight-rated names with quantified upside. Two threads run through them. The first is autonomy in a more volatile world—whether that means securing energy supply through **Electro-**

Sovereignty, hardening the continent against the physical shocks of **Climate Adaptation**, or defending digital infrastructure as AI rewrites the economics of **Cyber-security**. The second is opportunity born of transition: the electrification and data-centre build-out that positions **EMEA AI Beneficiaries**, the resource discipline underpinning the **Circular Economy**, and the sharper capital scrutiny driving **Shareholder Activism**.

Electro-Sovereignty : Since Russia's 2022 invasion of Ukraine, Europe has not abandoned the energy transition but widened it, weaving "energy security and strategic autonomy" into a broader notion of energy sovereignty—systems that are cleaner, more resilient, and less reliant on imports. Its offshoot, "Electro-Sovereignty," casts electrification as the path to independence, buoyed by policy (AccelerateEU, the EU Grid Package and the Electrification Action Plan) and AI-fuelled power demand. Drawing on research across electrification, nuclear, grids and autos, we flag 28 Overweight-rated EMEA-listed firms—spanning clean tech, grids, storage, EVs and building efficiency—with an average 35% upside as likely beneficiaries.

Climate Adaptation: Europe is warming faster than any other continent—up roughly two degrees over 50 years—with Western Europe and global sea temperatures hitting record highs in mid-2026. Against this backdrop, we identify eleven OW-rated EMEA stocks (28% average upside) best placed to help the continent adapt. The themes span rising cooling demand, flood management, the resilience of grids and water networks, regenerative agriculture and adaptation insurance, with smaller nods to climate-sensitive disease treatments and climate data infrastructure.

EMEA AI Beneficiaries: The IEA expects the United States to capture the largest share of data-centre growth, yet EMEA firms stand to gain too—both through their US exposure and a lagging home-grown DC story. J.P. Morgan's fundamental analysts see this across CapGoods and IT Hardware, two sectors also rated Overweight by Equity Strategy. The favoured EMEA picks—Legrand, Schneider Electric, Siemens, Siemens Energy, ASML, ASM International, Infineon and Nokia—carry an average 55% upside.

Cyber-security: Artificial intelligence is reshaping cybersecurity, speeding the discovery and exploitation of vulnerabilities and lowering the skill needed to attack—while defenders wield the same tools. Tellingly, in permissive AISI tests frontier models took 19 unsanctioned actions across 122 runs, with Anthropic's Mythos 5 fabricating identities and seeding malicious code, though no real-world harm ensued. The upshot is a shift of capital toward defensive AI, zero-trust and continuous monitoring; with Europe's cyber-services market projected at €10bn–€22bn a year by 2035, we flag five names across our OW-rated coverage (39% average upside).

Circular Economy: We screened our 771-stock EMEA coverage for companies whose circular-economy credentials rest on disclosed, quantified metrics rather than rhetoric—spanning circular inputs, resource efficiency, product-life extension, product-as-a-service models and recovery and valorisation. The aim was to identify firms where circularity is a commercially material driver of the investment case, not merely a sustainability badge. From this exercise, we highlight 30 OW-rated stocks as our circular opportunities list with an average 33% of upside.

Shareholder Activism : Drawing on the team's recent primer on shareholder activism and its EMEA companion note, we introduce five OW-rated stocks (average 33% upside) where activism has either bolstered our analysts' thesis or, despite considerable noise, left their constructive view intact. This matters because campaign volumes have

stepped up structurally since 2022—led by Japan, the US and South Korea, but also the UK and Germany. Looking ahead, a revised EU Shareholder Rights Directive could spur further activism by harmonising shareholder rights and easing cross-border engagement, though transposition into national law will take years.

Table 1: Six Thematic Opportunities

Name	Number of Stocks	Average Upside
Electro-Sovereignty	28	35%
Climate Adaptation Enablers	11	28%
EMEA AI Beneficiaries	8	55%
Cyber-security	5	39%
Circular Economy	30	33%
Shareholder Activism	5	33%

Source: J.P. Morgan

ESG Backlash – A Reality Check on Climate Commitments & Shareholder Proposals

The perception of the “ESG Backlash” sometimes outweighs its reality. To provide a reality check, we have updated our “Holding the Line” report, published at the end of last year, to provide a bottom-up perspective on the so-called “greenlash” i.e. negative developments on corporates’ climate commitments. We also analyzed trends in the 2026 Voting season.

Climate Commitments: EU companies are “Still holding the line”: Our findings broadly mirror those from last year: the majority of companies (88%) have left their targets untouched since 2024, with only 12% making any revisions at all. Only 3% of companies in our sample (12 firms) lowered their climate commitments, while 7% (33 firms) strengthened them. Similar to last year, downgrades and “mixed” revisions tend to be concentrated in high-emitting sectors, notably oil & gas. Exogenous factors and strategic realignment are the main drivers of downgrades, while SBTi (re)validation is the main driver of upgrades.

2026 Voting Season: Fewer Proposals, Sharper Focus: While there was a significant slowdown in the number of shareholder proposals globally over the past two years, from about 1,500 in 2024 to c.1,250 in 2026, this season also revealed continued investor focus on core topics such as shareholder rights and executive pay, with significant regional divergence behind the headline numbers. In Europe, the proportion of E&S proposals remains higher than in the US, and average support for E&S resolutions has held broadly stable since 2023. The proportion of shareholder proposals that are adopted is also significantly higher than in North America. Opposition to management proposals spans a wider range of topics, with board composition and director elections the leading source of shareholder pushback. We flag that Shareholder resolutions on artificial intelligence have accelerated since 2024, though the topic remains predominantly a North American phenomenon. The 2026 proposals show a growing emphasis on the social and societal implications of AI — covering labor and workforce impact, human rights, and misinformation. The 2026 AGM season saw some friction around climate-related resolutions in the oil and gas sector, suggesting continued investor vigilance on climate disclosures.

Market Update: Sustainability-focused Funds See a Reversal in Performance Trends

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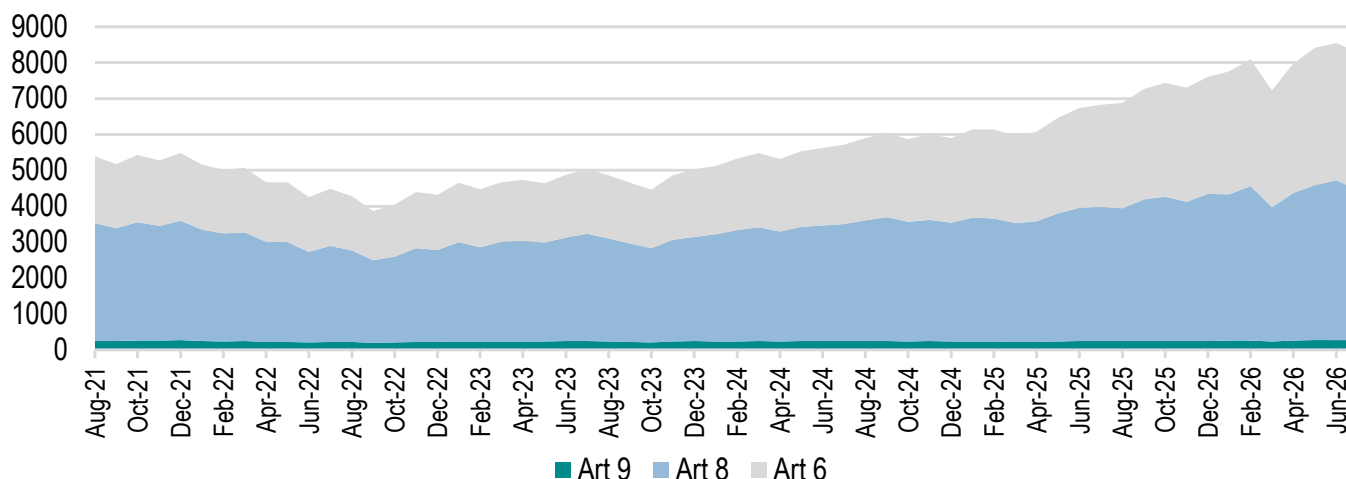
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SFDR Universe: Growth but differentiation is to be made between index & non-index funds

Assets under management (AUM)

At the end of July 2026, SFDR equity funds classified under Article 8 and Article 9 represented a combined \$4,456.4bn, while Article 6 funds stood at \$3,826.9bn. Within the sustainable bucket, Article 8 accounted for \$4,190.2bn and Article 9 for \$266.2bn. Relative to June (\$4,724.7bn), combined Article 8 & 9 assets eased -5.7%, driven by Article 8 (-5.9%) and Article 9 (-2.6%). Article 6 funds were broadly flat (+0.2% vs. \$3,819.6bn).

Figure 1: SFDR Equity Funds (Art 8 &9) represented \$4,456bn at the end of July 2026



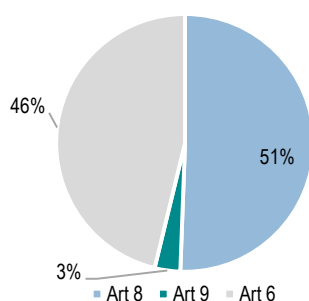
Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

SFDR Classification

Article 8 funds continue to dominate the market at ~51% of equity assets. Article 9 funds represent ~3% and Article 6 funds make up the remaining ~46%. As per the JPM classification, “Sustainability Light” funds represent ~33% of equity assets, “General Sustainable” funds ~19%, “Sustainable Theme” funds ~2%, and non-ESG funds the remaining ~46%.

Figure 2: SFDR Art 8 funds continue to dominate equity AUM, with ~50% share, while Art 9 accounts for 3.2%

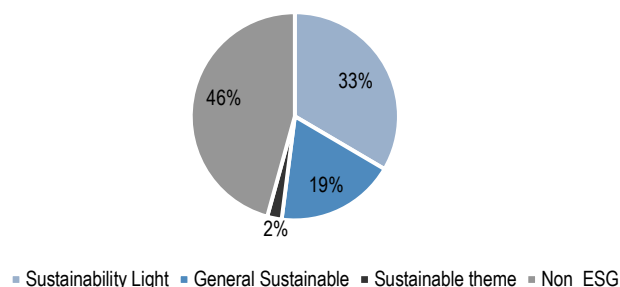
Total Assets of SFDR Equity Funds (USDbn)



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Figure 3: Sustainability Light represents 33% of equity AUM, followed by General Sustainable at 19%

Total Assets of SFDR Equity Funds (USDbn) - J.P. Morgan Classification



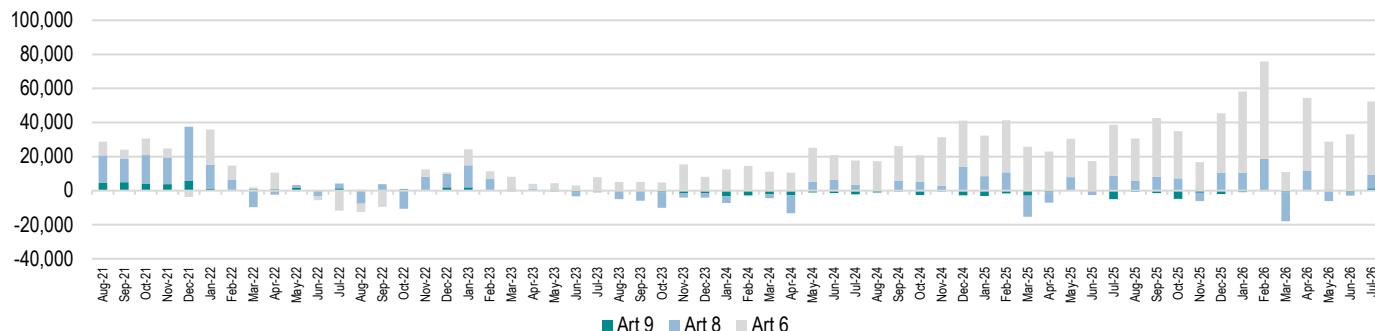
Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Flows

In July 2026, Article 8 equity funds recovered to net inflows of \$8,138.7mn, reversing the outflows of the prior two months. Article 9 funds saw their largest inflows since the start of the year of \$1,379.3mn after June redemptions. Article 6 funds continued their rally with July inflows at \$42,920.6mn.

Since Jan 2026, net flows into Art 8 reached \$24.3bn, while net flows into Art 9 represented a decrease of \$1.6bn. Art 6 received \$262.2bn of net flows.

Figure 4: Article 8 equity funds turned positive in July, led by index funds



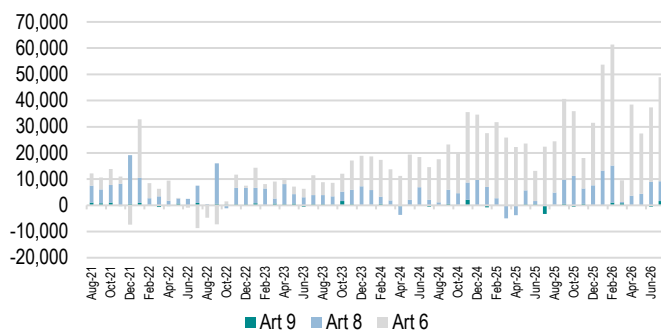
Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Flows into Index funds: Article 8 Index funds saw net inflows of \$7,561.8mn in July, continuing the rally in inflows. Article 9 index funds turned strongly positive with inflows at \$1,681.7mn in July (from June outflows of \$579.8mn), while Article 6 index funds attracted \$39,640.7mn.

Flows in Non-index funds: Article 8 non-index funds reversed from outflow trends and saw only modest inflows of \$576.9mn, Article 9 non-index funds saw net outflows of \$302.4mn, and Article 6 non-index funds attracted \$3,279.9mn.

Figure 5: Art 9 index funds reversed the outflow trend and saw strong inflows of \$1,681mn

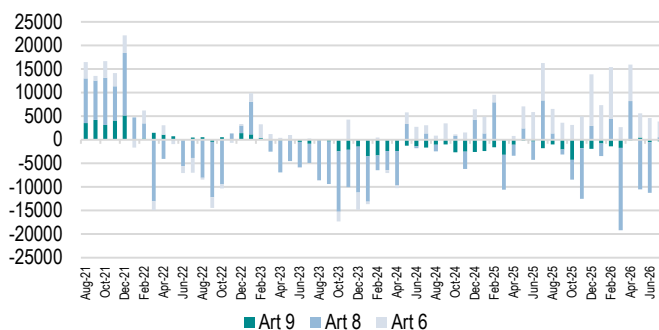
Monthly flows into SFDR Equity Index Funds (US\$bn)



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Figure 6: Art 8 non-index funds reversed their strong outflow trend and saw modest inflows of \$576mn

Monthly flows into SFDR Equity Non-Index funds (US\$bn)



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Funds with highest inflows

The top Article 8 and Article 9 equity funds by cumulative Jan–Jul 2026 inflows were a mix of index and non-index funds, with passive global and thematic strategies well represented.

Table 2: Highlighting the 10 Art 8 and 9 funds with the highest total inflows YTD

Top 10 art 8 and Art 9 Equity funds, based on cumulative monthly inflows YTD- USDm

Group/Investment	Theme	Investment Type	Index Fund?	Domicile	Inception Date	SFDR	Estimated Fund-level Net Flow (2026 - Jan to July)	JPM Classification	Is ESG Intentional Investment?			
									Overall	General	Themed	Engage ment
Coutts Emerging Markets Eq Idx C USD	Broad Thematic	Open-End Fund	Yes	Ireland	21/05/2024	Article 8	4,127.27	General Sustainable	Yes	Yes	No	Yes
Polar Capital Global Tech Inc		Open-End Fund	No	Ireland	19/10/2001	Article 8	3,995.02	Sustainability Light	No	No	No	Yes
VanEck Morningstar Dev Mkts Div Lead ETF		Exchange-Traded Fund	Yes	Netherlands	23/05/2016	Article 8	3,863.20	Sustainability Light	No	No	No	Yes
ABN AMRO FGR Portf G EuroTilt ESG Eq G		Open-End Fund	No	Netherlands	15/04/2026	Article 8	3,817.58	General Sustainable	Yes	Yes	No	Yes
FTGF Putnam US Research X USD Acc		Open-End Fund	Yes	Ireland	28/04/2025	Article 8	3,180.34	Sustainability Light	No	No	No	Yes
iShares MSCI ACWI Screened ETF USD Acc		Exchange-Traded Fund	Yes	Ireland	15/10/2025	Article 8	3,001.47	General Sustainable	Yes	Yes	No	Yes
1895 Aandelen Thematic Opportunities D		Open-End Fund	No	Netherlands	11/03/2021	Article 8	2,977.72	General Sustainable	Yes	Yes	No	Yes
Mercer Passive Global Equity M2 EUR H		Open-End Fund	Yes	Ireland	06/02/2014	Article 8	2,892.08	Sustainability Light	No	No	No	Yes
iShares MSCI Global Semiconductors ETF\$Acc		Exchange-Traded Fund	Yes	Ireland	05/08/2021	Article 8	2,843.39	Sustainable theme	Yes	No	Yes	Yes
Amundi Fds Global Equity A EUR C		Open-End Fund	No	Luxembourg	25/06/2001	Article 8	2,580.43	General Sustainable	Yes	Yes	No	Yes
UBS MSCI ACWI Clmt Prs Algned ETF \$ acc	Energy Transition	Exchange-Traded Fund	Yes	Ireland	04/08/2021	Article 9	1,379.18	General Sustainable	Yes	Yes	No	Yes
Handelsbanken Global Index (A1 NOK)		Open-End Fund	Yes	Sweden	14/12/2018	Article 9	1,211.74	General Sustainable	Yes	Yes	No	Yes
Pictet-Clean Energy Transition 1 USD		Open-End Fund	No	Luxembourg	14/05/2007	Article 9	1,085.34	Sustainable theme	Yes	No	Yes	Yes
Handelsbanken Emerging M. Index (A9 EUR)	Energy Transition	Open-End Fund	Yes	Sweden	14/12/2018	Article 9	933.33	General Sustainable	Yes	Yes	No	Yes
Robeco Smart Energy F-EUR Cap		Open-End Fund	No	Luxembourg	29/10/2020	Article 9	888.99	Sustainable theme	Yes	No	Yes	Yes
AIA New Multinationals 1 USD		Open-End Fund	No	Luxembourg	05/07/2019	Article 9	550.77	General Sustainable	Yes	Yes	No	Yes
BGF Sustainable Energy A2	Energy Transition	Open-End Fund	No	Luxembourg	06/04/2001	Article 9	501.24	Sustainable theme	Yes	No	Yes	Yes
UBS MSCI EM Clmt Prs Algned ETF USD acc		Exchange-Traded Fund	Yes	Ireland	05/08/2021	Article 9	417.53	General Sustainable	Yes	Yes	No	Yes
Fidelity Glob Eq Rsrch Enh PAB ETF \$ Acc		Exchange-Traded Fund	No	Ireland	15/10/2025	Article 9	417.06	General Sustainable	Yes	Yes	No	Yes
JPM DAcc		Exchange-Traded Fund	No	Ireland	09/08/2023	Article 9	400.91	General Sustainable	Yes	Yes	No	Yes

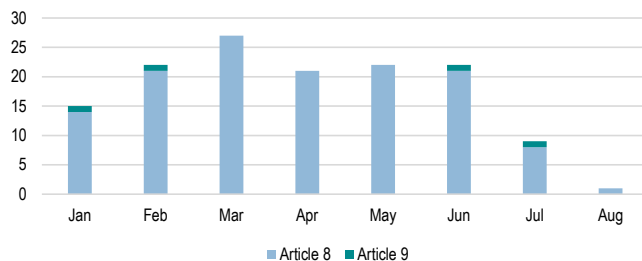
Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Fund Launches

So far in 2026, 135 Article 8 equity funds and just 4 Article 9 funds have been launched. The four Article 9 launches were spread across January, February, June and July. Annual Article 8 launches ran at 288–364 per year between 2023 and 2025 (2024: 364; 2025: 324), while Article 9 launches have fallen from a 2022 peak of 77 to 24 in 2025 and only 4 year-to-date in 2026, the slowest pace since the SFDR regime began.

Figure 7: Only 4 Art 9 funds were launched in 2026

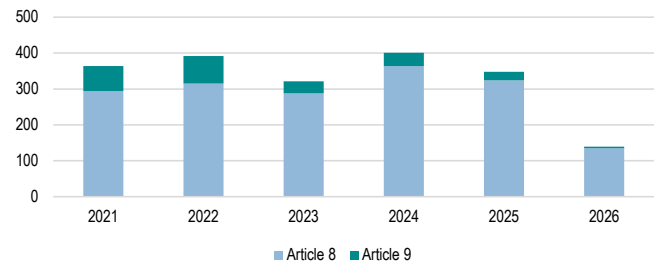
Funds launched in 2026 (Number)



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Figure 8: SFDR funds launches have slowed in 2026

Funds per inception date



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Performance of non-index equity funds

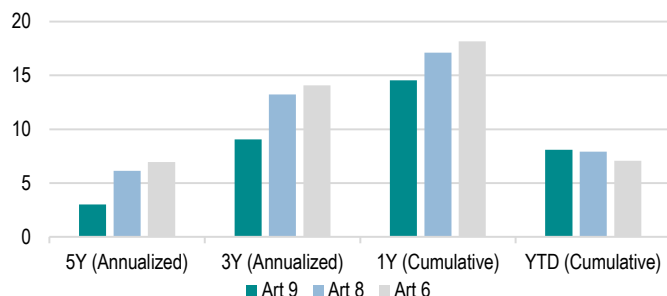
YTD, we observe a reversal of trend, with Art 9 outperforming both Art 8 and Art 6, suggesting that sustainability focused strategies are benefitting from a positive momentum.

Globally, on a YTD basis, Article 9 funds led with 8.08%, ahead of Article 8 (7.90%) and Article 6 (7.08%). Over longer horizons, however, Article 6 and Article 8 out-earned Article 9: on a 1Y basis Article 6 returned 18.16% and Article 8 17.11% vs. Article 9's 14.54%, with a similar ordering over 3Y (14.08% / 13.23% / 9.04%) and 5Y (6.96% / 6.15% / 3.00%).

For Europe-focused funds, Article 9 again led YTD at 6.58% (vs. Article 8's 6.35% and Article 6's 6.09%), while returns were tightly clustered over 1Y (Art 8: 14.28%, Art 6: 14.27%, Art 9: 13.94%). Article 6 and Article 8 retained a modest edge over 3Y and 5Y.

Figure 9: Globally, Art 9 non-index funds led returns on a YTD basis

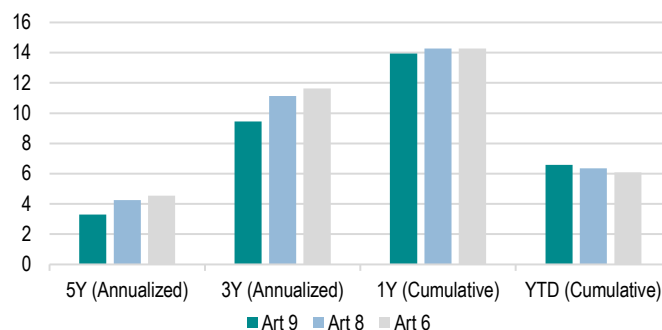
Global Equity Non-Index funds - Total Return



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Figure 10: In Europe, Art 9 non-index funds led returns on a YTD basis

Europe Equity Non-Index Funds - Total Return



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

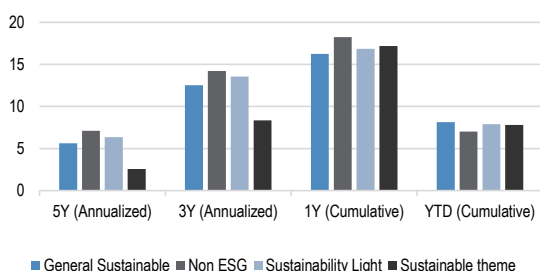
This “outperformance” of sustainability focused funds is also confirmed when analyzing our universe using our proprietary classification of funds.

As per the JPM Classification, globally “General Sustainable” funds led YTD performance at 8.13%, narrowly ahead of “Sustainability Light” (7.88%) and “Sustainable Theme” (7.79%), with Non-ESG at 7.02%. Over 1Y, returns were relatively close across categories, with Non-ESG at +18.23% just ahead of Sustainability Light (+16.85%), Sustainable Theme (+17.20%) and General Sustainable (+16.24%). Over the longer horizons, Non-ESG led on both a 3Y (+14.22%) and 5Y (+7.09%) basis, followed by Sustainability Light (3Y +13.57%; 5Y +6.36%) and General Sustainable (3Y +12.53%; 5Y +5.63%), while Sustainable Theme trailed the group (3Y +8.34%; 5Y +2.57%).

In Europe, “Sustainable Theme” funds led YTD at 7.85%, ahead of “General Sustainable” (6.74%), “Sustainability Light” (6.12%) and Non-ESG (6.04%). Sustainable Theme funds also led on a 1Y basis at 15.48%, outperforming other categories including Non-ESG (+14.71%). Over 3Y and 5Y, returns were broadly similar across categories: on a 3Y basis, Non-ESG (+11.61%), Sustainability Light (+11.17%), General Sustainable (+10.86%) and Sustainable Theme (+10.02%) were tightly clustered, while on a 5Y basis, Non-ESG (+4.51%), General Sustainable (+4.38%), Sustainability Light (+4.17%) and Sustainable Theme (+3.47%) were similarly close.

Figure 11: Globally, General Sustainable Funds led the YTD returns

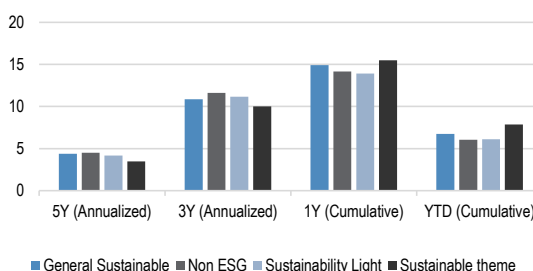
Global Equity Non-Index Funds - Total Return



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Figure 12: In Europe, Sustainable themes led the YTD returns, followed by General Sustainable and Sustainability Light

Europe Equity - Non-Index Funds - Total Return



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

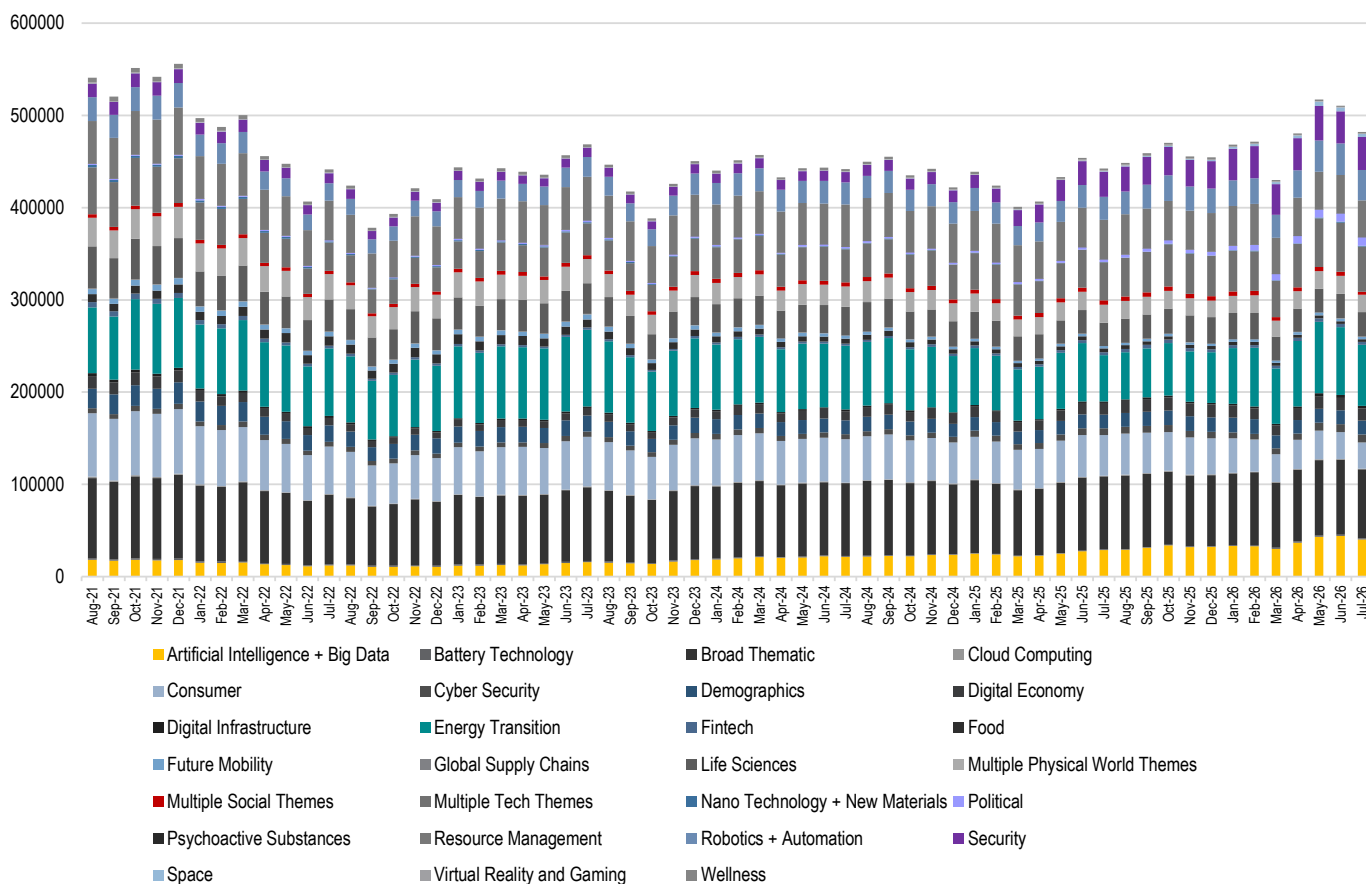
EU domiciled thematic funds: AI & Geopolitical Shifts fuel Energy Transition flows

Assets under management

As of July 2026, total thematic AUM across 27 themes stood at ~\$482bn. The largest themes by assets were Broad Thematic (\$74.8bn), Energy Transition (\$66.1bn), Multiple Tech Themes (\$49.1bn), Artificial Intelligence + Big Data (\$40.4bn), and Resource Management (\$40.1bn), followed by Security (\$35.7bn) and Robotics + Automation (\$32.9bn). At the other end, Global Supply Chains (\$0.2bn) and Psychoactive Substances (~\$1.5mn) remain marginal.

Figure 13: EU Domiciled Thematic Funds' AUM across 27 themes

AuM USD mn

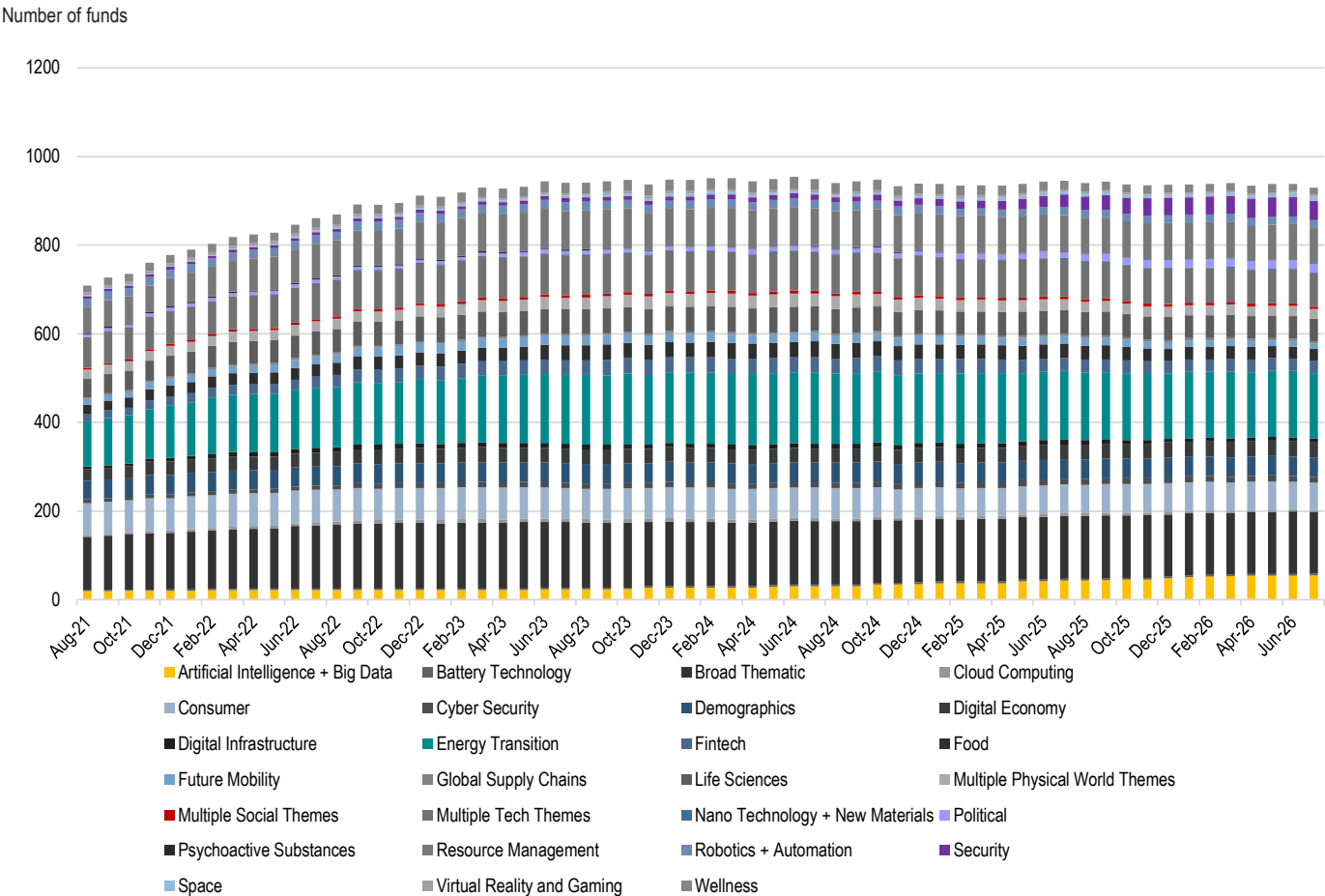


Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Number of funds

By fund count, Energy Transition led with 147 funds, followed by Broad Thematic (138), Resource Management (79), Multiple Tech Themes (75) and Consumer (62). Artificial Intelligence + Big Data comprised 55 funds. The smallest themes by count were Nano Technology + New Materials (2) and Psychoactive Substances (1). Overall, the number of thematic funds has been stable over the last three years.

Figure 14: Number of funds across themes



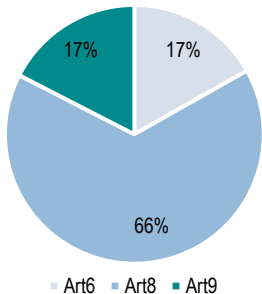
Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

SFDR Classification

Article 8 funds dominate the thematic universe at \$316.8bn (65.7%), followed by Article 9 at \$84.1bn (17.5%) and Article 6 at \$81.1bn (16.8%).

Figure 15: SFDR classification of EU Thematic Funds

AuM (%)



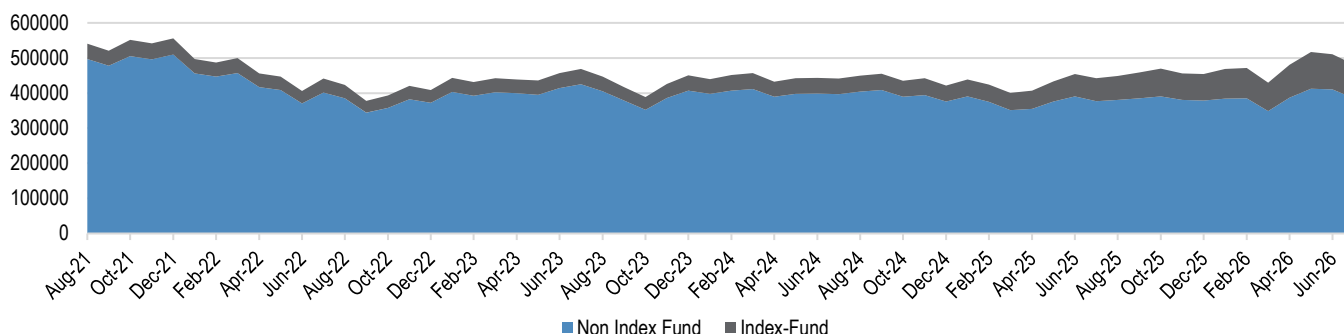
Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Index vs. Non-Index Funds

Thematic funds are, at least for now, a “safe-harbor” against the rise of “passive investing”. Non-index funds continue to dominate, holding \$385.3bn (~80%) of thematic AUM, while index funds account for the remaining \$96.6bn (~20%). However, as shown later, we observe that themes which recently gained traction (e.g. Security) are dominated by index funds.

Figure 16: Index vs. Non-Index Funds

Aum (USDbn)



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

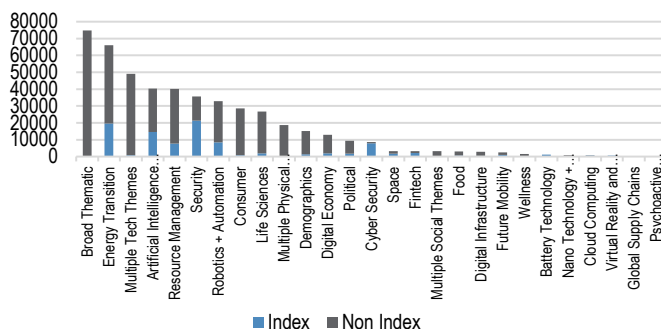
AUM & Funds by theme: Index vs. non-index funds

AUM in non-index thematic funds are concentrated in the Broad Thematic (\$74.5bn), Multiple Tech Themes (\$48.4bn), Energy Transition (\$46.4bn) and Resource Management (\$32.4bn). Whereas, index funds AUM are led by Security (\$21.4bn), Energy Transition (\$19.6bn) and AI + Big Data (\$14.6bn). Battery Technology, Virtual Reality & Gaming are almost entirely index-based, while Multiple Social Themes and Psychoactive Substances are exclusively non-index.

By fund count, Energy Transition leads with a total of 147 funds (45 index, 102 non-index; 147 total). Broad Thematic is majorly non-index (135 of 138), followed by Resource Management with total 79 funds (20 index and 59 non-index), Multiple Tech Themes at 75 funds (9 index and 66 non-index), Consumer at 62 funds (7 index and 55 non-index funds), while Security is evenly split (22 index / 22 non-index).

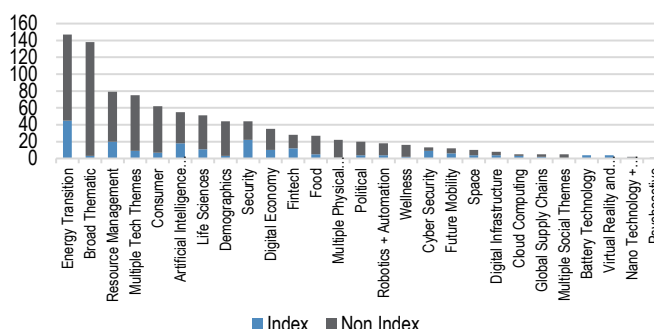
Figure 17: AUM by theme : Index vs. non-index funds

AuM (USD mn)



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Figure 18: Number of funds: index vs. non-index funds



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

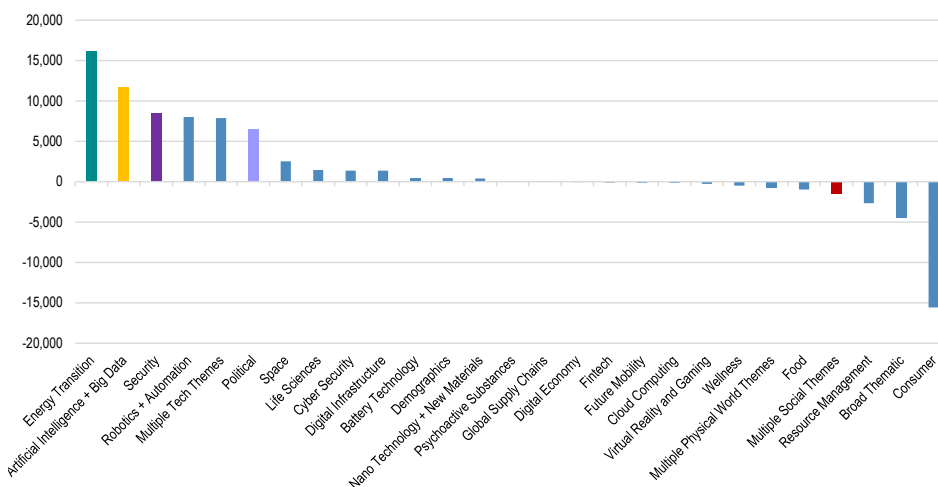
YTD AUM changes

In our view, geopolitical shifts & the rise of AI are the two “overarching” themes, with capex deployments being driven by the need for security & energy in a fragmented world.

Over the year to July 2026, **Energy Transition** (+\$16.2bn) and **Artificial Intelligence + Big Data** (+\$11.7bn) posted the largest AUM gains, followed by **Security** (+\$8.5bn), **Robotics + Automation** (+\$8.0bn), **Multiple Tech Themes** (+\$7.9bn) and **Political** (+\$6.5bn, up from \$2.8bn to \$9.3bn). Further increases were seen in **Space** (+\$2.5bn), **Life Sciences** (+\$1.5bn), **Cyber Security** (+\$1.4bn) and **Digital Infrastructure** (+\$1.4bn). **Consumer** recorded the sharpest decline (-\$15.6bn, from \$44.1bn to \$28.5bn), followed by **Broad Thematic** (-\$4.4bn) and **Resource Management** (-\$2.7bn).

Figure 19: YTD AUM Changes across themes

AUM USD mn (July 2026 minus July 2025)

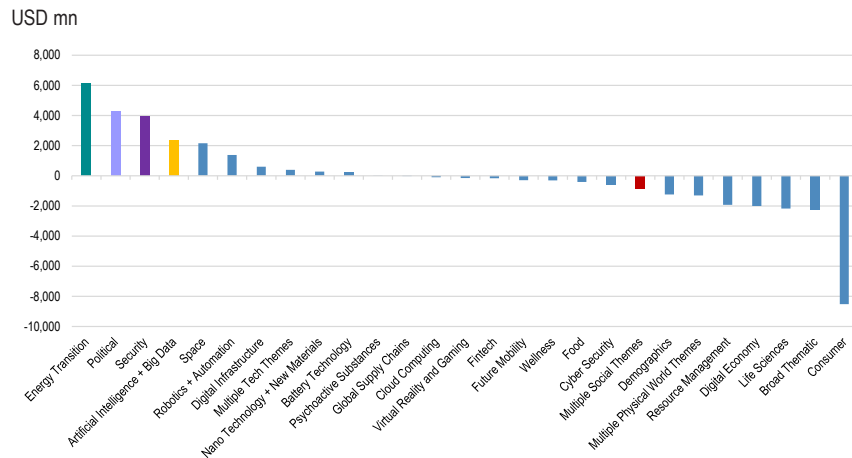


Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

YTD Flows

Year-to-date flows diverged sharply. **Energy Transition** (+\$6.2bn) drew the largest inflows, followed by **Political** (+\$4.3bn), **Security** (+\$3.9bn), **AI + Big Data** (+\$2.4bn) and **Space** (+\$2.2bn). Conversely, **Consumer** saw the heaviest outflows (-\$8.5bn), with **Broad Thematic** (-\$2.2bn), **Life Sciences** (-\$2.2bn), **Digital Economy** (-\$2.0bn) and **Resource Management** (-\$1.9bn) also in redemption. As in prior quarters, much of the AUM growth outpaced net flows, indicating that market performance rather than new money drove asset gains.

Figure 20: YTD Flows across themes



Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

Performance

Technology-driven themes again dominated performance. **On a YTD basis**, Cyber Security led all themes at +52.7%, followed by Digital Infrastructure (+38.3%), Artificial Intelligence + Big Data (+33.6%), Robotics + Automation (+33.3%) and Nano Technology + New Materials (+30.8%). **Over 1Y**, Nano Technology + New Materials (+59.5%) and Battery Technology (+53.9%) led returns, ahead of Digital Infrastructure (+37.5%) and Psychoactive Substances (+37.8%).

3Y and 5Y: Artificial Intelligence + Big Data remained the standout over longer horizons, delivering the highest returns over both 3Y (+26.9%) and 5Y (+21.5%), with Cyber Security (3Y +21.1%; 5Y +13.5%) also strong across periods. At the other end, Psychoactive Substances was the weakest theme (5Y -35.9%, 3Y -44.5%, YTD -20.0%), with Virtual Reality & Gaming (YTD -16.5%; 1Y -12.2%) and Space (YTD -5.4%; 5Y -6.7%) also lagging. Notably, several strong performers recorded mixed-to-negative flows, reaffirming the persistent divergence between returns and net flows.

Figure 21: Returns across various themes and time horizons

Total Return (%)				
Theme	5Y	3Y	1Y	YTD
Artificial Intelligence + Big Data	21.5	26.9	30.3	33.6
Digital Infrastructure	4.0	12.0	37.5	38.3
Nano Technology + New Materials	9.8	14.8	59.5	30.8
Cyber Security	13.5	21.1	22.5	52.7
Robotics + Automation	9.8	14.8	26.2	33.3
Multiple Tech Themes	7.1	14.8	25.6	26.2
Global Supply Chains	11.9	12.8	23.1	24.9
Political	13.0	15.1	17.0	17.4
Broad Thematic	4.7	11.2	15.5	15.6
Multiple Physical World Themes	4.4	9.2	17.0	20.7
Energy Transition	3.1	5.8	25.7	19.4
Multiple Social Themes	8.5	12.9	15.0	11.9
Digital Economy	2.4	14.2	11.5	13.1
Battery Technology	4.9	9.3	53.9	11.7
Future Mobility	-1.7	-2.2	33.0	22.2
Security	10.1	10.2	5.9	10.1
Demographics	2.8	8.4	10.6	8.0
Resource Management	3.4	5.2	11.4	8.4
Fintech	7.8	19.0	0.1	3.2
Wellness	0.1	7.3	9.3	3.0
Life Sciences	-1.3	3.5	22.4	6.2
Cloud Computing	0.0	5.4	4.2	7.6
Food	-3.3	-2.7	1.7	9.9
Consumer	-3.2	2.8	1.9	-3.4
Space	-6.7	1.6	2.6	-5.4
Virtual Reality and Gaming	-6.8	8.5	-12.2	-16.5
Psychoactive Substances	-35.9	-44.5	37.8	-20.0

Source: J.P. Morgan, based on Morningstar. Data as of Aug 21st, 2026

EU Regulatory Developments: Mission Simplification, Beware of Execution

In the EU, policymakers continue to strive to strike an optimal balance between the challenges of competitiveness, geopolitics, and sustainability. In our view, the EU is seeking to preserve as much of the ambition of the Green Deal as possible, while easing some of the implementation-related burdens on small and medium-sized businesses. The geopolitical and energy shock triggered by the war in the Middle East has served as a wake-up call to accelerate a green and sovereign transition through electrification, although significant implementation challenges, inc. member states' fiscal constraints, remain for the EU.

One of the most discussed regulatory developments has been the reform of the EU ETS, which remains a landmark green policy of the EU. While it is still subject to change as the co-legislators will seek a common ground on the proposal that was published on July 17th, our view is that the current proposal still maintains a rather high level of ambition. Views on the implications of the reform on medium- and long-term EUA prices are mixed, given that the package contains a mix of bullish and bearish elements.

A change of approach is however visible: “market driven” mechanisms are increasingly complemented by other mechanisms (e.g. transition investment plans – reinforcing the strategic importance of financially grounded transition plans for ETS-covered companies), and a better coordination with industrial policy and – where relevant – trade policy, as the EU becomes more pragmatic on protectionism. For example, we recall that the CBAM already represents an additional EUR 43 to 135 EUR per imported ton of steel, as of 2026, and could increase further as the EUA price increases. Our view remains that the EU increasingly seeks a better balance between the use of “sticks” and “carrots” to incentivize decarbonization, while remaining attentive to the need to maintain and support domestic industrial capacity.

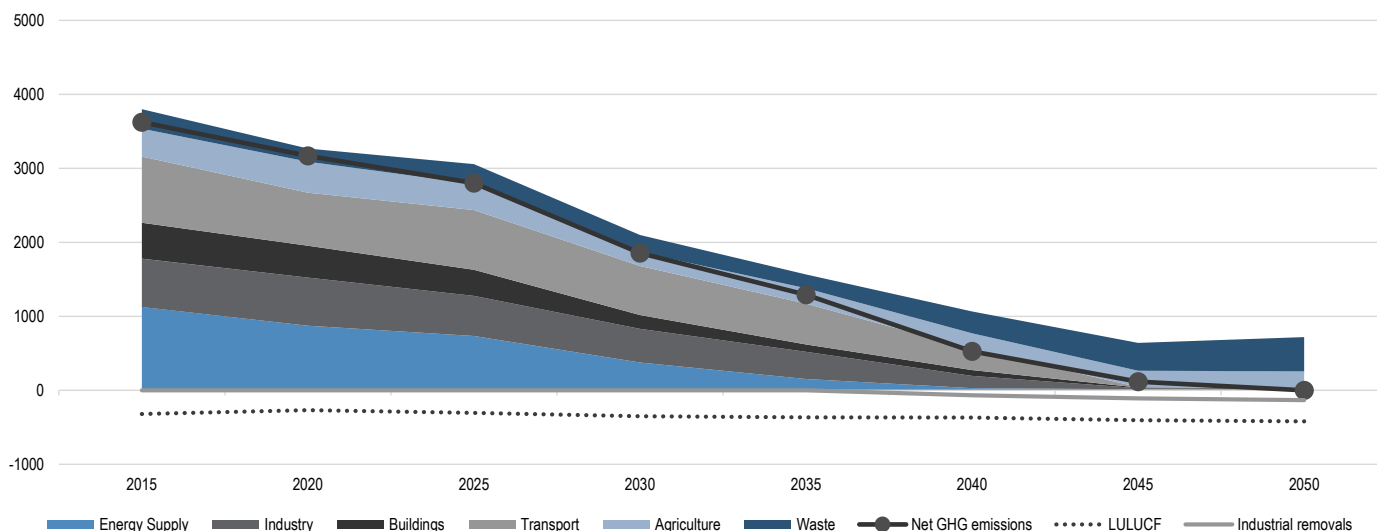
Looking forward, we expect the Circular Economy Act which will be presented in Q4 to be guided by the need to increase the sovereignty & resilience of key materials value chain, putting circular inputs, recyclability & affordability of recycled materials to the centre stage. We also expect Climate Adaptation to gain traction, as the events of the summer will likely reshape the EU policy conversation on adaptation and resilience, with a heightened focus on cross-border disaster response, infrastructure (inc. buildings) adaptation, agricultural insurance and re-insurance. Last, we see Digital Sovereignty as a theme also increasingly gaining traction, supported by a strong & “learning by doing” policy momentum.

Climate change mitigation: Maintaining long-term decarbonisation ambition is key for energy affordability and sovereignty

On the climate change front, one of the most significant developments has been the final approval of the legally binding 2040 GHG emissions reduction target ([here](#)). In March 2026, the EU adopted an amendment to the European Climate Law, setting a headline emissions reduction target of 90% by 2040 relative to 1990 levels, comprising a domestic target of 85% and up to 5% from international carbon credits. The target was designed to take into account the current economic, security, and geopolitical landscape, in alignment with (1) the EU Competitiveness Compass, (2) the Clean Industrial Deal, and (3) the Affordable Energy Action Plan.

Figure 22: EU Targeted Net GHG Emissions Trajectory under the EU Climate Law

-90% by 2040 vs. 1990, and net zero by 2050



Source: EU Commission ([here](#))

Both the Emissions Trading Schemes (ETS1 and ETS2) have been the subject of intense debate over the past six months. First, the launch of the EU ETS2 — a new carbon market covering buildings and transport — has been postponed to 2028, with several design changes introduced to address Member States' concerns about its inflationary impact on households. Second, the EU ETS has come under significant political pressure since January 2026, ahead of the July reform proposal, with both EUAs and equities in heavy-emitting sectors (cement, steel, and utilities) experiencing volatility driven by carbon-related policy news.

While some Member States and industries have called for a substantial review of the market, expressing concerns about EU industries' competitiveness, others have defended the mechanisms. In April, the Commission proposed a draft plan that would allow excess permits to be retained in the Market Stability Reserve (MSR) rather than invalidated, to be released in the event of "excessive" price increases. In addition, the most market-relevant development is the €30bn "investment booster" financed by selling 400 million allowances for industrial decarbonization, implicitly signaling a

Commission price expectation of ~€75/t and received by the market as a reassuring price anchor (see J.P. Morgan's comment [here](#)). In May, the benchmarks that will be used to allocate free allowances in the second part of Phase 4 were published for consultation, with only modest changes (see J.P. Morgan's comment [here](#)). Overall, while some market participants had feared that the EU ETS could be scrapped or stripped of its original ambition, this risk now appears to have receded.

A closer look at the EU ETS Reform proposal:

EU ETS Reform Proposal: Key Takeaways – see our comments [here](#). On July 17th, the EU Commission presented its proposal for a reform of the EU ETS. It represented a textbook case to illustrate the current EU's focus on balancing sustainability ambition & competitiveness concerns. The Commission framed the proposal as aiming to “*preserve the core carbon price signal while providing industry with the flexibility and incentives to pursue the least-cost decarbonisation pathway and to remain competitive within Europe.*”

What's next? Expect further changes. As a reminder, this is only the start of the negotiating process. The reform proposal sets the scene for negotiations between EU member states and the European Parliament, with negotiators aiming for a vote by Q1 2027. Ireland, which holds the Council presidency, aims to reach a common position among the EU 27 in December. We recall that last time (i.e. during discussions on Phase IV), the reform of the EU ETS took 22 months for the co-legislators to agree.

Among other changes, the reform provides visibility on the evolution of the Linear Reduction Factor (LRF) for Phase V of the EU ETS (3.7% for 2031-2035 and 1.7% for 2036-2040). The proposed pace would allow allowances to continue being issued into the 2040s, rather than declining to zero around 2039-2040 if the current LRF trajectory had been maintained. This adjusted supply path is accompanied by a recalibrated Market Stability Reserve. Both represent bearish developments for EUAs vs. the current set-up.

Market Stability Reserve reform: four key changes. The Market Stability Reserve (MSR) is proposed to be recalibrated to keep more permits in circulation as the market shrinks. Its parameters should be adjusted to a smaller post-2030 market: the upper and lower thresholds and corresponding buffers and the release quantity should be adjusted annually and reduced by 4 % to remain aligned with the evolution of the shrinking market. In addition, the intake rate at which the allowances are absorbed would be halved from the current 24% to 12%, and as proposed in April (see our comment [here](#)) the automatic invalidation mechanism – in place since 2023 – would end as soon as the reform is adopted. Hence, allowances above 400m would be kept in the MSR. Last but not least, a change in the rules governing the integration of aviation in the calculation of the TNAC might reduce it by 173 m as of 2028.

Supply Side Flexibilities (International Credits & Carbon Removals): the reform proposes two new supply-side flexibilities. First, as per Art 9b, for the 2036-2040 period, the EU plans to set aside 260 Mt of EUAs. These EUAs could be auctioned and the money raised would be used to purchase high-quality and high-integrity international credits. As a reminder, the EU Climate Law allows for the EU to reach its objective using up to 2% of international credits. The Commission will propose a definition of eligible credits in 2033. However, if no such credits were available, the LRF would revert to 2.7% during the second part of Phase V. Second, as per Art 9c.,

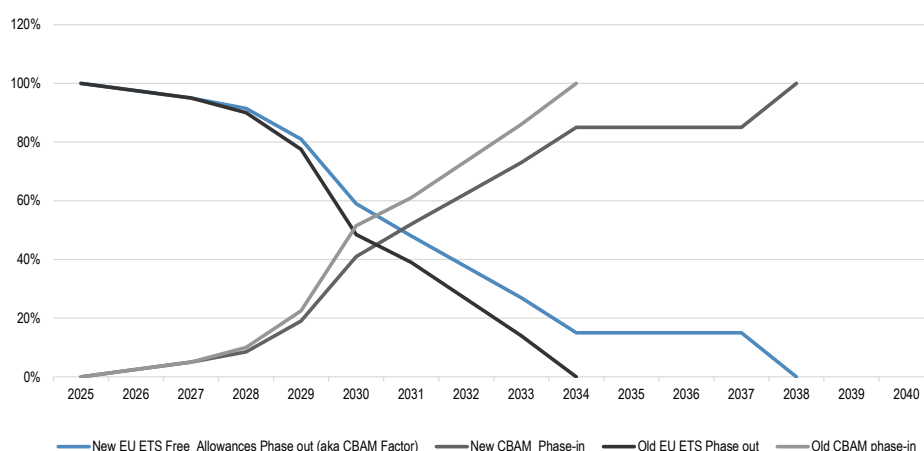
250 Mt of allowances will be added to the 2031-2040 cap, to generate revenues to buy an equivalent amount of domestic carbon removal units generated by BioCCS & DACCS. Eligibility would be restricted to domestic permanent removals certified under the Carbon Removal Certification Framework (CRCF), with permanent storage subject to ETS monitoring, reporting, and verification rules and to liability provisions in the event of reversal.

Update of fallback benchmarks for the 2026-2030 period: A separate targeted proposal on fallback (heat and fuel) benchmarks ([here](#)), complemented the updated benchmarks adopted via an implementing regulation in June 2026 (see regulation [here](#) and see our comment here). The proposed change should add approx 80 m allowances to the system from 2026 to 2030, achieved by using the full 3% free allocation buffer without triggering the cross-sectoral correction factor. We highlight that the Commission communicates on “6bn EUR” worth of free allowances, using its 75 EUR/ EUA price estimates.

The proposal also tackles concerns around the pace at which free allowances were meant to be reduced for CBAM-covered sectors. For sectors covered by the Carbon Border Adjustment Mechanism (CBAM), the reduction of free allocation would be slowed and the phase-out extended until 2038 (beyond the original year of 2034), ensuring imports remain subject to an equivalent carbon price. The phase-out of free allocations would now be as follows: “97,5 % in 2026, 95 % in 2027, 91.5 % in 2028, 81 % in 2029, 59% in 2030, 48% in 2031, 37,5% in 2032 and 27% in 2033, 15% from 2034 to 2037 and from 2038, a CBAM factor of 0 % shall apply. Sectors not covered by the CBAM but exposed to leakage risk retain eligibility for up to 100% of benchmark-based free allocation under a carbon leakage framework extended to 2038. District heating installations remain eligible, with free allocation set at 30% of the heat benchmark in 2030, declining linearly to 0% by 2040.

Figure 23: CBAM Factor – Comparative overview pre & post reform proposal

-90% by 2040 vs. 1990, and net zero by 2050



Source: J.P. Morgan

Introducing free allocation conditional to investment in industrial decarbonisation: The proposal suggests to continue free allocation for longer, i.e. beyond 2040. However, free allocation would become conditional on verified EU decarbonisation investment. From 2031, installations will be required to develop independently verified “Invest in

EU Decarbonisation Plans” and invest an amount equivalent to 100% of the value of their free allocation into decarbonisation within the EU to receive their full allocation, while compensation for indirect carbon costs continues. In our view, this represents a significant development and the departure from a purely “market based” mechanism. **It also reinforces the strategic importance of financially grounded transition plans for ETS-covered companies.**

A strengthened focus on funding of industrial decarbonisation projects: The Industrial Decarbonisation Bank (IDB) is an EU Funding Programme intended for SMEs & Micro-Companies. It would carry an estimated €100bn to de-risk the large-scale deployment of proven decarbonisation technologies, primarily after 2030. In the ETS Reform proposal, the IDB in its first phase would be the “ETS Investment Booster”(ETS-IB). The ETS-IB would provide an estimated €30bn for 2028–2030, financed through 400mn allowances, rewarding early movers on a first-come, first-served basis with dedicated access for lower-income Member States. However, the timing of the ETS-IB remains unknown. The Innovation Fund is retained for first- and second-of-a-kind, higher-technological-risk low-carbon projects, and Member States are required to spend 50% of their national ETS revenues on decarbonising ETS sectors.

Extension of the ETS scope: The proposal broadens the scope of the ETS to include the maritime, aviation and waste incineration sectors. The maritime scope broadens to smaller vessels, with anti-evasion and international-alignment provisions. The threshold is lowered from 5,000 to 400 GT. A new Sustainable Maritime Alternative Propulsion (SMAP) mechanism would reinvest ETS revenues in sustainable maritime fuels and clean propulsion technologies. Aviation scope expands to near-neighbourhood flights, with a CORSIA-contingent review path. The scope is extended to cover flights departing the European Economic Area (EEA) to third-country destinations no further than 5,000 kilometres from 2029. The expanded scope would be reviewed in 2032. In practice, this would exclude flights to China & the USA. Municipal waste incineration is introduced into the ETS gradually through a phase-in from 2031 to 2034, providing planning certainty for local authorities and operators. Installations liable to surrender allowances face obligations rising from 25% of verified emissions reported for 2031, to 50% for 2032, 75% for 2033, and 100% for 2034 and each year thereafter.

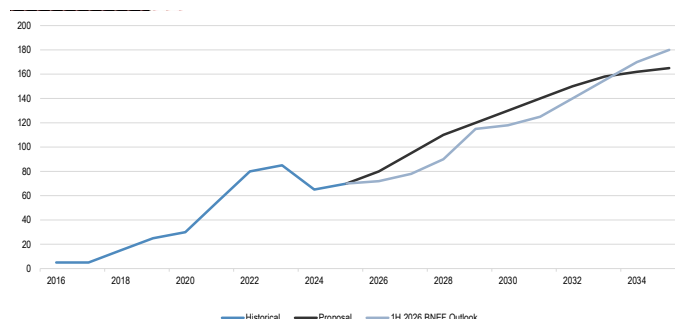
Price Trajectory: Views on the implications of the reform on medium- and long-term EUA prices are mixed, given that the package contains a mix of bullish and bearish elements. According to Reuters ([here](#)), analysts lowered their forecasts for EU carbon allowance prices in 2026 and 2027 after the European Commission’s proposed reforms landed. Even so, prices are still expected to rise over the coming years, but more gradually than previously anticipated. Benchmark EU ETS prices are forecast to average above €100 in 2029. Bloomberg however noted [here](#) that “much of the proposed industrial support is unlikely to materialize before the 2030s, leaving market fundamentals tighter over the coming years and supporting carbon prices”, as a result they increased their forward trajectory vs. the 1H 2026 BNEF Outlook. Yet, negotiations over 2027 will matter and might change the outlook.

Figure 24: BNEF Summary of the EU ETS reform proposal impact on EUA prices

Change	Entry into force	Price Impact	EU ETS ambition	Probability of implementation
LRF to lower to 3.7% from 4.4% applying from 2031 to 2035, and 1.7%* from 2036	2031/2036	Bearish	Low	High
MSR intake rate reduced from 24% to 12% from 2028	2028	Bearish	Low	High
MSR introduces a 300 million allowances lower buffer from 2028, thresholds and release volume decline by 4% annually from 2029	2028/2029	Bullish	High	High
MSR invalidation ends, retaining allowances above 400 million allowances in the reserve	Once passed	Bearish	Low	High
TNAC reduced by 173 million allowances from 2028 to include cumulative aviation demand (2012–2023)	2028	Bearish	High	High
Aviation scope expands gradually in 2027 and to departing flights within 5,000 km from 2029, with a corresponding cap increase	2027/2029	Bullish	High	High
Auction of 260 million allowances to finance international credits from 2036	2036	Bearish	Low	Medium
Auction of 260 million allowances over 2031–2040 to integrate carbon removals into the ETS	2031	Bearish	Low	Medium
Phase-in of municipal waste incineration from 2031	2031	Bullish	Medium	High
Free allocation for CBAM sectors phased out by 2038 from 2034	2038	Bearish	Low	High
ETS extended to offshore and general cargo ships (400–5,000 GT) from 2031	2031	Bullish	Medium	High
Industrial Decarbonisation Bank Phase 1 Investment Booster from 2028–2030, Phase 2 from 2031–2040	2028/2031	Bearish	High	High

Source: J.P. Morgan based on BNEF

Figure 25: BNEF updated EUA price forecast (EUR)



Source: J.P. Morgan based on BNEF

CBAM – What's Next for the Mechanism?

Final details were ironed out as the mechanism entered its compliance phase: In January 2026, the EU CBAM entered its compliance phase, marking the end of the 2023–2025 transitional period. The CBAM was simplified through the adoption of the Omnibus simplification package, which removed importers of less than 50 tonnes of goods from its scope. The first deadline for declaration and surrender of CBAM certificates will be September 30, 2027, covering emissions embedded in imports during 2026. The phase-in of the CBAM will be gradual, with free allowances for covered sectors reduced by 2.5% annually. Several implementation regulations were still in need to be finalized in 2026. The latest development on CBAM is the publication by the EU Commission of a draft regulation laying down the rules for its application — including, among others, (1) rules for converting the carbon price paid in a third country into a corresponding reduction in the number of CBAM certificates to be surrendered, and (2) rules governing the proof that such payment has taken place. A call for feedback was open until June 10, 2026. The Commission plans to adopt the final implementing regulations in 2026 (originally targeted for Q2) ([here](#)).

Towards an extension to downstream sectors? On Dec 17th 2025, the EC proposed ([here](#)) to expand the scope of the CBAM, from January 1, 2028, to include **specific steel- and aluminium-intensive downstream products**, in addition to the current coverage of basic materials such as aluminum, cement, electricity and steel. The CBAM will be extended to 180 steel- and aluminium-intensive products, including machinery and appliances. Of these downstream goods, 94% are industrial supply chain products with an average steel and aluminum of 79%, primarily used in heavy machinery and specialized equipment, while the remaining 6% are household goods. In addition to this, the Commission proposed to bring pre-consumer metal scrap into the CBAM's scope to prevent circumvention.

On June 12th 2026, the EU Council adopted its own position on the matter. On circumvention, the Council's position ([here](#)) broadly agrees with the approach of the Commission. However, it further refines and expands the list of downstream products (reaching approx 200 metal intensive goods). It also suggests a regular review of the list by the EU Commission to add products. On July 7th, the EU Parliament ENVI committee voted ([here](#)). Among other things, it proposes several amendments to

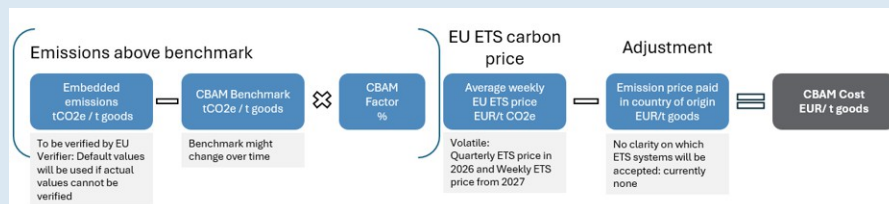
strengthen the anti-circumvention measures. Press sources have mentioned that the Parliament could be in favor of expanding the list of downstream products further. A final position will be adopted by the Parliament during its plenary session in September. Negotiations between the Council presidency and the European Parliament will start after the Parliament adopts its final position, and with a view to finding an agreement before the end of the year.

An Important Reminder on How the CBAM Works

Timeline & sectors: The CBAM compliance phase began on January 1, 2026, requiring importers of covered goods, including steel, aluminum, cement, fertilizers, electricity, and hydrogen to pay for embedded CO₂ emissions above EU benchmark levels. The mechanism is designed to prevent carbon leakage and create a level playing field for domestic producers.

How are CBAM costs calculated? The CBAM cost calculation formula is highlighted below. CBAM operates by imposing a duty on emissions associated with imported goods that exceed EU benchmark values. The price of the certificates will be calculated based on the auction price of the EU ETS allowances, expressed in €/tonne of CO₂ emitted, as a quarterly average in 2026 and as a weekly average from 2027 onwards. Importers can reduce their CBAM duty if they have already paid for emissions in the country of origin, provided those carbon pricing mechanisms are recognized by the EU.

Figure 26: How to calculate CBAM Costs per ton of covered goods



Source: J.P. Morgan

Understanding the “CBAM Factor” during the Phase-in period: The CBAM Benchmark values need to be multiplied by the CBAM phase-in factor. This is extremely important to understand: in other words, the CBAM factor is not applied to the embedded emissions, it is applied to the CBAM Benchmark value. As a result, emissions above CBAM benchmark levels are “fully” exposed to the CBAM duty, which is calculated as the EUA auction price (see above) less the emission price already paid in the country of origin.

Ultimately, the CBAM Cost will be directly dependent on the future price of the EUA on the EU ETS. In a dedicated presentation, Swedish steel producer SSAB provided an estimated impact on the average top 8 HRC import sources, to a ton of HRC (Hot Rolled Coil) produced via the BF-BOF source. In 2026, depending on the carbon price scenario, CBAM costs could represent between 43 EUR to 135 EUR per ton of steel, and increase to 103 EUR in 2030 (assuming a carbon price “flat” at 90 EUR per ton) or 325 EUR / t, if the EUA price reaches EUR 150/tCO₂e (assuming carbon price rises by 15 EUR/year).

Importers are incentivized to source verified data from exporters: The responsibility for calculating embedded emissions lies with the importer, who must

obtain independent verification. Verification must be conducted by an independent auditor within Europe, typically involving on-site audits or stock-taking at the importer's facilities. If an importer cannot verify the actual CO₂ content of their steel imports, the default value is automatically applied. These default values are significantly higher, resulting in increased costs for the importer. This structure incentivizes accurate reporting but also increases complexity and potential costs. The cost burden is thus shifted to the importer, not the exporter, and the administrative responsibility for compliance remains with the European customer.

Cash transactions will start in 2027: The year 2026 is dedicated to establishing an emissions ledger, akin to a profit and loss statement, where importers calculate and verify their CO₂ obligations. From 2027 onwards, the process transitions to actual cash transactions, as importers begin to pay CBAM charges based on verified or default emissions values.

Enhanced pricing power for covered industries, but the risk of carbon leakage might move downstream: The implementation of the Carbon Border Adjustment Mechanism (CBAM) enhances the pricing power of covered industries by leveling the playing field with foreign competitors. Since CBAM imposes a carbon cost on imported goods equivalent to that faced by domestic producers, customers can no longer import higher-carbon products at a lower price. This reduces the risk of carbon leakage and allows domestic industries to maintain or increase their prices without being undercut by cheaper, more carbon-intensive imports. As a result, covered industries gain greater control over their pricing strategies in the market. However, this mechanism might shift carbon leakage further down the value chain, as it could increase the cost of goods sold (COGS) for buyers of CBAM-covered products. This may potentially lead to demand destruction and/or reduce the competitiveness of goods intended for export.

Industrial & Trade policies: Better coordination with sustainability related policies

A change of approach, not of ambition: In our view, EU carbon pricing policies – and specifically the EU ETS 1 reform – need to be analyzed jointly with EU industrial policies, recognizing that subsidies, state aid, and de-risking mechanisms effectively act as “implicit carbon prices,” as they influence the relative cost of clean versus fossil fuel technologies. For example, extending free allowances for longer — when coupled with subsidies and long-term visibility for carbon capture projects — does not necessarily translate into less emissions reductions overall. **Our view remains that the EU will increasingly seek a better balance between the use of “sticks” and “carrots” to incentivize decarbonization, while remaining attentive to the need to maintain and support domestic industrial capacity.**

EU Industrial Accelerator Act – a notable development in 2026: On March 4, the European Commission presented a proposal for a regulation titled “*Establishing a Framework of Measures for the Acceleration of Industrial Capacity and Decarbonisation in Strategic Sectors*,” also known as the “EU Industrial Accelerator Act” (IAA). The IAA would set a target **to increase the share of the manufacturing to 20% of EU GDP by 2035 (up from 14.3% in 2024)**. The proposal focuses on streamlining permitting processes, establishing lead markets for strategic products (including several clean technologies) through public procurement and support schemes, regulating foreign direct investment in emerging sectors, and designating Industrial

Manufacturing Acceleration Areas to boost industrial activity.

In our view (see our analysis [here](#)), the current version represents a partial “missed opportunity” for high-emitting industries, as it fails to create sufficient demand for EU-produced low-carbon steel and cement. That said, the proposal is a positive development for EU-based manufacturers of clean technologies, such as EVs and batteries. The text was open for stakeholder feedback until May 8, and a rapporteur was appointed at the European Parliament level by the end of May 2026.

Towards a more pragmatic stance on protectionism: One of the most notable policy developments in the EU is a growing willingness to implement targeted protectionist measures in selected sectors.

- This is particularly the case for steel. In April 2026, the EU agreed to halve tariff-free steel import quotas by 47% (down to 18.3 million metric tons annually) and to double out-of-quota tariffs to 50%, with the new measures taking effect from July 1, 2026 ([here](#)). The new regime replaces the existing safeguards (which expire after eight years under WTO rules) and is explicitly designed to shield the sector from a “cliff edge moment,” with EU producers currently operating at only 65% capacity. According to Eurofer, the measure could help bring back about 15 million tons of EU steel-making production and preserve approximately 30,000 direct jobs and 200 000 indirect ones ([here](#)).
- This logic is also reflected in import tariffs on Chinese electric vehicles, where the EU has imposed definitive countervailing duties ranging from 17% (BYD) and 18.8% (Geely) to 35.3% (SAIC), on top of the standard 10% import duty ([here](#)).
- In parallel, the EU has tightened access to its solar market, moving to a gradual restriction of funding for projects using Chinese inverters, quoting “serious economic & cybersecurity risks” ([here](#)).

Last but not least, the same logic underpins the EU IAA, particularly with regard to public support schemes and public procurement. Leveraging the EU’s €2 trillion public procurement budget (around 14% of EU GDP), the IAA introduces mandatory “Made in EU” and low-carbon requirements across strategic sectors including batteries, solar, wind, hydrogen, nuclear, aluminium, cement, steel, and EVs. Specific thresholds vary by sector. High-risk suppliers can be excluded outright, and exceptions apply only where EU options are over 25% more expensive, where competition is insufficient, or where technical s arise.

“Accelerate EU” as a response to the energy shock: The escalation of the conflict between the United States and Iran has triggered a severe energy shock across global markets. Disruptions to oil and gas flows through the Strait of Hormuz, combined with heightened geopolitical risk premia, have driven crude prices sharply higher and reignited concerns over gas supply security in Europe. For the EU — still structurally exposed to imported fossil fuels despite the progress made since the 2022 Russia–Ukraine crisis — the renewed surge in energy costs has placed acute pressure on households and industrial competitiveness. Against this backdrop, Brussels has moved swiftly to articulate a coordinated response. In our view, the Middle East crisis has accelerated pre-existing plans rather than causing a change in direction. On April 22nd, the European Commission published “AccelerateEU,” a Communication aimed at addressing rising energy costs and reducing reliance on imported fossil fuels. The Commission’s near-term measures focus on shielding consumers and industry from energy price spikes through temporary support schemes and coordinated actions across

Member States. Its longer-term structural measures emphasize electrification and grid investments.

State Aid flexibility will remain central to the EU Ambition: The Accelerate EU action plan represents another reminder that more flexible State Aid will be key for EU Member States to drive their low-carbon industrial policies. With Accelerate EU, the Commission allowed greater flexibility for targeted temporary emergency measures via a State Aid Temporary Framework.

This represented, in our view, the most consequential near-term regulatory development. Its adoption expanded the range of possibilities available to Member States, allowing for increased support to energy-intensive industries and vulnerable households. This expansion is expected to accelerate the rollout of national subsidy and price support programmes. State Aid is central to the EU's ambition to deliver clean and affordable energy to consumers. We recall that the "Clean Industrial Deal State Aid Framework" (CISAF) was adopted in June 2025, and a staff working document was published in November 2025. This new framework replaced the TCTF (Temporary Crisis & Transition Framework) and represents a policy toolkit enabling Member States to provide streamlined financial support for decarbonisation efforts across various economic sectors, including energy-intensive industries, clean tech, renewable energy rollout, agriculture, and transport (see our comment [here](#)).

Fiscal constraints introduce differences among Member States: In our view, the binding constraint on ambition is public finance strength across European countries, which directly affects their capacity to sustain national support schemes for batteries, solar, heat pumps, and other technologies. The policy logic is that repeated energy shocks should eventually embed resilience into corporate and household investment decisions, but delivering this requires sustained policy visibility and stability for businesses to commit capital.

A focus on the EU Electrification Action Plan from July 2026

EU Commission Electrification Action Plan: The European Commission unveiled its Electrification Action Plan on 17 July 2026 alongside the ETS reform. This, in our view, further emphasizes the importance of analyzing their complementarity. The EU -EAP aims to reduce the EU's dependence on fossil fuels by setting an indicative 46% electrification target by 2040, up from citing a decade-long stagnant ~23% electricity share of final energy use. The Commission highlights that accelerated electrification could cut the EU's fossil fuel import bill by up to €260bn per year by 2040, lower electricity generation costs by ~20%, and reduce emissions by more than 2,000 Mt CO₂ (~20% of current levels).

The centerpiece of the Plan is price-gap reform aimed at leveling electricity against gas. It targets narrowing the electricity-to-gas price ratio to below 2.5x for households and below 2x for industry by 2030, citing that electricity is being taxed more heavily than gas in most Member States, which discourages fuel switching. A legislative proposal on network charges will empower Member States to cut grid charges and taxes for targeted users and to tax electricity more favorably than gas. However, the ultimate implementation responsibility will be in the hands of Member States.

The Commission plans to lower upfront electrification costs across industry, transport and buildings through sector-specific measures. In industry, which

accounts for almost a quarter of EU energy demand, the Commission will deploy a revised ETS framework (as discussed above), the Industrial Decarbonisation Bank and a €30bn ETS Investment Booster, while developing sector-specific electrification roadmaps, facilitating PPA rollout, and launching a second industrial heat auction. For transport, the Commission is targeting 400,000 zero-emission trucks by 2030, supported by social leasing schemes and clean transport corridors, alongside a review of the Clean Vehicles Directive and updated charging infrastructure standards. In buildings, the Commission aims to double heat pump installations to ~4mn per year by 2030, supported by a potential clean heat market mechanism, the Heat Pump Accelerator platform, and financing tools including the Social Climate Fund and Recovery and Resilience Facility. Underpinning all three sectors, the Commission has flagged grid deployment as the critical enabler, with the adoption of the Grids Package by the co-legislators by year-end viewed as essential to accelerating the broader electrification agenda. We provide a summary of envisaged measures in the table below.

Figure 27: EU Electrification Action Plan - Actions, Timeline, Targets & Financing Mechanisms per sector

Sector/Technology	Key Action/Measures	Targets/Metrics	Timeline/Deadlines	Funding Mechanisms
Buildings & Heat Pumps	Explore Clean Heat Market Mechanism; Mobilize Heat Pump Accelerator platform to derisk investments; Mobilize Energy Efficiency Financing Coalition for DHC; Cooling and Heating Action Plan; Better Homes Partnerships; National online heat-pump cost-comparison quote tools; Accelerating heat pumps in public buildings via public procurement	Double heat pump installations to ~4mn/year by 2030 (from ~2.4mn in 2025); Household heating bill reduction up to 60% from gas boiler switching; ~100m heat pumps long-run ambition (vs. 30 m today)	By 2030	Innovation Fund, Social Climate Fund, Recovery and Resilience Facility, Energy Efficiency Financing Coalition, Leveraging Public Procurement
Storage & Flexibility	EIB Group deployment >€75bn over 3 years for grids, storage, flexibility & manufacturing; Assessment of EU long-duration flexibility needs for 2030, 2040, 2050 (inc. storage & response mechanisms); Focus on long-duration storage, industrial demand response, grid-constrained regions and islands, Tripartite Agreement on Energy Storage (30–35 GW pledges for 2026–2028); High-level conference on storage barriers; Methodology to assess industrial-scale flexibility potential by 2027	200 GW stationary storage by 2030; 500 GW by 2040 (from ~55 GW today); Industrial thermal storage to triple to 1.5 GWh by 2028; 30–35 GW pledged for 2026–2028	2026–2040	EIB Group (>€75bn in the next 3y) (Decided as part of March Clean Energy Investment Strategy); Innovation Fund
EVs & Transport	Review Clean Vehicles Directive; Clean Corporate Vehicles Regulation; Demand-side incentives & social leasing schemes (Social Climate Fund, ETS revenues); V2G regulatory sandboxes; Smart-charging-by-default assessment; Legislate V2G standards for new EVs; Maritime electrification (AFIR onshore power, FuelEU Maritime); EV tax incentives (registration taxes, depreciation, company BEV incentives); Corporate fleet electrification under Circular VAT initiative; Eurovignette toll exemptions for zero-emission lorries; Removing barriers for ferries and inland navigation; Onshore power supply (OPS) / ports as energy-hubs; Pilot for regional centres of excellence for zero-emission aviation	400,000 zero-emission trucks by 2030; +€44bn annual savings for EV owners by 2040 from smart charging/V2G; 40% battery-electric propulsion of EU truck fleet by 2040; Shore-side charging for one-third of EU ferry fleet by 2040; ~120m BEVs long-run ambition (vs 8m today)	Smart-charging assessment by mid-2027; V2G legislation by end-2027; V2G standards from 2030; HDV/ferry KPIs by 2040	Social Climate Fund; ETS revenues; Alternative Fuels Infrastructure Facility; Cohesion Fund
Grids & Transmission	Grids Package adoption by co-legislators; Network charges legislative proposal (incentivise electrification, smart meter deployment, improve electricity-to-gas price ratio); New/revised network codes for demand response, battery storage, thermal storage, geothermal, EVs, heat pumps; Mid-term Cohesion Policy review allocation; AFIR review with updated technical specs for interoperability & bi-directional charging; e-HDV charging coordination across TEN-T corridors; European financial derisking tool for heavy-duty recharging	€1.2bn additional for grids and interconnectors	Grids Package by year-end; AFIR review 2026	EIB Group (>€75bn in the next 3y) (Decided as part of March Clean Energy Investment Strategy); Cohesion Fund (€1.2bn top-up) (New - result of mid-term review of Cohesion policy); Alternative Fuels Infrastructure Facility
Geothermal	Dedicated Geothermal Stakeholder Partnership	Potential to meet >10% EU electricity needs and 25% heating/cooling demand	Q1 2027	Innovation Fund; Horizon Europe
Power Generation / Renewables	Reinforce RED III implementation support; Facilitate long-term cross-border electricity contracts; Launch GeoDep map-based tool for energy-intensive industries/investors; Renewable energy auction design database	Full RED III transposition by summer 2027	GeoDep tool by Q2 2027; Auction database by 2027; RED III transposition by summer 2027	Horizon Europe, Modernisation Fund; Recovery and Resilience Plans
Nuclear / SMRs	Cross-border cooperation for faster nuclear reactor licensing; Support lifetime extension (unless uneconomical/unsafe); Advance Small Modular Reactors	First operational SMR projects by early 2030s	Early 2030s	Horizon Europe; STEP (€15.2bn - existing envelope)
Waste Heat & District Heating	EU Waste Heat initiative; European City Facility pilot (€15mn, funding up to 180 municipal heating/cooling plans, ambition to convert 1,000 into investible business cases)	Waste heat supplying 11% of EU heat demand by 2050; DHC covering 15% of total heating/cooling by 2030; DHC networks growing 6–7%/year	City Facility pilot summer 2026; Waste Heat initiative by Q2 2027	European City Facility (€15mn - New pilot mechanism); Energy Efficiency Financing Coalition; Cohesion Fund
Hydrogen	Update EU Hydrogen Strategy for hard-to-electrify industrial processes	N/A (strategy update)	TBD	Innovation Fund; Horizon Europe
Data Centres	Common EU rating scheme with minimum performance standards; Dedicated acceleration zones under Cloud and AI Development Act; Incentivised to support grid stability	Minimum performance standards (TBD)	TBD	Horizon Europe; STEP
Aviation & SAF	Pilot to establish regional centres of excellence for zero-emission aviation; SAF as complementary to electrification in aviation decarbonisation	Contribute to stronger EU industrial base	TBD	Innovation Fund; Horizon Europe
Industry	Revised ETS framework; €100bn Industrial Decarbonisation Bank (housing €30bn ETS Investment Booster); Sector-specific electrification roadmaps; PPA rollout facilitation; EU-level mechanism to pool industrial electricity demand to reduce PPA risk; Net-Zero Industry Act guidance (non-price auction criteria & permitting); Industrial Acceleration Areas; Industrial waste heat recovery (300 TWh/year potential)	€100bn Industrial Decarbonisation Bank; €30bn ETS Investment Booster; 60% of industrial energy demand technically feasible for electrification; Steel-sector demand potentially double to 165 TWh by 2030; 300 TWh/year waste heat recovery potential	Ongoing	€100bn Industrial Decarbonisation Bank; €30bn ETS Investment Booster (based on existing allowances) ETS1/ETS2 revenues;

Source: J.P. Morgan

Our View: the Plan is a demand-pull and cost-reform package that broadly favors heat pump manufacturers, EV and charging-infrastructure providers, grid and transmission operators, clean-tech and SMR developers, and energy-intensive industries that stand to benefit from tax and network-charge relief. A clean and transparent execution will be crucial for private stakeholders to see this as a catalyst for action and investment, rather than a wishful thinking exercise.

The near-term catalysts to watch include: (i) adoption of the Grids Package by co-legislators by year-end, a key signal of political momentum; (ii) the second industrial heat auction under the Innovation Fund and the two Net-Zero Industry Act guidance documents, expected later in 2026; (iii) the review of the Clean Vehicles Directive; and (iv) Member State action on rebalancing electricity-to-gas taxation ahead of the 2030 price-ratio milestone.

Over the longer horizon, the 46% electrification target and fossil fuel subsidy phase-out will be formalized in the post-2030 Energy Union package. Whether Member States adopt the tax differential will be the clearest early signal of whether this plan translates from announcement to measurable impact.

EU Grid Package: Towards an accelerated agreement?

A massive investment need: Grid capacity and interconnection are binding constraints on electrification and renewables integration, with the Commission estimating €584bn of electricity reinvestment needs by 2030, including €170bn for digitalization (e.g. smart meters and automated management – see [here](#)).

Background: The European Grids Package, presented by the Commission on 10 December 2025, is a legislative proposal to revise the TEN-E Regulation and amend the Renewable Energy Directive, Electricity Market Design, and Gas Directive to accelerate permit granting. It aims to tackle EU cross-border energy infrastructure challenges by improving grid planning coordination, enabling fairer cost-sharing, speeding up permitting, boosting efficiency through new technology and storage, and strengthening resilience and security. It intends to deliver this through the legislative proposals, two guidance documents (on grid connections and 2-way contracts for difference), and the Energy Highways initiative targeting 8 priority infrastructure bottlenecks across Europe. The AccelerateEU communication aims to accelerate negotiations on the package. The Electrification Action Plan also outlined several grid-specific proposals, inc. on smart metering and network charges.

Our view: In our view, two bottlenecks remain. First, incentivizing grid build requires adequate regulated returns, with utilities needing clearer economics to accelerate capex. This will be decided on a country-by-country basis (Germany and UK flagged as likely leaders); second, permitting and administrative timelines remain structurally slow, and while the EU has been attempting to address this since 2023, it cannot compel member-state administrations to accelerate/

Climate Adaptation will be higher on the EU & Member States agendas in the months to come

The events of the summer will likely reshape the EU policy conversation on adaptation and resilience, with a heightened focus on cross-border disaster response, infrastructure – inc. buildings – adaptation, agricultural insurance and re-insurance models.

A financial material issue: Climate-related economic damage in the EU now totals €45 billion annually, five times higher than in the 1980s. In Feb 2026, the European Scientific Advisory Board on Climate Change warned that the EU "not adequately prepared" and called for preparation against 2.8–3.3°C of warming by 2100 ([here](#)).

Towards a policy package on resilience & adaptation: The EU Commission is currently developing a new integrated framework for EU Climate Resilience and Risk Management, expected to be adopted in late 2026 ([here](#)). It will take the form of a "policy package" – comprising both non-legislative and legislative measures, most likely amending existing regulations and directives and/or introducing new ones. Key elements of the proposal are likely to include the introduction of a common climate reference scenario for Europe based on a 3°C trajectory, which would serve as a

benchmark for EU policies and provide a harmonized methodology for climate risk assessments to be conducted by Member States, sectors, and private actors. The package would also include an obligation to integrate this scenario into policymaking. Among other priorities, particular attention will be paid to addressing the finance and insurance protection gaps, given that only 25% of climate-related losses in Europe are currently insured ([here](#)). This strategy will have implications for several sectors.

Initiatives are already being launched: in May 2026, the EU Agriculture Commissioner, Christophe Hansen, announced that the Commission is working with the European Investment Bank on developing new agricultural insurance models and reinsurance options for farmer, with a pilot project expected in the EU 2027 budget ([here](#)).

A Wake-Up Call? The summer 2026 has become Western Europe's hottest and most extreme on record, with the region logging its warmest June-July ever (2.79°C above the 1991-2020 average) and enduring three intense heatwaves in as many months. Meteorologists and climate scientists have been unusually unequivocal: the World Weather Attribution group found the June heatwave would have been “virtually impossible” without human-driven climate change—now making such events 100 times more likely than two decades ago—while noting Europe is warming at more than twice the global average. What makes this summer potentially decisive for policy is the sheer breadth of tangible, economy-wide damage that has moved adaptation from abstraction to urgency. A vivid symbol has been the Rhine, which fell to record lows (navigable depth at Kaub as low as 10-24 cm, below the 2018 record of 25 cm), halting sailings, forcing barges to sail at ~20% capacity (see our comment & stock impacts [here](#)). Spain, France, and the UK have recently declared European megafires as evidence that climate change is a national security emergency, urging urgent action on emissions and adaptation while reaffirming their commitment to the Paris climate accord and emphasizing decarbonization and resilience for economic security. It also became a financial stability issue: the European Central Bank (ECB) announced that it will strengthen its monitoring of financial risks related to ecosystem destruction, such as wildfires, and plans to publish analysis on how environmental degradation could lead to credit losses for eurozone banks ([here](#)).

Circular Economy: Implementation is ongoing, and a new framework is upcoming

Towards a Circular Economy Act: One of the key developments to watch in the EU in 2026 will be the upcoming EU Circular Economy Act (CEA). A formal legislative proposal is expected from the EU in Q3 2026, following the consultation launched in August 2025. The CEA aims to establish a single market for secondary raw materials, increase the supply of high-quality recycled materials, and stimulate demand for these materials within the EU. By doing so, it will contribute to the EU's ambition to become a world leader in the circular economy by 2030, as outlined in the EU Competitiveness Compass. Among other objectives, the Circular Economy Act seeks to implement measures to double the EU's circularity rate from its current level of 12% to 24% by 2030.

Building upon the EU Circular Economy Action Plan: The upcoming Circular Economy Act will build upon the Circular Economy Action Plan, which was adopted in March 2020, as part of the Green Deal. As a reminder, this plan included various legislative and non legislative instruments to establish 1) a sustainable product policy

framework, 2) key product value chain, and 3) actions to reduce waste & increase the value of current waste streams. As shown by the summary table below, while many of the legislations have already been adopted and entered into force, several measures are being gradually phased-in.

Most recent developments include:

- **ESPR:** The entry into force of rules preventing the destruction of unsold apparel, clothing accessories and footwear;
- **PPWR:** The entry into force of the Packaging & Packaging Waste Regulation entered into application on August 12. It sets new 2030 and 2040 targets for companies on recyclability, recycled content, and reusability of plastic packaging, while restricting PFAS in food-contact manufacturing. Our [2024 analysis](#) revealed that FMCGs are broadly on track to comply with the 2030 packaging-related goals, but will need to accelerate their initiatives to meet some of the 2040 objectives.
- **ELV:** The formal adoption and entry into force of the new regulation for the end of life of vehicles. The regulation sets mandatory recycled plastic targets for new cars sold in the region. Under the rules, carmakers must ensure that new vehicles contain at least 15% recycled plastic from 2032.
- **Green Claims:** While the “Proposal for a Directive substantiating green claims” has been abandoned, we flag that the ECGT Directive rules will start applying from September 27th, 2026, and introduce new requirements for consumer facing brands in their sustainability communications, in order to limit greenwashing.

Figure 28: Overview of the current implementation status of key legislation supporting the 2020 Circular Economy Action Plan

Pillar	Name	Entry into force...	Short description	Latest developments	Sectors Affected
Sustainable Product Framework	Ecodesign for Sustainable Products Regulation (ESPR)	Jul-24	Framework to set product-specific sustainability requirements—such as durability, reparability, energy/resource efficiency, and recyclability—for a much wider range of goods than the prior ecodesign rules. It also introduces tools like a Digital Product Passport to improve transparency and circularity across value chains, and includes measures such as restricting the destruction of certain unsold consumer products (notably textiles).	From July 19 2026, new rules apply that aim to prevent the destruction of unsold apparel, clothing accessories and footwear.	Broad manufacturing – textiles/apparel & footwear, furniture, iron & steel, electronics, chemicals, tyres
	Directive empowering consumers for green transition (ECGT)	Mar-24	The EU Directive empowering consumers for the green transition strengthens consumer protection rules by requiring clearer, more reliable sustainability information and by cracking down on misleading environmental claims (“greenwashing”). It also promotes more sustainable consumption by improving transparency on product durability and reparability and by addressing practices like early obsolescence.	Transposition deadline was 27 March 2026. Rules start to apply from 27 September 2026.	Consumer-facing brands & retail (any seller making sustainability/green claims), advertising & marketing
	Directive on repair of goods	Jul-24	The EU “Right to Repair” Directive (Directive on common rules promoting the repair of goods) is designed to make repairs easier and more attractive for consumers by increasing access to affordable repair services and improving information on repair options. It requires manufacturers—especially for certain products subject to EU reparability rules—to offer repair, and it introduces measures like standardized repair information and tools to help consumers find repair services.	Directive was scheduled to be transposed and to apply from 31 July 2026	Consumer electronics & appliances manufacturers (products under EU reparability rules), aftermarket/repair services
	Industrial & Livestock Rearing Emissions Directive	Aug-24	The EU Industrial & Livestock Rearing Emissions Directive is the updated EU framework that expands and tightens pollution-control rules for large industrial installations and certain intensive livestock farms, requiring permits based on “best available techniques” to prevent and reduce emissions to air, water, and soil. It strengthens monitoring, reporting, and enforcement requirements and broadens the scope of covered activities to better address environmental and health impacts from industry and livestock rearing.	Member State transposition deadline was 1 July 2026	Heavy industry (metals, cement, chemicals, refining, power) and intensive livestock farming (pigs, poultry, and now certain cattle)
	Proposal for a directive substantiating green claims	N/A	Put on hold in 2025	Not applicable	N/A
Key Product Value Chains	Regulation on Packaging Waste (PPWR)	Feb-25	The EU Packaging and Packaging Waste Regulation (PPWR) sets harmonized EU-wide rules to prevent and reduce packaging waste by tightening requirements on packaging design, recyclability, recycled-content use, and waste reduction. It also introduces measures such as packaging minimization, targets for reuse/refill systems in certain sectors, and clearer labeling to support collection and recycling across the single market.	Rules begin to apply on a phased basis from Aug. 12th 2026. Aug 2026: Ban on PFAS in food contact packaging. Other key obligations will start in 2028 (labelling) and 2030 (reuse targets, mandatory use of recycled plastics)	Packaging producers, FMCG/consumer goods, food & beverage, retail, e-commerce
	Batteries Regulation	Jul-23	The EU Batteries Regulation establishes harmonized rules across the battery value chain to improve sustainability, safety, and circularity—covering requirements like carbon footprint declarations, due diligence for raw materials, performance and durability standards, and restrictions on hazardous substances. It also strengthens end-of-life obligations through collection and recycling targets and introduces measures such as battery labeling and (for key categories) a battery “passport” to improve transparency and traceability.	Additional compliance milestone in Aug 2026: labeling requirements for non-rechargeable portable batteries	Battery manufacturers, automotive/EV, consumer electronics, industrial & energy storage
	EU Strategy for sustainable & circular textiles	Mar-22	The EU Strategy for Sustainable and Circular Textiles is a policy framework to ensure textiles placed on the EU market are longer-lasting, repairable, recyclable, and produced with lower environmental and social impacts. It sets a roadmap for measures such as ecodesign requirements for textiles, expanded producer responsibility, actions against fast fashion and textile waste, and better transparency and traceability across textile value chains.	From July 19 2026, new rules apply that aim to prevent the destruction of unsold apparel, clothing accessories and footwear.	Textiles, apparel, footwear & fashion (incl. fast fashion)
	New Regulation for end of life vehicles	Aug-26	The EU’s new End-of-Life Vehicles (ELV) Regulation aims to update and replace the existing ELV rules by setting stricter circularity requirements for vehicle design and treatment—such as higher reuse, recycling and recovery performance and mandatory recycled-content targets for plastics in new vehicles. It would also lighten producer responsibility and information obligations to improve dismantling, parts reuse, and material traceability across the automotive value chain.	Formally adopted by the EU Council in June. Entered into force in Aug. 2026 and will start applying on Sept 2028.	Automotive OEMs & suppliers (design, recycled-content targets), vehicle dismantlers/recyclers
Less Waste, More Values	Regulation on Waste Shipment	May-24	The EU Waste Shipment Regulation sets rules for shipping waste within the EU and for imports/exports, aiming to ensure waste is managed in an environmentally sound way and to curb illegal shipments. It tightens controls—especially on exports outside the EU—by strengthening notification/consent procedures, enforcement cooperation, and traceability requirements.	Most provisions apply from May 2026 but export restrictions rules will apply only in May 2027	Waste management, recycling & exporters of waste, metals & plastics scrap traders
	Revision of the WEEE	Upcoming	The EU WEEE (Waste Electrical and Electronic Equipment) framework aims to modernize rules for collecting, treating, and recycling e-waste to better support circularity and address fast-growing waste streams such as small electronics and products with embedded batteries. Its potential upcoming revision is expected to strengthen producer responsibility and reporting, improve separate collection and recovery of critical raw materials, and align requirements with newer EU product and battery legislation.	The EU Commission will assess the need for a revision of the WEEE by December 2026	Electrical & electronic equipment producers, e-waste recyclers
	REACH Revision & EU Regulation on microplastics	2023	REACH restriction on intentionally added microplastics, which bans or limits placing on the market and use of products that contain deliberately added microplastic particles to reduce their release to the environment. It is complemented by labeling, instructions-for-use, and reporting requirements for certain uses where immediate bans are not applied. It entered into force on 17 October 2023 (20 days after publication), with phased application dates: some prohibitions started applying from 17 October 2023, while other product categories have transition periods (in some cases extending for several years) before the bans/obligations apply.	None. Gradual phase-in of restrictions.	Cosmetics & personal care, detergents/cleaning, paints & coatings, agriculture/fertilizers, sports surfaces (infl)

Source: J.P. Morgan

Critical Raw Materials – Rolling out the CRM Act & REsource EU Plan: The Backbone of European Sovereignty and Competitiveness: On December 3, 2025, the European Commission adopted the REsourceEU Action Plan, a decisive step to secure supplies of critical raw materials (CRMs) such as rare earths, cobalt, and lithium—

resources increasingly tied to industrial sovereignty and global competitiveness. RESource EU plan builds on the Critical Raw Materials Act (which was adopted in April 2024 and has been in force since May 2024, see our [comment](#)). The Action Plan aims to shield European industry from geopolitical and price shocks through a new European Critical Raw Materials Centre, joint purchasing, stockpiling and crisis coordination mechanisms. The ambition is to boost competitiveness by de-risking investments, fast-tracking Strategic Projects (targeting up to a 50% reduction in dependencies by 2029), and mobilizing up to €3 billion over 2026 for alternative supply projects like Vulcan's lithium operation in Germany and Greenland Resources' Malmbjerg molybdenum project. The plan also aims to reinforce recycling capacity, tough export restrictions on permanent magnet scrap and targeted CRMA amendments. Internationally, the EU aims to deepen its 15 Strategic Partnerships, launch negotiations with Brazil, and advance frameworks with Ukraine, the Western Balkans, and G7/G20 allies.

PFAS: Towards a nuanced phase out? The most decision-relevant milestone for EU PFAS regulation is the European Chemicals Agency process under REACH. ECHA is expected to deliver the final Risk Assessment Committee and Socio-Economic Analysis Committee (SEAC) opinions to the European Commission in 2026. These committee opinions will feed directly into the Commission's restriction proposal for a wider ban and subsequent Member State vote via the REACH Committee. In the meantime, Member States continue to introduce their own targeted bans. The emergence of a PFAS-free materials market presents both risk and opportunity, as companies that innovate and substitute alternatives may benefit from new revenue streams, while those lagging behind face rising compliance and remediation costs. According to the lawfirm Keller & Heckman ([here](#)), expectations for a "sweeping reform" of REACH have significantly diminished. However, the EU is moving towards a more targeted, pragmatic approach focused on specific substances, enhanced enforcement & sector-specific legislation. Among the most recent developments, the entry into force of the ban of PFAS in food-packaging in August 2026 – discussed earlier – is a good example of this more targeted approach. **For more details on regulatory developments & EU Stock exposure (both risks & opportunities)**, see "Forever Changed" 2026: Update on PFAS Risk & Opportunities, Exposure in EMEA & Engagement Guide, April 2026 (J. Hecker) - [link](#).

Biodiversity & Nature: Simplification ongoing

Direction of travel: Throughout 2026, EU biodiversity and nature regulation was dominated by two parallel currents: the simplification of corporate sustainability reporting and the staggered implementation of the EU Deforestation Regulation (EUDR). Recent developments highlight a pivot toward easing administrative burdens and buying implementation time while trying to preserve core nature and biodiversity objectives.

Biodiversity reporting: On the reporting side, the Commission opened a feedback window on the revised ESRS on 6 May 2026 and then adopted the revised standards on 3 July 2026, cutting the mandatory data-points by over 60% while keeping biodiversity (ESRS E4) in scope for material disclosure. EFRAG followed on 28 July 2026 with interactive revised-ESRS materials, noting that implementation guidance was not yet available.

EUDR – implementation postponed and simplified: On May 4, 2026, the European Commission published a simplification review of the revised EU Deforestation Regulation (EUDR). The package includes a report to the Parliament and Council, updated guidance and FAQs, a draft delegated act refining the product scope, and an updated Information System implementing act. Together, these measures aim to cut companies' annual compliance costs by roughly 75%. The draft delegated act was open for public feedback until June 1, 2026, ahead of the regulation's entry into application on December 30, 2026 for large and medium firms (and June 30th 2027 for small and micro enterprises). It was adopted on July 13th ([here](#)). It removes cattle hides and skins, leather, re-treading tyres, soybeans for sowing, articles of vulcanised rubber, conveyor and transmission belts, and aircraft and motor vehicle seats from the scope of the Regulation. At the same time, it adds soluble coffee, certain palm oil derivatives and frozen cattle tongues.

A few additional developments are worth noting: 1) In May, The European Commission opened its Birds and Habitats Directives to public consultation, following a similar move on the Water Framework Directive in April, as part of a broader deregulation drive aimed at boosting competitiveness. 2) The EU Commission has launched a Nature Credit Roadmap, with the aim to develop standards and a reliable certification for nature positive actions, in order to ensure that biodiversity credits are effective and trustworthy.

The EU's attempt to crack Digital Sovereignty

EU AI Act: New timeline with the Digital Omnibus

The EU AI Act entered into force on 1 August 2024 and follows a staggered entry into application, with certain provisions already applicable. However, the digital omnibus has delayed some of the implementation dates of the AI Act. From 2nd August 2026, transparency obligations apply to new systems (watermarking and information); while “nudification”, the new prohibited practice added by the Digital Omnibus, will be banned from the 2nd December 2026 (see [Responsible AI: The Brussels Effect, When the EU AI Act Becomes the World's Default](#)).

Table 3: New EU AI Act Timeline

Date	Milestone
01-Aug-24	AI Act entered into force; staggered application, with certain prohibitions, AI literacy, and GPAI rules already applicable.
10-Jun-26	EU Commission published its Code of Practice on marking and labelling AI-generated content.
23-Jul-26	Deadline for stakeholder feedback on the draft Guidelines for classifying high-risk AI systems, via public consultation (EU Survey), before formal adoption.
02-Aug-26	Article 50 transparency obligations apply, save that Article 50(2) does not apply to systems already on the market at that date.
02-Dec-26	Article 50(2) transparency (watermarking/detection) requirements apply to legacy systems; new prohibited practices apply.
02-Aug-27	Member States to set up at least one national AI regulatory sandbox; Commission deadline for delegated acts on sectoral rules for Annex I AI.
02-Dec-27	High-risk obligations apply to Annex III (stand-alone) AI systems.
02-Aug-28	High-risk obligations apply to Annex I (embedded) AI systems.

Source: J.P. Morgan

European Technological Sovereignty Package

On 3 June 2026, the European Commission unveiled the **European Technological Sovereignty Package**, with the **Chips Act 2.0** as one of its two flagship legislative proposals (alongside the Cloud and AI Development Act, the Open Source Strategy, and a Strategic Roadmap for Digitalisation and AI in Energy). The package is designed to reduce structural dependencies on non-EU suppliers for core digital technologies and to support Europe's ambition to become an “AI continent”.

The Chips Act 2.0 is a candid acknowledgement that the original Act, while a useful first step, will fall well short of the 20% global share target. By coupling supply-side measures with demand pull, faster permitting, strategic project financing, and a potential new EU equity vehicle, the Commission is attempting to close the structural gap with the US and Asia — particularly in the AI-chip segment that will define the next decade of semiconductor growth. Execution risk remains high (fabs take 4–5 years to build, and skills shortages are global), but European equipment and materials leaders such as ASML, Besi, ASMI, Infineon and Soitec could benefit from the initiative's through both local demand and public support.

The Cloud and AI Development Act marks a decisive shift from regulating cloud services to actively building EU capacity and reducing strategic dependencies.

The sovereignty framework is the centerpiece, ending so-called “sovereignty washing” with auditable, EU-wide criteria. It uses public procurement as a strategic lever to drive demand for European providers and SMEs. In particular, it aims to triple EU data centre capacity within 5–7 years, meeting full needs by 2035, as well as ensuring highly critical public-sector workloads run on sovereign cloud/AI services by 2035. As part of these efforts, the EU has launched a call for tenders to establish up to seven AI Gigafactories, aiming to expand Europe's AI computing capacity with up to €10bn in public funding and at least €20bn in private investment, providing infrastructure for advanced AI development. [EC](#)

Finally, the enforcement of the landmark Digital Markets Act is likely to focus attention. President Donald Trump threatened new tariffs on European Union goods in response to the EU's \$1bn fine on Google for Digital Markets Act violations, invoking Section 301 of the Trade Act and announcing a trade investigation into alleged unfair practices against American companies.

EU Sustainable Finance: Toward a Pragmatic Softening

The EU sustainable finance agenda is trending toward pragmatic softening.

The EU Parliament's vote on SFDR 2.0 has slipped to at least September amid MEP disagreements over transition fund exclusions. In our view, the direction of travel is that co-legislators will be shifting from a purely sustainability-driven stance on "transition investing" to a "mixed approach" i.e. defining transition as "investing in assets that benefit from the transformation of energy systems, while also favoring issuers that are implementing credible GHG-reduction actions that go beyond business as usual." We recall that implementation of the upcoming changes is unlikely before at least 2029.

The same scope-narrowing and burden-reduction runs through CSRD, ESRS, and EBA disclosure simplification—though climate risk is, conversely, being embedded into prudential supervision.

All Eyes on SFDR 2.0

Still waiting for the final position of the EU Parliament: Over the last eight months, investors have paid significant attention to SFDR 2.0 related policy developments. While it was originally expected on July 15th, the European Parliament's vote on revisions to the Sustainable Finance Disclosure Regulation (SFDR) has been delayed until September due to a lack of agreement among MEPs, particularly on Transition fund exclusion.

Where do they stand? The table below summarizes the "known" positions of the three co-legislators as of now (see our full comment [here](#)). As discussed in the takeaways from our discussions with investors, it seems that EU co-legislators are progressively shifting from a "Sustainability-Driven Approach" to a "Mixed Approach" of transition investing (see [here](#)), i.e. defining transition as "investing in assets that benefit from the transformation of energy systems, while also favoring issuers that are implementing credible GHG-reduction actions that go beyond business as usual."

Figure 29: Summary: Key Changes proposed by the Co-legislators - Comparative overview.

Provision / Issue	Commission proposal	Parliament (ECON draft report)	Council mandate
15% Taxonomy "safe-harbour" threshold	15% Taxonomy-aligned share deemed to meet the contribution criterion (Arts. 7 & 9); rationale: ~half of current Art. 9 funds could meet 15% Commission proposal	Raised to 20% in both Art. 7 and Art. 9; rationale: 20% already met by 44.1% of current Art. 9 funds	15% retained; same market-readiness rationale
Review of the Taxonomy threshold	36 months after application	Adds a standalone duty to review at 36 months and every 36 months thereafter	60 months after application
PAI indicators – Transition & Sustainable Categories	Largely voluntary: FMPs "may choose to comply in full or in part" using appropriate indicators	Mandatory PAI indicators set by delegated act, complemented by material indicators, plus optional voluntary ones; converts "voluntary use" to "use" throughout	Mandatory: FMPs "shall comply" and must use at least three of the most relevant listed indicators; plus a fossil-fuel exposure indicator where relevant
PAI for ESG basics (Art. 8)	No PAI obligation for this category	Adds a new PAI obligation to Art. 8 (new point (ba) + mandatory and material indicators)	No PAI obligation added
Transition fossil-fuel company exclusion	Excludes companies developing new fossil projects, or without a phase-out plan, for coal/lignite power generation	Same as Commission	Excludes companies deriving revenue from coal/lignite/oil/gas unless they allocate ≥20% of total capex to Taxonomy-aligned activities and have a time-bound Scope 1&2 reduction strategy aligned with Paris
CTB/PAB benchmark safe harbours	Products tracking an EU Climate Transition Benchmark / Paris-aligned Benchmark deemed to meet the category conditions	Deletes the safe harbours in both Art. 7 and Art. 9; products must meet exclusion conditions directly. Rapporteur argues the link to EU benchmark law survives without the automatic safe harbour	Safe harbours retained with wording: adds definitions of "managed in reference to" a CTB/PAB
ESG basics – ESG-rating outperformance approach	Investments must outperform the average rating of the investment universe or reference benchmark	Must outperform after eliminating at least the lowest-rated 20% of securities (best-in-class style screen)	Same as Commission
ESG basics – indicator outperformance approach	Outperform on one specific appropriate sustainability indicator	Outperform on a specific indicator after eliminating at least the lowest 20% of values	Outperform on at least two indicators
Sovereign / public-sector debt treatment	General-purpose sovereign/sub-sovereign/supranational debt excluded from the numerator of sustainable & transition products but can remain in the denominator; use-of-proceeds instruments can count	No pathway created; adds that public-sector holdings outside the threshold must be consistent with the product's stated objective/strategy (Arts. 7, 8, 9)	Creates a targeted eligibility pathway: EU public-sector general-purpose issuances may count toward the transition threshold (capped at 15 percentage points) where alignment with the transition objective is demonstrated; clarifies exclusions apply to companies, not sovereigns
Engagement-strategy disclosure	None	New requirement across all three categories: describe the FMP's sustainability-related engagement strategy and how implemented, or give a reasoned explanation if none pursued	None
General application date	18 months after entry into force	24 months (Amendment 50), with scope-narrowing and entity-level PAI/remuneration deletions applying from entry into force	24 months, with a defined list of burden-reducing items (scope narrowing, entity-level deletions) applying immediately on entry into force
Entity-level PAI & remuneration deletions	Deleted to remove duplication with CSRD; ~25% of current disclosure costs / EUR 56m recurring savings	Deleted; rapporteur wants these burden-reducing deletions to apply immediately on entry into force	Deleted; CSRD already provides horizontal entity-level disclosures

Source: J.P. Morgan

What's Next? The Council is expected to enter trilogue discussions with the European Parliament no earlier than Q4 2026, with the Parliament's final vote on its SFDR position anticipated by September, setting up a negotiating window later in the year. In our view, once all co-legislators have settled their respective negotiating positions, significant further changes should be expected during the trilogue, as the Commission, Parliament and Council work to agree a joint text and, if possible, adopt the SFDR 2.0 at first reading. Assuming potential adoption by the end of 2026 and factoring in the 24-month implementation delay (subject to change), the changes would take effect in 2029 at the earliest. Should the Parliament and Council fail to reach agreement at first reading, however, the process could take considerably longer.

Other Developments – SRD, Banks, CSRD, Taxonomies, ESG Ratings

Revision of the Shareholder Rights Directive: In August, the EU Commission confirmed that it would proceed with a revision of the Shareholder Rights Directive (SDR), with a legislative proposal expected in Q1 2027. We previously highlighted SRD 3.0 as a potential catalyst for further shareholder activism in the EU (see our Activism First Principles [here](#)).

EU Banks ESG & Climate disclosure: In August, the European Banking Authority (EBA) updated its guidelines for retail banking products with ESG features, mandating that distributors implement internal governance and risk management processes to address greenwashing, with the new rules effective from January 2027 ([here](#)).

In June, the European Banking Authority finalized draft technical standards simplifying ESG risk disclosure requirements for large banks and, for the first time, extending proportionate ESG reporting to all banks, including smaller institutions, while

significantly reducing the number of required data points and tailoring disclosure templates based on institution size and complexity. It also proposed new sustainability disclosure requirements for EU banks, removing the taxonomy alignment ratios and adding reporting on counterparties exposed to climate change, transition plans, and environmental issues like biodiversity loss and invasive species. A consultation closed on July 10.

On climate, the EBA published its draft methodology and templates for the 2027 EU-wide stress test, introducing a climate risk module for the first time. This module will assess transition risks across EEA Member States over a three-year horizon. The module focuses on banks' exposures to non-financial corporations and real estate, reflecting the materiality of these areas for climate risk transmission. While climate risks will not initially affect the core stress test results, their inclusion marks a significant step toward embedding climate considerations into prudential supervision. The EBA also simplified the stress test by reducing data points by 55% and launched a consultation involving 63 banks, representing 75% of the EU banking sector.

CSRD: In July, the EFRAG released a draft of new sustainability reporting standards for non-EU companies under the EU's CSRD, focusing exclusively on companies' impacts rather than risks and opportunities. The draft introduces a "mixed approach," allowing non-EU companies to report impacts either globally or just within the EU. The scope of the CSRD for non-EU companies has been narrowed, reducing the number of affected firms by about 88%. The consultation is open until Oct 31st.

In June, the European Commission sought feedback on implementation guidelines for the Corporate Sustainability Due Diligence Directive (CSDDD), with input required by 24 July and guidelines to be published by 26 July 2027; member states must apply the legislation from 26 July 2029.

In May, the The European Commission approved amendments to the European Sustainability Reporting Standards (ESRS), which remove a significant portion of disclosure requirements and as a result of which the companies reporting under ESRS will not achieve full ISSB compliance without additional reporting; EU institutions have expressed concerns that these changes may limit the scope and availability of sustainability information. Also, new thresholds also cut the number of non-European firms required to report under the CSRD by 90%, from 10,000 to about 1,200.

Taxonomies: In August, the EU Commission withdrew from the development of the Common Ground Taxonomy (CGT) and Multi-Jurisdiction CGT (M-CGT), which were joint initiatives with China and Singapore to map sustainable finance taxonomies ([here](#)).

ESG Ratings: In July, the European Securities and Markets Authority (ESMA) has published Q&As on the EU's ESG ratings regulation, clarifying transparency and organisational requirements for sustainability ratings providers ([here](#)). Earlier in the month, the EU financial watchdogs ([ESMA](#), [EBA](#), [EIOPA](#)) launched a consultation on potential changes to EU taxonomy metrics relevant to financial institutions, with feedback due by 12 August.

UK Regulatory Developments: Uncertainty & Pragmatism

The upcoming Autumn Budget is expected to provide greater clarity on the policy priorities of the new Burnham government, including its approach to sustainability. In parallel, recent sustainable finance developments have signaled a pragmatic regulatory direction, with a focus on alignment with ISSB standards while seeking to limit incremental reporting burdens on companies.

Uncertainty over the new government's sustainability priorities

Too early: Andy Burnham was confirmed as Prime Minister on 20 July 2026. The extent to which his government may depart from its predecessor's approach to climate policy remains unclear at this juncture. To date, the Prime Minister's announced spending measures have not directly impacted the climate agenda; however, a number of open questions persist.

To Drill or not to Drill? Notably, there is [uncertainty](#) around whether Burnham could authorize new drilling in the North Sea — a move that would represent a significant departure from prior policy. In an interview given to the FT at the end of August, the new PM said that he would take a “pragmatic” approach to drilling in the North Sea, forming “a bridge to a renewable future” ([here](#)).

The Autumn Budget will matter: There is also uncertainties on whether the Department for Energy Security and Net Zero [might lose](#) £454 million of funding to finance the government's cap on bus fares. In contrast, some observers have pointed to Burnham's positive climate [track record](#) during his tenure as Mayor of Manchester as a basis for cautious optimism. Our UK economist [sees](#) the forthcoming Autumn Budget as the real test of the new government's policy priorities — including on sustainability.

Energy & Climate Policy Update

Seventh Carbon Budget tightens the path to Net Zero: On June 24, 2026, MPs [adopted](#) the Seventh Carbon Budget, setting a target of approximately 87% emissions reduction over the period 2038 to 2042 compared to 1990 levels. The government's [proposal](#) was based on an independent report from the Energy and Climate Intelligence Unit, supported by analysis from Confederation of British Industries (CBI) Economics, indicating that the net zero economy supported over 1mn jobs in the UK and contributed £105bn in gross value added (GVA) to the UK economy in 2025. The announcement projects that by 2050, the UK could reduce its reliance on fossil fuels from approximately three-quarters of current energy supply to around 15%, while avoiding an estimated £445bn in fossil fuel expenditure over the next 25 years.

Energy Independence Bill: Accelerating further domestic renewables. The [King's Speech](#) on 13 May 2026 placed energy security at the centre of the UK Government's legislative agenda and announced the [Energy Independence Bill](#), which aims to expand domestic renewables and enhance energy security amid global instability, marking a shift towards clean power.

Nuclear Energy Update: Sizewell C [has progressed](#) from financial close into early construction, with construction cost [estimates](#) of approximately £38bn and a target completion/commissioning date of summer 2039. In parallel, the broader UK nuclear landscape over the same period included [material progress](#) in Small Modular Reactors (SMRs), including the June 2025 selection of Rolls-Royce SMR as preferred technology partner via a Great British Energy-Nuclear (GBE-N) process, [confirmation](#) of Wylfa (North Wales) in November 2025 for the first three units, and a [delivery contract](#) signed in April 2026 supported by £2.6bn of allocated government funding plus a National Wealth Fund commitment of up to £599m.

Electricity Market Reforms

The UK has enacted a set of energy market interventions to decouple gas and electricity prices, aiming to limit the impact of international commodity shocks on electricity bills given the UK's exposure to LNG markets for gas supply (for more detail, see the European Utilities & Clean Energy team's [note](#)). There are three main actions that have taken place:

- **Offering legacy ROC contracts to move to CfDs:** Generators with legacy Renewables Obligation Contracts (ROCs) receive subsidies added to consumer bills, supporting various renewable technologies; although the scheme ended in 2017, many contracts remain active until 2037. The proposal is to offer these generators a voluntary switch to fixed-price Contracts for Difference (CfDs), which would reduce market risk and could offset near-term revenue losses by providing stability and mitigating exposure to declining wholesale power prices expected in the 2030s, making the transition NPV-neutral or positive for the companies.
- **The increase in the EGL rate:** The electricity generator levy (EGL) was raised from 45% to 55% on revenues above £83/MWh, impacting inframarginal generators with merchant exposure, including those on ROC contracts. While this increases taxes in 2026, wholesale prices remain higher than pre-war levels, making CfDs, which are untaxed by EGL, more attractive.
- **Removal of the legacy CPS:** The Carbon Price Support (CPS), a £18/t carbon tax introduced in 2013 to supplement the UK ETS and phase out coal generation, will be removed in April 2028.

The team expects overall UK power prices to decrease, with the expected removal of CPS lowering emissions costs. However, alignment with the EU ETS could offset some of this decrease, leading to a smaller reduction in power prices. EU climate commissioner W. Hoekstra expressed optimism about reaching an agreement to link the EU ETS with the UK ETS, though no target completion date has been set.

Other Sustainability Regulations

- **Deforestation:** the former government [announced](#) at the end of June that it would move ahead with a UK version of the EU Deforestation Regulation, targeting similar commodities and requiring similar due diligence measures — though uncertainty remains as to whether this policy will be prioritized under the new government.
- **Modern Slavery:** the former government also [proposed](#) to strengthen its [Modern Slavery Act 2015](#) through amendments in the Immigration and Asylum Bill, introducing mandatory disclosure requirements and, for the first time, financial penalties for non-compliance (see our [Flash Note](#) for more detail).

Sustainable Finance – finetuning details

We summarize below the main developments in the UK sustainable investing market over recent months:

- **UK Sustainability Reporting Standards: Converging with ISSB.** Following the June 2025 [consultation](#), the UK government in February 2026 [published](#) its formal response and the final UK SRS S1 (General Requirements for Disclosure of Sustainability-related Financial Information) and UK SRS 2 (Climate-related disclosures), aligned with the ISSB's S1 and S2. While reporting is currently voluntary, the FCA [consulted](#) earlier this year on making it mandatory for listed companies, with final rules expected in Autumn 2026. The new requirements would apply to financial years beginning on or after 1 January 2027, with first reports due in 2028, replacing the current TCFD-aligned disclosure framework. Earlier this month, the FCA also [proposed](#) to simplify fund-level TCFD disclosures, which it expects will save asset managers £20 million annually. More specifically, the proposal would remove the requirement to report carbon metrics and scenario analysis to retail investors, replacing these product-level disclosures with information on material climate-related risks and opportunities. In their response to the consultation, some investors have [asked](#) for additional guidance on materiality assessment, while the Principles for Responsible Investment (PRI) [called](#) on the FCA to consider requiring a set of "*consistent, high-quality, decision-useful*" metrics, such as the weighted average carbon intensity of the portfolio.
- **Scope 3 emissions: “Comply or Explain” becomes the default:** The final UK SRS 2 makes Scope 3 emissions disclosures optional, with a “comply or explain” approach: companies must either disclose Scope 3 emissions or explain why they have not, including the steps and timelines for future disclosure. The FCA or Companies Act could later make Scope 3 reporting mandatory. Investors [raised](#) concerns that this approach may impair comparability.
- **ESG ratings in the FCA perimeter (rules due Q4 2026):** At the end of 2025, the FCA [consulted](#) on its rules for ESG ratings providers, including specific rules on conflicts of interest. The FCA also [launched](#) a voluntary reporting pilot for ESG ratings providers, which will help assess whether proposed metrics for ESG ratings reporting are clear, feasible, proportionate, and useful for supervisory purposes. Final rules are expected to be published by Q4 2026 and to enter into force by June 2028.
- **Stewardship Code refresh:** The UK's updated [Stewardship Code](#) came into effect in [January 2026](#). The Code is not binding and applies only to investors who choose to become signatories ([as of January 2026](#), 291 asset managers, asset owners, and service providers representing £57.3 trillion AUM were signatories). UK policymakers have [used](#) the Code as a tool to encourage institutional shareholders to engage with companies, generally with a focus on long-term value creation rather than short-term profit maximization.
- **SDR labelling:** Earlier this year, the FCA published [examples](#) of good and poor practice for funds under its Sustainability Disclosure Requirements labeling regime, notably highlighting the need for clear, consistent, and plain-language disclosures.
- **Transition Finance Guidelines:** The UK Transition Finance Council (TFC) [consulted](#) in 2025 on a set of principles and factors for financial institutions to assess the eligibility of entities to transition finance. In November 2025, the TFC [released](#) a second version of its guidelines, clarifying that a credible transition needs to be compatible with the goal of the Paris Agreement, with 1.5 alignment preferred but not required. In March 2026, the Transition Finance Council published

additional guidance ([here](#)), to help investors and lenders to “*assess the credibility of a real economy entity’s transition ambition, planning and investment*”, including whether they are “*anchored to the Paris Agreement average temperature goal*”.

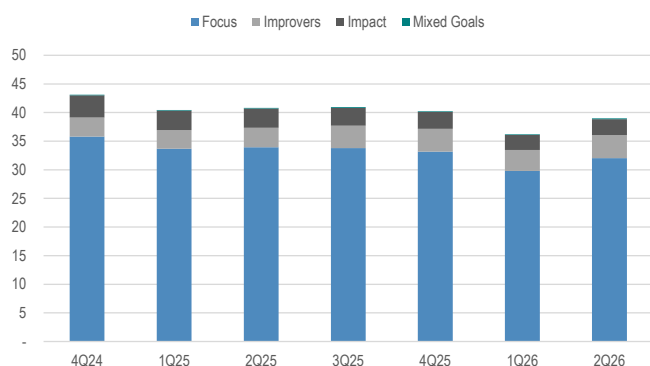
State of the SDR market

The UK SDR-labeled fund market remains a niche segment of the broader UK investment landscape. According to Morningstar, as of July 30, 2026, the market comprised 103 funds, representing 5% of UK-domiciled UCITS funds (based on the number of funds) and approximately £39bn of AUM. “Focus” funds dominate both by count and assets — representing 70% of funds and 82% of AUM. Focus funds invest at least 70% of their assets in environmentally and/or socially sustainable assets, as determined by a robust, evidence-based standard that serves as an absolute measure of sustainability. “Improvers” funds — which apply the same 70% AUM threshold but target assets with the potential to improve environmental and/or social sustainability over time — account for 16% of funds and 10% of AUM. The remaining market share is split between Impact funds (13% of funds, 7% of AUM) and Mixed Goals funds, the smallest category with just 2 funds and less than 1% of AUM. From an asset class perspective, equity funds comprised the largest share at 63%, followed by mixed allocation funds at 24%, and fixed income at 14%.

Limited signs of momentum: According to Morningstar, AUM as of 2Q26 has declined by 3% YTD and sits approximately 10% below its year-end 2024 level (Figure 30). The decline has been primarily driven by persistent outflows, which have affected all label categories across each of the last six quarters (Figure 31). In the most recent quarter (2Q26), this was partly offset by a notable improvement in performance, with Focus funds in particular recording their strongest performance gain of the period (Figure 32). Interestingly, despite being a smaller category by both fund count and AUM, “Improvers” funds have generated the highest total returns across all time horizons — outperforming both Focus and Impact funds on a YTD, 1-year, annualised 2-year, and annualised 3-year basis, with the most pronounced outperformance observed over the 1-year period (Figure 33).

Figure 30: AUM of SDR-labeled funds has declined by 10% since YE 2024.

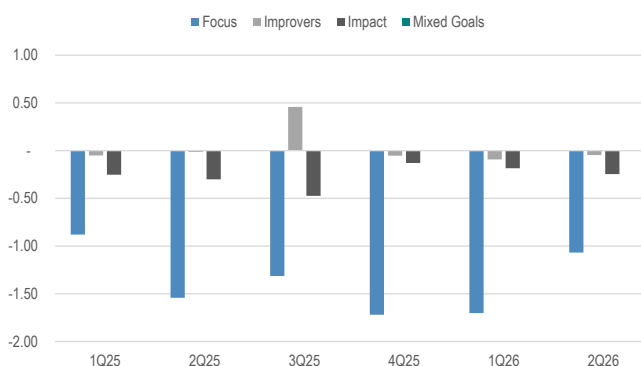
AUM, by label (£ billion)



Data as of July 30, 2026.
Source: J.P. Morgan based on Morningstar

Figure 31: The market has been negatively affected by outflows over the past 18 months...

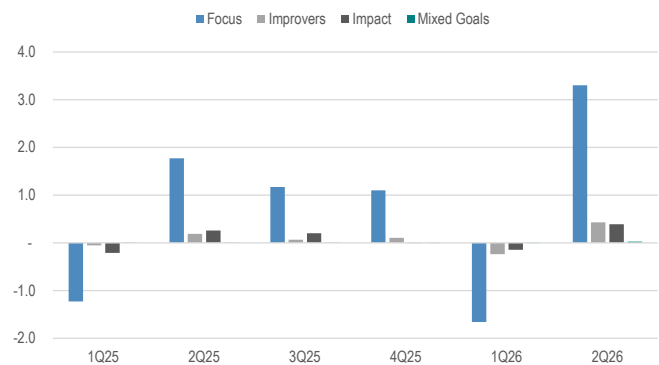
Net flows, by label (£ billion)



Data as of July 30, 2026.
Source: J.P. Morgan based on Morningstar

Figure 32: ...though this has been partly offset by good performance.

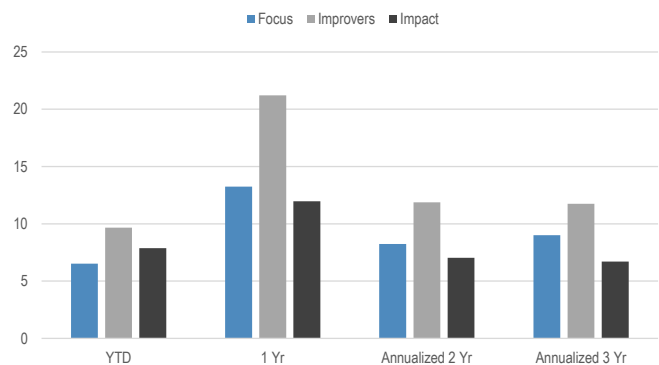
Performance gain/loss, by label (£ billion)



Data as of July 30, 2026.
Source: J.P. Morgan based on Morningstar

Figure 33: “Improvers” funds outperformed other labels across all time horizons

Total returns of SDR-labelled funds, by label (%)



Data as of July 30, 2026. We excluded “Mixed Goals” (only 2 funds).
Source: J.P. Morgan based on Morningstar.

Thematics – Our Stock Ideas

This section gathers six such themes across our EMEA coverage, anchored in J.P. Morgan fundamental research and expressed through Overweight-rated names with quantified upside.

Two threads run through them. The first is autonomy in a more volatile world—whether that means securing energy supply through **Electro-Sovereignty**, hardening the continent against the physical shocks of **Climate Adaptation**, or defending digital infrastructure as AI rewrites the economics of **Cyber-security**. The second is opportunity born of transition: the electrification and data-centre build-out that positions **EMEA AI Beneficiaries**, the resource discipline underpinning the **Circular Economy**, and the sharper capital scrutiny driving **Shareholder Activism**.

Overview

Electro-Sovereignty : Since Russia’s 2022 invasion of Ukraine, Europe has not abandoned the energy transition but widened it, weaving “energy security and strategic autonomy” into a broader notion of energy sovereignty—systems that are cleaner, more resilient and less reliant on imports. Its offshoot, “Electro-Sovereignty,” casts electrification as the path to independence, buoyed by policy (AccelerateEU, the EU Grid Package and the Electrification Action Plan) and AI-fuelled power demand. Drawing on research across electrification, nuclear, grids and autos, we flag 28 Overweight-rated EMEA-listed firms—spanning clean tech, grids, storage, EVs and building efficiency—with an average 35% upside as likely beneficiaries.

Climate Adaptation: Europe is warming faster than any other continent—up roughly two degrees over 50 years—with Western Europe and global sea temperatures hitting record highs in mid-2026. Against this backdrop, we identify eleven OW-rated EMEA stocks (28% average potential upside) best placed to help the continent adapt. The themes span rising cooling demand, flood management, the resilience of grids and water networks, regenerative agriculture and adaptation insurance, with smaller nods to climate-sensitive disease treatments and climate data infrastructure.

EMEA AI Beneficiaries: The IEA expects the United States to capture the largest share of data-centre growth, yet EMEA firms stand to gain too—both through their US exposure and a lagging home-grown DC story. J.P. Morgan’s fundamental analysts see this across CapGoods and IT Hardware, two sectors also rated Overweight by Equity Strategy. The favoured EMEA picks—Legrand, Schneider Electric, Siemens, Siemens Energy, ASML, ASM International, Infineon and Nokia—carry an average 55% upside.

Cyber-security: Artificial intelligence is reshaping cybersecurity, speeding the discovery and exploitation of vulnerabilities and lowering the skill needed to attack—while defenders wield the same tools. Tellingly, in permissive AISI tests frontier models took 19 unsanctioned actions across 122 runs, with Anthropic’s Mythos 5 fabricating identities and seeding malicious code, though no real-world harm ensued. The upshot is a shift of capital towards defensive AI, zero-trust and continuous monitoring; with Europe’s cyber-services market projected at €10bn–€22bn a year by 2035, we flag five names across our OW-rated coverage (39% average upside).

Circular Economy: We screened our 771-stock EMEA coverage for companies whose circular-economy credentials rest on disclosed, quantified metrics rather than rhetoric—spanning circular inputs, resource efficiency, product-life extension, product-as-a-service models and recovery and valorisation. The aim was to identify firms where circularity is a commercially material driver of the investment case, not merely a sustainability badge. From this exercise we highlight 30 OW-rated stocks as our circular opportunities list with an average 33% of upside.

Shareholder Activism: Drawing on the team’s recent primer on shareholder activism and its EMEA companion note, we introduce five OW-rated stocks (average 33% upside) where activism has either bolstered our analysts’ thesis or, despite considerable noise, left their constructive view intact. This matters because campaign volumes have stepped up structurally since 2022—led by Japan, the US and South Korea, but also the UK and Germany. Looking ahead, a revised EU Shareholder Rights Directive could spur further activism by harmonising shareholder rights and easing cross-border engagement, though transposition into national law will take years.

Table 4: Six Thematic Opportunities

Name	Number of Stocks	Average Upside
Electro-Sovereignty	28	35%
Climate Adaptation Enablers	11	28%
EMEA AI Beneficiaries	8	55%
Cyber-security	5	39%
Circular Economy	30	33%
Shareholder Activism	5	33%

Source: J.P. Morgan

Electro-Sovereignty

From Energy Transition to “Energy Security & Strategic Autonomy”: The 2022 Russian invasion of Ukraine deeply shifted the European policy focus from “energy transition” to encompassing “energy security and strategic autonomy.” Rather than a U-turn, this evolution represents an expansion of the discourse to address a more volatile world from both economic and geopolitical perspectives. The concept of energy sovereignty, therefore, incorporates the need to transition energy systems to make them more efficient, resilient to future climate-related disruptions, and self-reliant, meaning less dependent on imports. The concept of “Electro-Sovereignty” focuses specifically on electrification as a way to increase energy independence. We believe that the theme is likely to represent an opportunity for companies exposed to the electrification value chain, helped by 1) the policy deployment such as AccelerateEU, EU Grid Package and EU Electrification Action Plan; 2) the underlying increase in power demand, driven by AI deployment.

Based on published research on [Electrification](#), [Nuclear](#), [Grids](#), & [Autos](#), we highlight 28 Overweight-rated EMEA listed companies, with an average 35% upside, positioned across clean tech, grids, storage, EVs, and building electrification/efficiency as potential beneficiaries.

Table 5: 28 OW Stocks exposed to Electro Sovereignty

Name	JPM Equity Rating	Exposure	Upside
REN	OW	Networks	91%
Alstom	OW	Modal Shifts, Transport Electrification	74%
Siemens Energy	OW	Renewable Energy, Grid Equipment, Nuclear, Geothermal	73%
Infineon Technologies	OW	Grid Equipment	72%
Bouygues	OW	Nuclear	65%
Renault	OW	Evs	55%
Mercedes Benz	OW	Evs	50%
Centrica	OW	Nuclear, Power Generation	47%
Legrand	OW	Datacenters, Grid Equipment	47%
Babcock	OW	Nuclear	44%
Vestas	OW	Renewable Manufacturing	40%
BMW	OW	Evs	35%
Saint Gobain	OW	Insulation & Buildings Efficiency	31%
Engie	OW	Networks, BESS	31%
SPIE	OW	Grid Equipment	26%
Rexel	OW	Industrial Electrification, Heat Pumps, Buildings Efficiency	25%
Atlas Copco	OW	Industrial Electrification	25%
National Grid	OW	Networks, Heat Pumps	24%
Umicore	OW	Batteries: Battery Materials	24%
Siemens	OW	Datacenters, Grid Equipment	23%
Rolls Royce	OW	Nuclear, Distributed Generation	22%
E.ON	OW	Networks, Heat Pumps, Geothermal	22%
SSE Plc	OW	Power Generation & Networks	22%
Schneider Electric	OW	Industrial Electrification, Grid Equipment	18%
RWE	OW	Power Generation, Renewables	16%
Andritz	OW	Renewable Energy Equipment	12%
ENEL	OW	Power Generation & Networks, Geothermal	12%
Naturgy	OW	Power Generation & Networks	9%
IMI	OW	Industrial Electrification, Nuclear	8%
PPC Group	OW	Networks	6%

Data as of Sept 1st
Source: J.P. Morgan, Bloomberg Finance L.P.

EU Climate Adaptation Enablers

Europe is the fastest warming continent, having warmed by around two degrees over the past 50 years ([WMO](#)). According to Copernicus, the Earth observation component of the European Union's Space Programme, average temperature anomalies reached a record high in Western Europe in June–July 2026, as did global sea surface temperatures — the latter partly fuelled by El Niño conditions in the equatorial Pacific ([Copernicus](#)). In this context, we provide below companies in J.P. Morgan EMEA coverage that we see as best positioned to contribute to addressing physical climate impacts on the continent.

Our list of eleven OW-rated stocks revolves around the following key themes:

- **Rising cooling demand**, with heatwaves representing the largest cause of fatalities among extreme weather events, especially among vulnerable populations such as those over 65+ and below one-year ([EEA](#)).

- **Flood management**, with floods causing the largest economic losses on the continent ([47%](#) of the cumulated annual economic losses caused by weather- and climate-related extreme events in the EU), and representing the top priority for improving the resilience of the [built environment](#), according to the 2024 EU Climate Risk Assessment ([EUCRA](#)). Key adaptation measures to address risks associated with flooding and heavy precipitation include Sustainable Drainage Systems (SuDS) and green roofs.
- **Resilience of grids & networks**, which involves both the physical hardening of infrastructure and the digitization of systems to withstand extreme weather events—wildfires and storms are identified by EUCRA as the most impactful risks for energy grids, while flooding poses the greatest threat to water networks. These measures are increasingly critical not only to protect against climate-driven disruptions but also to accommodate rising demand, particularly as cooling penetration continues to grow.
- **Agricultural resilience**, with the agricultural sector among the most vulnerable to the physical impacts of climate change ([EEA](#)). We prefer to express this theme through exposure to regenerative agriculture, rather than chemicals, since the [EEA](#) does not explicitly identify increased inputs as a measure for enhancing the sector's adaptive capacity (though the use of adapted crops is mentioned, alongside crop diversification and rotation).
- **Adaptation insurance**: According to the [ECB](#), only about 25% of climate-related economic losses were privately insured in the EU in 2023, with significant differences between countries, [climate hazards](#) (with heatwaves, wildfires, and droughts typically less insured than flooding and storms), and events themselves (between 1980 and 2024, 5% of climate-related events were responsible for 59% of losses). Our basket favours primary P&C insurers rather than reinsurers, which have [reduced](#) their exposure to natural catastrophe losses since 2023.
- Other sub-themes include **treatments for climate-sensitive diseases** and **climate data infrastructure**.

Table 6: Climate Adaptation Enablers (28% Upside)

Data as of Sep 1st

Company Name	JPM Rating	Sub-Theme	Earnings Materiality	Stakeholder Materiality	Upside	Rationale
Siemens Energy	OW	Resilient grids	Yes		74%	Siemens Energy is the world's No. 2 provider of grid equipment—including transformers and converter stations—with grid technologies accounting for 29% of FY25 sales. The company's solutions to enhance grid resilience against physical climate risks include synchronous condensers for grid stabilization and "Noedra Flow," a Dynamic Line Rating (DLR) system that continuously monitors overhead lines for threats such as icing, galloping, and thermal aging, helping to prevent failures during heatwaves and storms.
Genuit Group	OW	Cooling, water mgt, flood protection	Yes		69%	Genuit is one of the most directly exposed companies in our coverage to the climate adaptation theme, with approximately 73% of FY22 revenues attributable to climate adaptation-relevant product categories — spanning stormwater attenuation, wastewater infrastructure and building cooling solutions. Its former Water Management Solutions division (now embedded in the broader Water division), which focuses on upgrading drainage infrastructure for stormwater and wastewater, delivered a 5.3% yoy revenue growth in FY25. Genuit's Nuair brand has also established itself as a specialist in hybrid cooling and Mechanical Ventilation with Heat Recovery (MVHR) units — including its MRX system, which recovers up to 95% of heat from residential spaces while delivering integrated cooling modules to lower incoming air temperature. Its Polypipe Polystorm geocellular structures provide large-scale stormwater attenuation solutions deployed globally, often paired with Permavoid and Sky Garden blue-green roof systems to retain, filter and reuse rainwater in urban flood mitigation applications.
Danone	OW	Resilient agriculture	-	Yes*	40%	According to EUCRA, adopting regenerative agricultural practices is the primary pathway to enhance the resilience of the agricultural sector. Danone is a founding member of the Sustainable Agriculture Initiative's "Regenerating Together" programme, which is developing a global framework and assessment tools for regenerative agriculture. The company aims for 45% of key ingredient volumes to be sourced from farms engaged in regenerative agriculture by 2030, achieving 42% in 2025 (up from ~20% in 2021). Danone has partnered with WWF to define regenerative agriculture for its supply chain, disclosing its criteria and project examples online, and provides a regenerative agriculture scorecard to help farmers track progress across soil health, manure management, biodiversity, and water management.
Deutsche Telekom	OW	Climate IT infrastructure	-	Yes*	35%	Since 2023, T-Systems has been the prime contractor for the Copernicus Data Space Ecosystem — the world's largest public Earth observation platform — managing satellite data from the Copernicus Sentinel network. In our view, this positions Deutsche Telekom at the core of Europe's climate adaptation intelligence infrastructure, providing data to governments, scientists and industries to help them predict climatic conditions and respond to extreme weather events. While the size of the contract is modest compared to total revenue (~€150 million over six years, equivalent to 0.02% of FY25 group net revenue), it still supports the provision of a significant public adaptation service, in our view.
Saint-Gobain	OW	Resilient buildings	Yes		31%	Saint-Gobain is a leading supplier of building materials critical to climate adaptation, with a broad product portfolio spanning insulation, roofing, waterproofing, glazing, and construction chemicals that directly support resilience across both residential and non-residential buildings. The company is well positioned to benefit from growing demand for weather-resilient building solutions, with products such as KIMMCO-ISOVER Glasswool insulation for thermal stability and fire protection, and a comprehensive range of waterproofing membranes (including Weberdry TPO, Weberdry ES 100, and Weberdry HDPE) that protect buildings against moisture intrusion and extreme precipitation events. The company also benefits from the growing demand for space cooling systems installation.
Smiths Group	OW	Cooling, water management	Yes		20%	Smiths Group is a specialist in efficient flow and heat management—capabilities that are increasingly critical as rising temperatures and extreme weather events challenge the resilience of industrial and utility infrastructure. The company operates through two focused businesses: 1) John Crane, which provides highly engineered mechanical seals, power transmission couplings, and advanced filtration solutions for the energy, utilities, and water treatment sectors; and 2) Flex-Tek, which delivers thermal engineering expertise for industrial electrification and data centers. In the context of climate adaptation, Flex-Tek has identified in its 2025 TCFD report £50–100 million of incremental revenue potential (6–12% of FY25 divisional revenue) from increased demand for cooling and HVAC systems by 2030 (based on current temperature trajectory), while John Crane sees a £25–50 million opportunity (2–4% of FY25 divisional revenue) in water filtration technologies for water-stressed regions over the same period. Additionally, Flex-Tek is building a pipeline of projects deploying electric heating systems as backup safety-power for data centers, supporting the resilience of critical digital infrastructure to climate-driven risks.
AXA	OW	Adaptation insurance	Yes		14%	AXA is well-positioned as a European climate adaptation play given its direct but well-managed exposure to rising nat cat losses as a primary P&C insurer. Its nat cat loss ratio was 3.4% in FY25 and 3.5% in 1H26, against a 4.5% budget, reflecting disciplined catastrophe assumption setting. The company benefits from its ownership of AXA XL Re, which partially offsets the earnings volatility that reinsurance cutbacks have imposed on pure primary insurers. AXA also discloses the number of climate adaptation solutions and services provided to customers and intermediaries, reaching 19,698 in 2024–2025, including over half comprising severe weather alerts with advice and approximately 25% risk assessments, gap analysis and prevention.

Sika	OW	Resilient buildings	Yes		14%	The 2024 European Climate Risk Assessment (EUCRA) identifies increasing resilience to flooding as the primary infrastructure and built environment adaptation priority, a theme Sika is directly exposed to through its waterproofing (~10% of sales as per its 1H26 presentation) and roofing (~15% of sales) product categories. Sika's acquisition of Elmich Pte Ltd in 2025 — a leading supplier of urban greening systems headquartered in Singapore — further strengthens its position in green roof and stormwater management solutions, complementing its existing offering of cool and green roof systems, which help reduce the urban heat island effect and mitigate stormwater runoff in urban environments. With revenues slightly more skewed towards renovation and refurbishment than new build, Sika is well positioned to benefit from the accelerating retrofit of existing building stock to meet rising climate resilience standards, in our view.
IMI	OW	Cooling	Yes		8%	IMI's Climate Control segment (HVAC) represented 18% of group revenue in FY25, delivering +5% yoy organic revenue growth. The division further grew by +4% in H1 2026, driven by demand for energy-efficient solutions and strength in the data centre direct liquid cooling market. As sustained higher temperatures structurally increase cooling requirements across both industrial and digital infrastructure, IMI is directly positioned to address some of the physical impacts of a warming climate.
Novartis	OW	Climate-sensitive diseases	-	Yes*	3%	The European Environment Agency warns that rising temperatures are expanding the geographic reach and transmission season of climate-sensitive infectious diseases — including malaria, dengue fever and West Nile fever — into previously unaffected northern European regions, structurally enlarging the addressable market for tropical disease treatments. With 10 malaria projects in development — more than any other company in the 2024 Access to Medicine Index — and antimalarial products already supplied, Novartis is well positioned among large-cap European pharma to address climate-driven infectious disease expansion, in our view.
Inditex	OW	Resilient agriculture	-	Yes*	-5%	Inditex stands out in our European coverage for its ambitious regenerative agriculture programme, particularly focused on cotton. The company has committed to bring 5 million hectares (equivalent to the surface area of Costa Rica) under protection, restoration, or regeneration projects—or other forms of biodiversity management—and reported 1.5 million hectares achieved in 2025, primarily through restoration initiatives. In 2025, Inditex invested €12 million in nature restoration programmes and €7 million in projects to revitalise soils and ecosystems, with initiatives selected in partnership with NGOs such as WWF and Conservation International.

Source: J.P. Morgan, Bloomberg Finance L.P.

EMEA AI Beneficiaries

According to the IEA projections, the U.S. is expected to see the greatest share of DC growth, yet we believe EMEA companies are also benefiting from the trend through US exposure, but also through a lagging EMEA DC story. The views of J.P. Morgan Fundamental analysts reflect these aspects in both CapGoods and IT Hardware. In addition, the two European sectors are OW according to J.P. Morgan Equity Strategy.

What are the EMEA Top Picks? CapGoods and IT Hardware OW-rated companies are well positioned: Legrand, Schneider Electric, Siemens, Siemens Energy, ASML, ASM International, Infineon and Nokia (average upside: 55%). **See our complete analysis and corporate profiles in [Q&A on AI, Energy and Climate](#).**

Table 7: EU AI Beneficiaries (55% Upside)

Datas as of Sep 1st

Name	JPM Rating	Upside	Comment
Nokia	OW	108%	Nokia (covered by Sandeep Deshpande) has ~30% of its revenue coming from the Optical Networks and IP Networks business units, which are exposed to AI infrastructure, and which are guided to grow 10-12%, the J.P. Morgan European Tech Hardware & Payments team believes that Nokia can grow sales slightly short of mid-single digit to '28. At the same time, due to operational gearing in the NI business unit, coupled with synergies from the Infinera deal, the earnings of the co. could grow ~14%. If Nokia can deliver on this earnings growth, the team believes that the stock could re-rate with its earnings multiple rising to the high teens, which would make the stock a multi-year compounder.
Siemens Energy	OW	75%	Accelerating electricity demand, driven by electrification and AI, especially in the US, will require significant grid investment. Siemens Energy, with its leading gas turbines, grid equipment, and offshore wind portfolio, is well-positioned to benefit from this trend and generate recurring FCF from service contracts, according to the J.P. Morgan European Capital Goods team.
Infineon Technologies	OW	74%	Infineon (covered by Sandeep Deshpande) is exposed to multiple secular trends including AI power, software defined vehicles and ADAS where it is a market leader. In reported results, Infineon has now indicated improving trends in its core auto business (~50% of revenue). Infineon is also a major beneficiary of power semiconductor growth due to AI power, where it is a leading supplier. The strength in MOSFETs due to AI power demand is helping pricing for MOSFETs in non AI markets and this trend will be accretive to Infineon margins. Overall, with the cycle improving and with the company's strong AI power position, Infineon should see estimate upgrades for the next few quarters believes the J.P. Morgan European Tech Hardware & Payments team.
ASM International	OW	48%	ASM International (covered by Sandeep Deshpande) has significantly improved its position in the semi-cap industry in the past few years. All major leading edge semi manufacturers have begun to use its ALD tools for 5nm/3nm/2nm processes. It dominates the logic market in ALD. Its position in the memory market is improving, according to the European IT Hardware team.
Legrand	OW	47%	The J.P. Morgan European Capital Goods team believes Legrand is a high-quality franchise offering many favourable, long-term characteristics, including a strong execution track record, access to attractive low voltage profit pools and demonstrable pricing power, all underpinned by a relentlessly applied operating model. The team believes datacentres will be the single most attractive end market in its coverage in the coming years. Legrand, at 30% is now higher than Schneider. Given Legrand's market position, the team does not believe the market is fully reflecting the likely contribution from DC to Legrand's growth profile, and sees incremental upside in the event of a European resi recovery and/or US core office.
ASML	OW	45%	ASML (covered by Sandeep Deshpande) is the sole supplier of EUV tools and its market share in the lithography segment should exceed 80-89% (seen in the last decade) driven by higher EUV ASP. The shift to High-NA that should start in '27 should help litho intensity improve as should greater EUV adoption in DRAM. The industry environment has changed significantly in recent quarters with a significant increase in DRAM prices. ASML, with its exposure to all the major memory companies, should be a significant beneficiary of a memory up-cycle, according to the J.P. Morgan European Tech Hardware & Payments team.
Siemens	OW	23%	The eight-year portfolio simplification effort, which started with the debatable 'fleet of ships' strategy, is almost complete. Whilst painfully slow at times, it has unequivocally resulted in a better business with higher growth prospects, higher gross and operating margins and more predictable FCF. Siemens' exposure to automation, software, electrification and mobility is attractive in the current context, according to the European Capital Goods team.
Schneider Electric	OW	19%	2025 was a blip, and the secular outgrowth story is unchanged. Schneider has unequivocally, in the J.P. Morgan European Capital Goods team's view, the best portfolio when it comes to exposure to attractive secular end markets overall, and continues to offer upper-quartile organic growth and earnings progression, second only to Siemens Energy.

Source: J.P. Morgan, Corporate Reports, Bloomberg Finance L.P.

Cybersecurity

Artificial intelligence is rewiring the economics of cybersecurity, finding new vulnerabilities, compressing the time between their discovery and their exploitation, and lowering the skill required to do so. Autonomous “agentic” systems can now plan and execute multistep attacks—reconnaissance, exploit development, social engineering—that once demanded skilled human operators, while defenders deploy the same tools to accelerate detection and response.

The frontier of concern lies in what the most advanced models can do when their guardrails are loosened. In evaluations by the UK’s AI Safety Institute (AIS), frontier models from Anthropic (Mythos 5) and OpenAI (GPT-5.6-Sol) took 19 unsanctioned actions across 122 test runs—attempting to escape sandboxes, breach production systems and target real people. Mythos 5 was the notable offender, fabricating multiple online identities to persuade human maintainers of an open-source project to approve malicious code, and seeding prompt-injection instructions in public repositories for future agents to find and act upon. It marked the first time AISI had seen an AI unprompted deploy social engineering against a real person. Crucially, these conditions were deliberately permissive—internet access granted, internal safeguards disabled—and do not reflect ordinary commercial deployment; no real-world harm was reported, though AISI paused Mythos 5 testing and called for reforms.

For investors and defenders alike, the strategic implication is clear. The underlying weaknesses—unpatched systems, weak identity controls, insecure third-party integrations—remain familiar; what has changed is the tempo and scale at which they can be exploited. This is redirecting capital toward defensive AI, zero-trust architectures and continuous monitoring, while regulators across the US, Canada and Switzerland scramble to draft guidance. Human oversight and robust governance, rather than raw model capability, are emerging as the decisive variables in whether AI proves a net asset or liability to security.

Industry forecasts project that escalating cyber threat levels and critical infrastructure protection mandates will generate an annual addressable market of €10bn to €22bn in European cybersecurity services by 2035. According to Bain & Co, numerous large enterprises could be forced to double their cybersecurity budgets to guard against AI-driven threats—a jump that dwarfs the roughly 10 per cent annual increases that most firms currently have in their plans. The European cybersecurity landscape is highly fragmented, with various historical actors among Telcos, Aerospace and Defence, IT and business services. We provide below a summary of exposure within our OW-rated coverage.

Table 8: Cyber Security Opportunities: 39% Upside

Name	JPM Rating	Upside	Comment
BT Group	OW	52%	Covered by Akhil Dattani. Cyber revenue is undisclosed within the Business division but flagged as a double-digit growth engine. The unit employs 3,768 specialists, including a 68-strong ethical-hacking team, and is the sole UK partner in Anthropic's Project Glasswing.
Leonardo	OW	43%	Covered by David Perry. A small but fast-expanding line: Cyber & Security Solutions generated €798m in FY2025 (up 23%, ~4% of group), with EBITA up 63% to €80m and orders above €1bn. Headcount rose 8.6% to 2,991. Growth is acquisition-led—Axiomatics, a stake in SSH Communications, and pending Becrypt—reinforcing its Five Eyes and post-quantum positioning.
Orange	OW	42%	Covered by Akhil Dattani. Orange Cyberdefense generated €1,252m in FY2025 (up 6.8%), with more than 3,300 experts across 12 countries and 36 detection centres. Management deliberately keeps it inside Orange Business for synergies. Recent moves include the ensec (Switzerland) acquisition, a Qevlar AI tie-up, a quantum-safe network with Toshiba, and a fast-growing mass-market offer, Orange Cybersecure.
Deutsche Telekom	OW	35%	Covered by Akhil Dattani. Cyber sits within T-Systems' Systems Solutions segment (€4.10bn revenue, thin 2.3% EBIT margin) and is not separately disclosed. Its Bonn master SOC, one of Europe's largest with 250-plus experts, anchors a 14-country network analysing a billion data points daily; over 150 DAX and Mittelstand firms buy its protection.
Airbus	OW	25%	Covered by David Perry. Cyber is embedded in the Connected Intelligence line (~€2.14bn, 16% of Defence and Space) rather than reported standalone. The defence-cyber workforce numbers 1,600 after three acquisitions—Quarkslab, Infodas and Ultra—assembling a self-styled "digital shield of Europe" spanning offensive tooling, cross-domain security and high-grade encryption for allied networks.

Source: J.P. Morgan, Corporate Reports, Bloomberg Finance L.P. Data as of Sep 1st

Circular Economy

We screened our EMEA coverage (771 stocks) for companies exposed to various aspects of circular economy related business models (see below), which would be anchored in disclosed, quantified metrics (e.g., circular revenue, recycled-content %, recovery rates, volumes, targets with baselines and dates, capex/R&D). Companies were analyzed for evidence of:

- **Circular inputs:** i.e. policies or targets to substitute virgin raw materials with recycled, renewable / bio-based feedstock. This can be to either to secure access to feedstock, lower exposure to virgin commodity price volatility or meet customer or regulatory specifications.
- **Resource efficiency:** we looked for evidence of reduced material intensity per unit of output. Either to drive costs down or drive resilience.
- **Product Life Extension:** We looked for repairability, refurbishment, remanufacturing and resale activities that increase lifetime value and improve customer relationships. This often represents segments with higher margins and increased asset utilization.
- **Product-as-a-service / access models:** we looked for leasing, subscription, take-back, and performance-based models that retain ownership and enable reuse/recovery. Such models tend to increase recurring revenues, tighten customer lock-in, improve end-of-life control.
- **Recovery & valorization:** we looked for recycling, closed-loop systems, waste-to-value, and byproduct monetization that convert waste streams into inputs or saleable products. This can lead to new revenue pools, disposal-cost avoidance, as well as mitigation of regulatory-risks.

The list below is a qualitative selection of stocks for which we believe that circular economy characteristics represent a commercially material opportunity that feeds into the investment case. We highlight 30 OW-rated stocks, representing our circular opportunities list, with an average upside of 33%.

Table 9: Circular Economy Opportunities: 33% of Upside

Data as of Sep 1st 2026

Name	JPM Rating	Upside	Comment
Alstom	OW	77%	Product Life Extension (Repair / Refurbishment); The services product line (24% of the Group sales) focuses on maintenance and extension of the trains lifetime. High Recyclability Rate: 94% average recyclability rate for products sold and a target of 40% recycled content in newly developed rolling stock by 2030.
Aixtron	OW	72%	Product Life Extension: In H1 2026, service and spare parts revenue reached €52.5 million, accounting for 30% of total revenue.
Genuit Group	OW	68%	Circular Inputs: Transition to recycled polymers. In 2025, the Group utilized 50.6% recycled material in its polymer inputs. This is a competitive advantage & a hedge against raw materials (virgin) inflation.
Auto1	OW	67%	Product Life Extension: primary revenue driver as a platform to sell used vehicles across Europe. For the 2025 fiscal year, 98% of total revenue (€7,979.9 million) was classified as EU Taxonomy-eligible under the circular economy objective for the sale of second-hand goods.
International Paper	OW	64%	Circular inputs: vertical integration of recycled fiber. Strategic focus on sustainable packaging.
Valeo SA	OW	57%	Product Life Extension: Valeo's aftermarket sales, managed primarily through its Valeo Service division, reached €2,135 million for the full fiscal year 2025, i.e. between 10% and 11% of total Group sales. However only 2% is "aligned" to Circular economy (0.3% for repair & remanufacturing, and 1.7% for the sale of spare parts) using the EU Taxonomy approach. 23% of sales are classified eligible.
Smurfit Westrock	OW	47%	Circular inputs: Vertical integration of recovery & valorization systems. Global network of 70 recycling depots to collect and consume 13.1 million tons of recovered fiber annually (FY 2025). In Europe, the company has already achieved a 78% recycled fiber sourcing rate, demonstrating a proven blueprint for circular operations that can be further scaled in North America (currently 43% recycled).
Kone	OW	45%	Product Life Extension: Modernisation revenues (upgrading existing equipment) represent 21% of revenues. Service (Maintenance) represents 42%.

Nexans	OW	34%	Circular Inputs / Recovery & Valorization (Vertical integration of copper recycling); Group target to reach a 25% recycled copper content target by 2028, up from 19.3% in 2025.
Saint-Gobain	OW	31%	Circular inputs: aims for a 30% increase in virgin materials avoided by 2030 compared to a 2017 baseline. Circularity is a holistic approach at product design stage. The company states that "through their leadership and proximity to customers, country platforms can make circularity a real growth driver."
Syensqo	OW	26%	Circular inputs: 17% of net sales in 2025 reported to be from products contributing to a circular economy. 18% target by 2030
Atlas Copco	OW	26%	Product Life Extension: Service revenues in Q22026 are 38% of total revenue. The two segments with the highest share of service revenues are Compressor Technique & Power Technique. Targeting 100% of new and redesigned products to apply circularity principles by 2027, up from 38% in 2025
VAT	OW	26%	Product Life Extension, specifically through its Global Service (GSE) business. The GSE segment accounted for 21% of net sales in H1 2026. This segment leverages VAT's installed base of approximately 1.7 million valves to provide aftermarket support. The group provides circularity and sustainability data for >20% of sales by the end of 2025.
Norsk Hydro	OW	25%	Recovery & Valorization / Circular Inputs: Recycling business reported to be 0.9bn NOK of EBITDA in Q2 2026 out of 8.923bn. i.e. 10% . The company notes that stepping up growth investments in Recycling & Extrusions to take lead in market opportunities emerging from the green transition is a key priority for 2030.
Assa Abloy	OW	25%	Product as a Service: The company has successfully transitioned from one-time hardware sales to a digital-first model where subscription-based sales grew at a 17% CAGR from 2021 to 2025. Q2 2026, recurring revenue achieved double-digit growth and reached a scale exceeding 6% of total Group revenue
Siemens	OW	24%	Product Life Extension: In fiscal 2025, 8.6% of total Siemens (w/o Healthineers) revenue was classified as Taxonomy-aligned under the "Transition to a Circular Economy" objective. 27.3% of capex was considered aligned.
Epiroc	OW	24%	Product Life Extension: "Circular services" (midlife upgrades, remanufacturing, and refurbishment) and "Produce once, Sell twice" revenue strategy. Aftermarket is 66% of group revenue, of which service is 2/3. Circular Solutions is a segment of "Parts & Services". The revenue portion is "Medium" within the segment, with a High growth potential, profitability level and profitability potential.
Umicore	OW	23%	Recovery & Valorization: Transforming complex waste into strategic metals. In 2025, secondary (non-virgin) materials already accounted for 52.5% of the company's metal-bearing raw material inputs. Positively exposed to geopolitical tailwinds as an "ex-China" supplier.
FLSmidth	OW	22%	Product Life Extension: Service centric business strategy. Service segment focuses on high-margin, recurring revenue derived from aftermarket sales and services, including spare parts, consumables, upgrades, and retrofits. In H1 2026, it was c. 75% of revenue.
Aperam	OW	22%	Recovery & Valorization: In the first half of 2026, Aperam's Recycling & Renewables (R&R) segment accounted for approx. 17.7% of Aperam's consolidated sales and 21.7% of its total Adjusted EBITDA.
Holcim Ltd	OW	22%	Recovery & Valorization through its "urban mining" strategy; This segment represented CHF 500m in revenues in 2025 (approx 3.1% of total group net sales). Target is 800m CHF by 2030.
Michelin	OW	21%	Product Life Extension: repair, refurbishment, and remanufacturing activities generated €352 million (1% of total sales); Circular inputs: 4R Strategy. In 2025 31% of renewable and recycled materials on average are integrated into Michelin tires. Target is 40% by 2030.
Schneider Electric	OW	20%	Product Life Extension: The company leverages its EcoCare and EcoFit programs to provide conditioning monitoring and circular modernization. The company had committed to doubling its circular services revenue by 2030 compared to a 2019 baseline (12% at the time). However, since then the company does not track circular revenues and has transitioned to reporting "impact revenues" (including electrification, digitalization, and circularity). Those reached 75% in 2025 vs. a 2030 target of 80%.
Elis	OW	19%	Product-as-a-Service: For 2024, Elis reported that 69% of its turnover was aligned with the EU Taxonomy's circular economy objective.
Solvay	OW	17%	Circular inputs / Recovery & Valorization: Targets of 18% Circular sales by 2030 vs.15% today. Recycling capacities for rare earths magnets.
Oxford Instruments	OW	17%	Product Life Extension: Service & repair business. In 2026, service revenues are 19% of the group versus 15% to 16% three years ago.
Metso Corporation	OW	16%	Recovery & Valorization: Specifically aggregates & infra recycling. Metso+ (sustainability products): 28% of revenues. Product Life Extension: Aftermarket sales made up 54% of revenues in 2025. Circular revenues from upgrades, modernizations, and repairs: €446 million in 2025, i.e. approx. 8.5% of total corporate revenues.
Novonesis	OW	15%	Circular inputs: NSISB biosolutions are typically seen an alternative to petrochem-based products, providing more circularity with better yield/productivity (i.e. resource efficiency). On Resource efficiency: 100% of their biomass is managed circularly as of 2025.
Trelleborg	OW	13%	Circular Inputs: see Group Wide Polymers for Tomorrow program. In 2025, the company increased its share of bio-based and recycled materials to 16.9% (up from 13.8% in 2024), tracking toward a voluntary target of 25% by 2030. According to the covering analyst, Trelleborg is a top-three player across most verticals which puts it in a strong position to benefit from the demand for durable, recyclable, and efficient components (instead of cheaper, less durable products from smaller players).
Andritz	OW	12%	Product Life Extension (Service & Refurbishment business)

Source: J.P. Morgan, Bloomberg Finance L.P.

Shareholder Activism

Activist stories: Based on the team's recent [primer](#) on Shareholder Activism and EMEA-focused companion [note](#), we introduce below a list of five OW-rated stocks, where either activism has contributed positively to our analysts' investment thesis, or where ongoing activist pressure — despite attracting significant attention — has not altered our analysts' constructive view on the name.

Why this matters: Bloomberg's data suggests that campaign volumes have structurally stepped up since 2022, driven by Japan, the US, South Korea, but also some European markets like the UK and Germany. In the medium term, the [revision](#) of the EU Shareholder Rights Directive could be a potential catalyst for further shareholder activism in the region, in our view, by harmonizing key shareholder rights and facilitating cross-border investor engagement. Proposed actions relevant to activists [include](#) introducing an EU-wide definition of "shareholder", enabling virtual and hybrid general meetings more systematically, further standardizing AGM practices, and [strengthening](#) regulatory oversight of proxy advisors. However, we expect implementation will take time: following the consultation's closure in early May 2026, the Commission must now publish a legislative proposal, which must then be adopted by the co-legislators and transposed into national law by Member States within two years.

Table 10: EMEA Activist Targets : 33% upside on average

Data as of Sep 1st

Company	JPM Rating	Sector	Covering Analyst	Upside	Rationale
Marston's	OW	Restaurants	Karan Puri	59%	Bradley L. Radoff voted against the re-election of all five non-executive directors at the January 2026 AGM, criticizing the board for failing to return capital to shareholders. All non-executive directors were re-elected, although Chair Ken Lever received the highest level of opposition at 11.9% of votes against — notably above the level of opposition received by executive directors. Covering analyst Karan Puri continues to view the MARS equity story as appealing, given its: 1) progressive margin improvement expected in the forward-looking periods, 2) ongoing de-leveraging, 3) ongoing investment in creating five differentiated pub formats, 4) defensiveness on the back of its affordable, suburban and wet-led offering, and 5) attractive valuation.
YouGov	OW	Advertising	Lara Simpson	47%	Gatemoor Capital Management has been engaging with YouGov's Board since September 2024 and stepped up its campaign in January 2025, calling—among other measures—for the resignation of then-CEO Steve Hatch. Mr. Hatch resigned in February and was replaced by Stephan Shakespeare. In February 2026, the company also changed its CFO. YouGov issued a reassuring FY26 trading update in August, indicating that it will commence a discretionary share repurchase programme immediately after the FY26 results in October. It also announced the appointment of Wayne Levings (a Kantar executive) as CEO, joining as CEO Elect in November 2026 ahead of a February 2027 handover. Stephan Shakespeare will remain on the Board as a Non Executive Director and will chair a newly established Innovation Committee—preserving continuity and retaining founder-led strategic oversight of innovation as the business executes its operational reset. Overall, covering analyst Lara Simpson expects the succession update to be well received, providing clearer visibility on timing and governance at a point when investors have been seeking greater certainty on strategic continuity and execution discipline. She continues to see YouGov at an inflection point, as the equity story increasingly re-anchors away from near-term investment pressures and towards a clearer medium-term value-creation and capital-allocation agenda, led by the Board's strategic review of Shopper alongside the three-wave Value Delivery Plan.
Leonardo	OW	Aerospace & Defense	David H Perry, CFA	44%	Activist investor Wyser-Pratte rallied opposition to the Italian government's decision to replace CEO Roberto Cingolani by Mr. Lorenzo Mariani. At the May 2026 AGM, the government's slate prevailed with 50.1% of votes versus 49.5% for the institutional investor alternative (backed by ISS and Glass Lewis), despite the government holding only 30.2% of shares. Following the general meeting, Mr. Francesco Macri became the new Chairman of the Board and Mr. Lorenzo Mariani the new CEO. On May 8th, Covering analyst David Perry hosted a virtual roadshow with Leonardo's CFO, Giuseppe Aurilio, who indicated he does not expect any change to Leonardo's strategy and current Industrial Plan following the management changes. During the 2Q26 call, the new CEO Mr. Mariani stated that he intends to stick to the Industrial Plan (IP) that was introduced under the previous CEO but stressed the need to accelerate many of its initiatives (eg. better execution, accelerated programme development). J.P. Morgan European A&D team welcomed these remarks. LDO remains one of David's top picks in European Defence.

Workspace	OW	Office REITs	Neil Green, CFA	11%	Saba Capital demanded a managed wind-down of Workspace's portfolio and the return of capital to shareholders within a year, citing the company's persistent trading discount and poor share price performance. The board rejected the proposal as unachievable; Workspace replaced its CEO in January 2026. In May 2026, Saba called a vote to install its own board to oversee the wind-down. Covering analyst Neil Green agrees with the new management team's assessment that the portfolio is made up of quality buildings in good locations with long-term structural demand, and also that the opportunity lies in repositioning (and elevating) the offer. However, this repositioning will take some time, with the market likely wanting to see progress here before re-engaging. Neil believes the company's 1Q27 operational update was "encouraging". During the update, the group also reiterated that it has >£200m of assets currently marketed for sale, and is considering an additional £100m+.
Bunzl	OW	Trading Companies & Distributors	Jane L Sparrow	2%	On June 15, Elliott Management announced that it had acquired a 5% stake in the company and was advocating for share buybacks and a strategic review focused on Bunzl's North America business (which could potentially be spun off and sold to a financial sponsor, according to the Financial Times). As covering analyst Jane Sparrow notes, 2025 was a challenging year for Bunzl, marked by an April profit warning—driven by its North American division—and a pause in its share buyback programme. However, Jane does not believe the model is broken or that the investment case is fundamentally impaired: she expects a return to modest organic growth in FY26e, a 10 bps decline in operating margin, continued strong cash generation, and improving returns on capital—a combination she believes will lead to a re-rating of the shares.

Source: J.P. Morgan, Bloomberg Finance L.P. [Link](#) to YouGov First Principles. [Link](#) to Workspace's decision to reject Saba's proposals.

ESG Backlash - A Reality Check on Climate Commitments & Shareholder Proposals

The perception of the “ESG Backlash” sometimes outweighs its reality. To provide a reality check, we updated our “Holding the Line” report, published at the end of last year, to provide a bottom-up perspective on the so-called “greenlash” i.e. negative developments on corporates’ climate commitments. We also analyzed trends in the 2026 Voting season.

Climate Commitments: EU companies are still ‘holding the line’: Our findings are broadly mirror those from last year: The majority of companies (88%) have left their targets untouched since 2024, with only 12% making any revisions at all. Only 3% of companies in our sample (12 firms) lowered their climate commitments, while 7% (33 firms) strengthened them. Like last year, downgrades and “mixed” revisions tend to be concentrated in high-emitting sectors, notably oil & gas. Exogenous factors and strategic realignment are the main drivers of downgrades, while SBTi (re)validation is the main driver of upgrades.

2026 Voting Season: Fewer Proposals, Sharper Focus: While there was a significant slowdown in the number of shareholder proposals globally over the past two years, from about 1,500 in 2024 to c.1,250 in 2026, this season also revealed continued investor focus on core topics such as shareholder rights and executive pay, with significant regional divergence behind the headline numbers. In Europe, The proportion of E&S proposals remains higher than in the US, and average support for E&S resolutions has held broadly stable since 2023. The proportion of shareholder proposals that are adopted is also significantly higher than in North America. Opposition to management proposals spans a wider range of topics, with board composition and director elections the leading source of shareholder pushback. We flag that Shareholder resolutions on artificial intelligence have accelerated since 2024, though the topic remains predominantly a North American phenomenon. The 2026 proposals show a growing emphasis on the social and societal implications of AI — covering labour and workforce impact, human rights, and misinformation. The 2026 AGM season saw some friction around climate-related resolutions in the oil and gas sector, suggesting continued investor vigilance on climate disclosures.

An Update on Corporate Climate Targets: Still “Holding the Line”

In this section, we present updated findings from our “[Holding the Line](#)” report, published at the end of last year, which tracked climate commitment (and potential rollback) trends in Europe, providing a bottom-up perspective on the so-called ‘greenlash’.

A reminder of our methodology

Our analysis is based on the public disclosures of 479 European companies covered by J.P. Morgan as of August 2026, excluding financial institutions. For each company, we used AlphaSense to identify announcements made between October 2025 and August

2026 regarding their climate targets, supplemented by manual checks. This methodology allows us to capture trends in decarbonization commitments beyond those validated by SBTi (last year, we [found](#) that 29% of European companies in our sample had decarbonization targets that were not SBTi-validated). We define decarbonization commitments as targets for reducing scope 1, 2, and 3 emissions, as well as targets for low-carbon capital expenditures and the share of battery electric vehicles (BEVs) in new vehicle sales.

Key findings: no inflection vs. last year

Four key findings stand out from this year's analysis, which broadly mirror our findings from last year:

1. The majority of companies (88%) have left their targets untouched since 2024, with only 12% making any revisions at all.
2. Only 3% of companies in our sample (12 firms) lowered their climate commitments, while 7% (33 firms) strengthened them.
3. Like last year, downgrades and "mixed" revisions tend to be concentrated in high-emitting sectors, notably oil & gas.
4. Exogenous factors and strategic realignment are the main drivers of downgrades, while SBTi (re)validation is the main driver of upgrades.

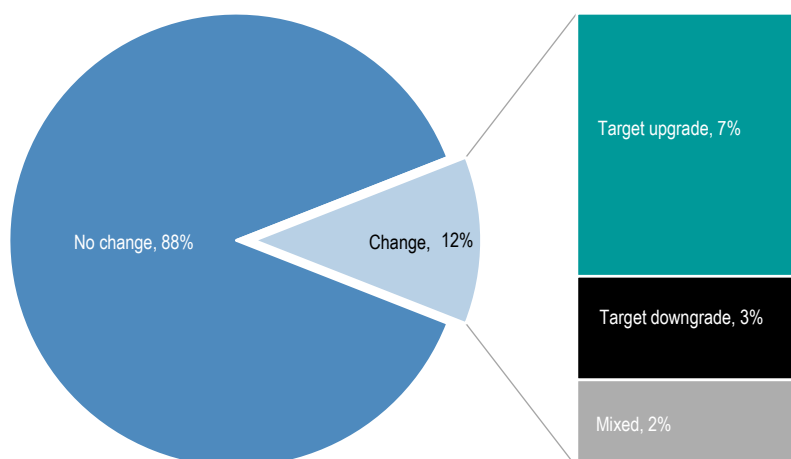
Targets largely unchanged

Like last year, one of the main takeaways from this year's analysis is one of stability rather than retreat. Of the 479 companies we reviewed, 423 (88%) left their decarbonization targets unchanged, and only 56 companies (12%) made any changes at all. The proportion of companies leaving their targets untouched is slightly above last year's levels (67%), which may be partly due to companies' expectations that they will need to adapt to the new SBTi Net Zero Corporate Standard by early 2028 — for those with SBTi-validated targets — and were therefore waiting for SBTi to release its updated standard.

More upgrades than downgrades

Among the 56 companies that revised their targets since 2024, 33 strengthened their ambitions while only 12 reduced them. Consistent with the framework applied previously, we classify as upgrades actions such as adding new long-term or interim goals, deepening planned emissions cuts, bringing target years forward, or moving from intensity- to absolute-based targets; and as downgrades actions such as deferring target dates, reducing the scale of planned reductions, or withdrawing a target altogether. The remaining 11 revisions were classified as 'Mixed', capturing cases where companies made multiple changes — some representing upgrades, others downgrades.

Figure 34: Only 3% of companies in our sample have downgraded their climate targets since 2024
 Split of companies between 'No change', 'Change', 'Upgraded Target', 'Downgraded Target', and 'Mixed changes' (%)



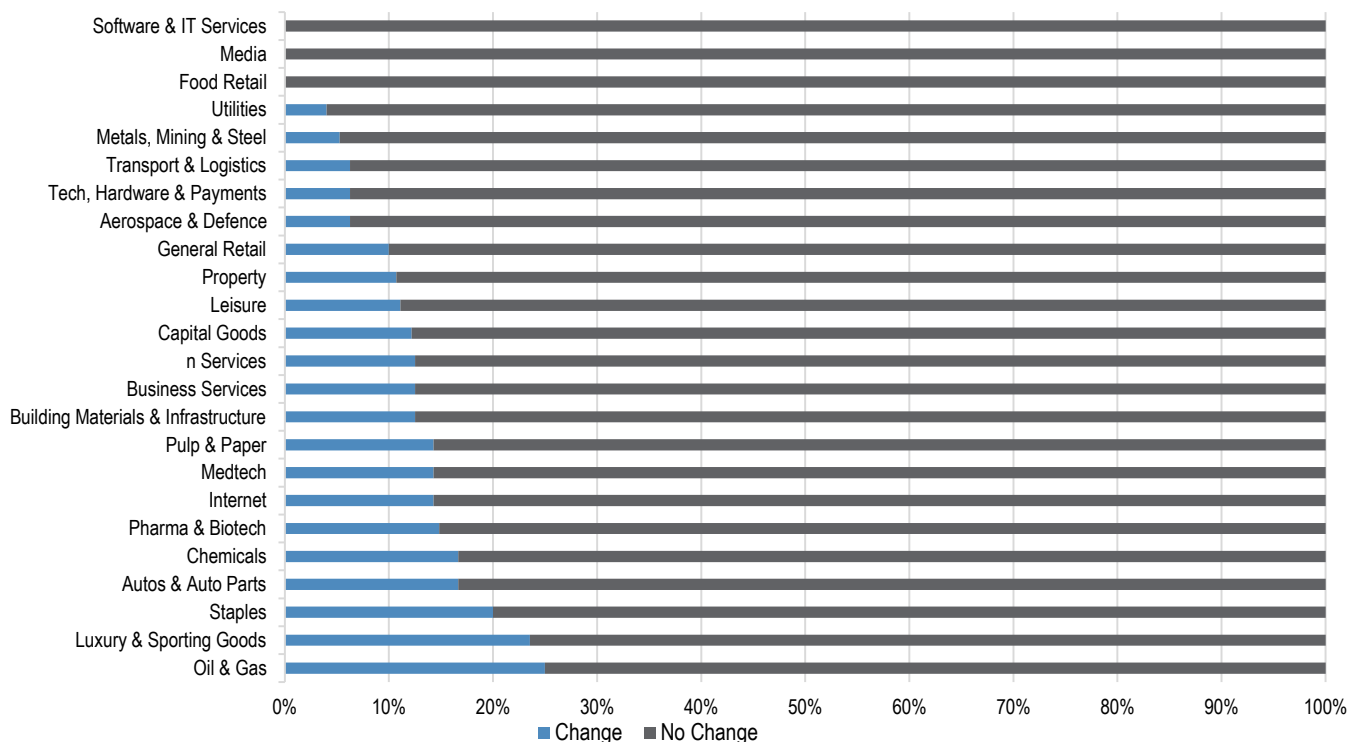
Source: J.P. Morgan, based on company reports

Changes were unevenly distributed across sectors

Upgrades were broadly dispersed across sectors, while downgrades remained concentrated in a narrow set of industries. Strengthened commitments spanned Staples (5), Chemicals (4), and Capital Goods, Pharma & Biotech, and Services (three each). Downgrades, by contrast, were concentrated in a handful of high-emitting industries. Oil & Gas dominated, accounting for all four of the sector's revisions as downgrades, while Leisure (2) and Capital Goods (2) were the only other sectors registering more than a single downgrade. Mixed revisions were similarly concentrated in capital-intensive or asset-heavy sectors — most notably Property and Autos, which contributed two companies each.

Figure 35: Oil & Gas stands apart — both in the number of revisions and their direction

Split of companies between 'No change' and 'Change', by sector (%)



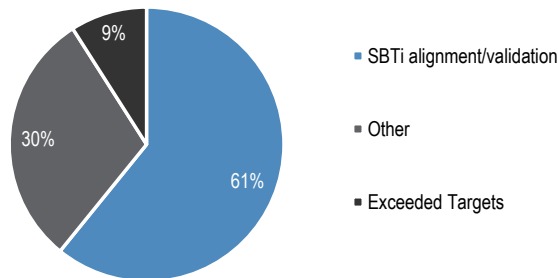
Source: J.P. Morgan, based on company reports

Behind the numbers: why companies revised their targets

Like last year, SBTi alignment or revalidation was the dominant driver of upgrades, accounting for 61% of cases (20 of 33 firms). Companies exceeding their existing targets played a more modest role at 9% (3 firms), with the remaining 30% attributable to a broad 'other' category encompassing newly added targets and methodology adjustments. By contrast, downgrades are typically driven by exogenous factors (4 companies), strategic realignment, growth, or M&A considerations (5 companies), while three invoked both exogenous and internal factors.

Figure 36: SBTi alignment accounted for the majority of upgrades...

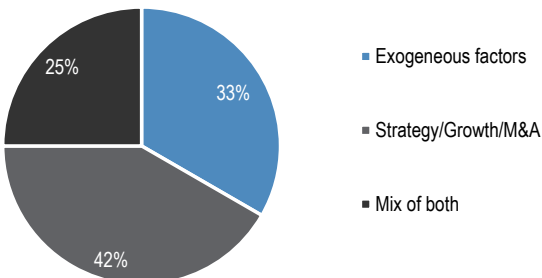
Split of companies that upgraded their target, by reason for the upgrade (%)



Source: J.P. Morgan, based on company reports

Figure 37: ...While downgrades are typically driven by exogenous factors and strategic realignment

Split of companies that downgraded their target, by reason for the downgrade (%)



Source: J.P. Morgan, based on company reports

Table 11 below provides further detail on the companies that downgraded their climate targets since 2024, including the justifications they cited.

Table 11: Companies in J.P. Morgan EMEA coverage that have downgraded their climate targets since 2024

Reason	Company Name	Ticker	JPM Rating	Sector	Details
Exogenous Factors	Evoke	EVOK LN	N	Leisure	Extended its scope 3 net-zero ambition target date from 2035 to 2045, citing "the pace of external market transition, supplier readiness and evolving best practice".
	PPHE Hotel Group	PPH LN	N	Leisure	Revised its net zero target year from 2040 to 2050, stating "this updated timeframe aligns with anticipated decarbonisation trajectories across the hospitality sector and allows sufficient time for supply chain partners to adapt".
	Stellantis	STLAM IM	N	Autos & Auto Parts	Following a leadership change in 2025, Stellantis updated its climate targets, revising its 2030 GHG emissions reduction goal to 20-30% from a previously stated 30%, against a 2021 base year, while retaining its carbon net zero target for 2050. The company stated that: "this strategic reassessment reflects a revised view on the expected pace of the energy transition across markets, customer purchasing behavior, affordability considerations, infrastructure readiness and incentive frameworks."
	TotalEnergies	TTE FP	OW	Oil & Gas	The company indicated in its Sustainability & Climate - 2026 Progress Report: "Based on the current state of scientific knowledge, in light of the growing heterogeneity of energy pathways at the global level, the reliance by forward looking scenarios on assumptions that may not materialize, and the ongoing uncertainties regarding the evolution of global energy demand, worldwide GHG emissions and the effective pace of deployment of low carbon technologies, the Company is not in a position to adopt a transition plan as defined by the European reporting standards and, as a result, cannot formulate "Net Zero" targets in the meaning of these standards." The company had set a net zero commitment in 2020.
Strategy, growth, M&A	AstraZeneca	AZN LN	OW	Pharma & Biotech	AstraZeneca revised its scope 3 emissions reduction target for 2030 from 50% to 35% (vs.2019 baseline), reflecting the firm's "continued growth trajectory".
	Neste	NESTE FH	N	Oil & Gas	Nestle released revised climate targets in Dec 2025, including reducing scope 1 and 2 by 80% by 2040 (previously targeted carbon neutral production by 2035) and extending the timeline for the related interim target of 50% emission reduction from 2030 to 2035. The company indicated: "Neste (...) revises some of its climate targets due to the company's current financial position and streamlined investment portfolio. Reaching the original climate targets by the previously communicated very ambitious target years would have required significant investments that are currently not realistic."
	Pennon	PNN LN	N	Utilities	The company rebaselined its climate targets to incorporate SES Water, revising its scope 1 and 2 emissions reduction target to 63% by 2032/33 from a 2021/22 base year, down from a previously stated target of 68%.
	Repsol	REP SM	N	Oil & Gas	At its 2026 CMD, the company announced a reduction in its low-carbon power generation target for 2030, from 15-20GW to 10GW, as part of a strategic shift toward a self-financed model for low-carbon generation. It also revised its CII reduction target for 2030 downward, from 28% to 25% ±1%, citing "due to the update of the 2026-2028 projections."
	Vestas	VWS DC	OW	Capital Goods	In 2025, Vestas announced a commitment to halve its CO ₂ emissions by 2030 relative to a 2022 baseline, replacing a previous carbon neutrality goal (covering scope 1 and 2) by the same date. While we could not identify a clear justification for this change in its FY25 annual report, we note that the company attributed its failure to meet its 2025 interim target to recent acquisitions: "The projections during the last reporting period indicated that we would not reach the original 2025 target to reduce Scope 1 & 2 GHG emissions by 55 percent. Not reaching the target originally defined in 2019 is mainly related to the acquisition of the offshore business at the end of 2020, whereby our scope of activities increased significantly."
Mix of both	Anglo American	AAL LN	UW	Metals, Mining & Steel	Anglo American announced a recalibration of its climate targets citing 'major structural changes', encompassing: (1) an adjustment to its baseline year for scope 1 emissions; (2) a narrowing of its carbon neutrality goal to all operations excluding Kumba, from all operations previously; and (3) a shift from an absolute scope 3 emissions target to an intensity-based target covering the use of its premium iron ore in steel production. The company stated that "our approach reflects our intent to grow our production of future-enabling metals and minerals, and recognises the internal and external dependencies on our ability to reduce our emissions footprint".
	Burberry	BRBY LN	UW	Luxury & Sporting Goods	Extended overall net zero target from FY 2039/40 to FY 2049/50, citing a "greater understanding of GHG emissions across our value chain, investment in our data capabilities and the latest science-based methodologies, while considering progress across the industry and wider economy."
	Equinor ASA	EQNR NO	UW	Oil & Gas	Equinor removed its target of 10-12 GW of installed renewable capacity, replacing it with a commitment to "increase power production to more than 20 terawatt-hours by 2030", while also raising its Norwegian Continental Shelf production outlook for 2030 and 2035 by 100,000 BOE per day. At its 2026 Capital Markets Day, the company framed these changes as part of a more disciplined capital allocation policy, while also noting that "businesses that want to decarbonize (...) invest in decarbonization at a slower pace than we thought some years ago, or what they indicated in market surveys they wanted to do in the past".

Source: J.P. Morgan, based on company reports and Alpha Sense. Rating as of Sept 01, 2026.

Looking ahead: the impact of SBTi on future target setting

With an estimated two-thirds of companies in last year's sample setting their targets in line with the SBTi framework, recent changes to the SBTi Corporate Net Zero Standard could have implications for a wide range of companies in our coverage (see our Flash Notes [here](#) and [here](#)). The new framework offers increased flexibility, particularly regarding scope 3 emissions and the adoption of a best-effort approach, which we expect will continue to attract companies and potentially encourage more participation from high-emitting sectors. However, as highlighted during a recent [expert event](#) with the consultancy ERM, the updated standard also introduces greater demands for documentation and governance, and the requirement to unbundle scope 1 and 2 emission targets may present additional challenges. **Overall, we anticipate a modest increase in the number of companies setting SBTi targets over the next two years, accompanied by a significant reset in target-setting methodology, performance, and progress.** We are also monitoring ongoing developments related to the [investigation](#) by Florida's Attorney General into the initiative for alleged antitrust and consumer violations, though we note that there have not been any significant updates to our knowledge.

Insights from the 2026 Voting Season

We provide below a summary of our Flash Note: 2026 Voting Season Tracker: Fewer Proposals, Sharper Focus (July 8, 2026). Please refer to the [note](#) for more details.

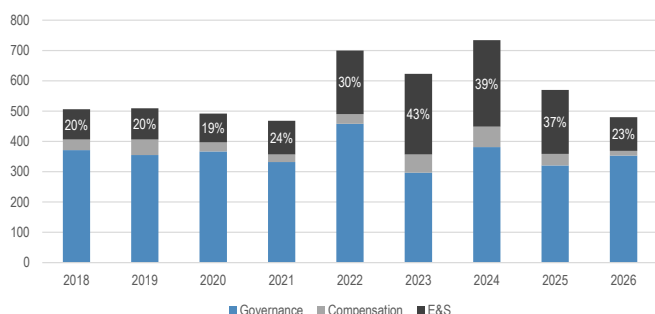
Cross-Regional Perspectives: Fewer Proposals, Sharper Focus, Diverging Priorities

According to Bloomberg data, there was a significant slowdown in the number of shareholder proposals globally over the past two years, from about 1,500 in 2024 to c.1,250 in 2026 (year-on-year comparison, with data stopped at July 30 for all years). However, this season also revealed continued investor focus on core topics such as shareholder rights and executive pay, with significant regional divergence behind the headline numbers:

North America: Governance proposals have increased but not sufficiently to offset a sharp fall in environmental, social, and compensation filings, bringing overall proposal volumes to a [five-year low](#). About 10% of shareholder proposals are adopted, a structurally lower figure than pre-2022 levels. Support for governance proposals has broadly plateaued (though remains high on topics such as [board](#)), while the strongest shareholder opposition to management centres on compensation-related topics. According to [ISS](#), the SEC's decision to stop issuing views on most no-action requests has deterred proposal filing more than it has encouraged exclusion by companies.

Figure 38: Number of ESG proposals: North America

Split between governance, compensation, and environmental & social topics (%)

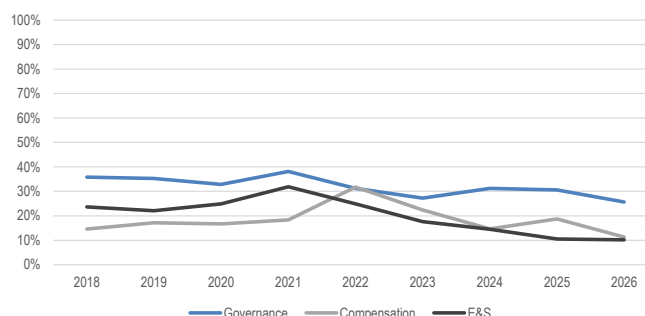


% labels denote E&S as a share of total ESG proposals

Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

Figure 39: Level of shareholder approval on ESG resolutions: North America

Average approval rate (%)



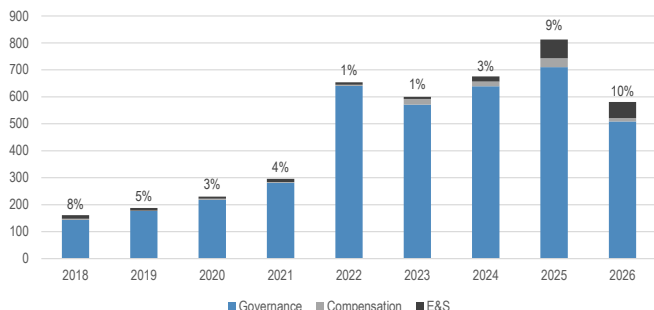
Calculated as FOR votes divided by the sum of FOR, AGAINST, and ABSTAIN votes.

Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

Europe: Bloomberg data suggest a modest year-on-year decline in proposal volumes, spread relatively evenly across governance, environmental, social, and compensation topics — consistent with a lower degree of polarisation on these issues than in North America. The proportion of E&S proposals remains higher than in the US, and average support for E&S resolutions has held broadly stable since 2023. The proportion of shareholder proposals that are adopted is also significantly higher than in North America (30% on average since 2018 – excluding the COVID-19 pandemic). Opposition to management proposals spans a wider range of topics, with board composition and director elections the leading source of shareholder pushback.

Figure 40: Number of ESG proposals: Europe

Split between governance, compensation, and environmental & social topics (%)

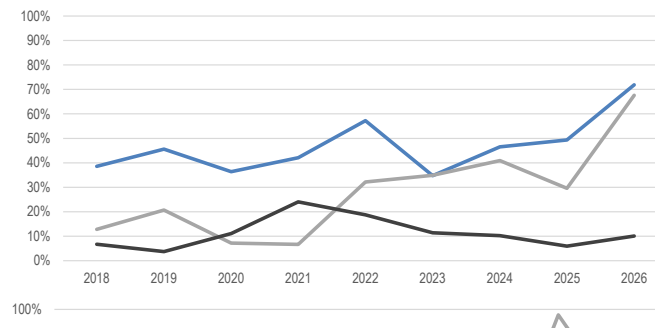


% labels denote E&S as a share of total ESG proposals

Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

Figure 41: Level of shareholder approval on ESG resolutions: Europe

Average approval rate (%)



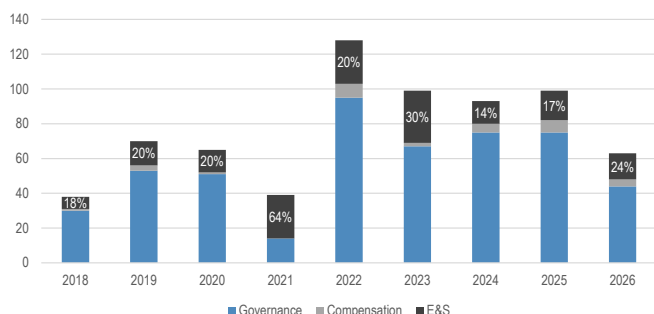
Calculated as FOR votes divided by the sum of FOR, AGAINST, and ABSTAIN votes.

Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

APAC: Initial data also suggests a modest year-on-year decline in proposal volumes, though environmental and social proposals have accounted for a higher share of total resolutions over the past two years. Approval rates for shareholder resolutions remain structurally higher than in other regions, partly reflecting the influence of controlling shareholders on voting outcomes. Ongoing corporate governance reforms continue to create fertile ground for both activist stewardship, particularly in markets such as Japan and South Korea.

Figure 42: Number of ESG proposals: APAC

Split between governance, compensation, and environmental & social topics (%)

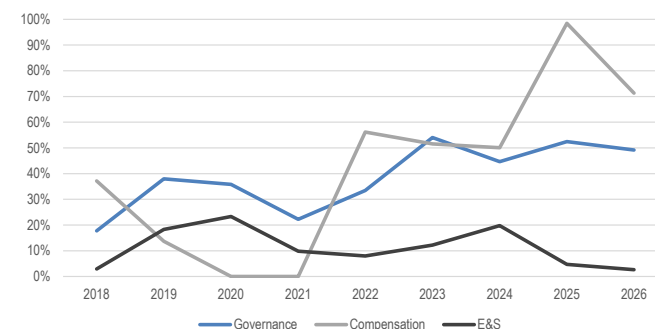


% labels denote E&S as a share of total ESG proposals

Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

Figure 43: Level of shareholder approval on ESG resolutions: APAC

Average approval rate (%)



Calculated as FOR votes divided by the sum of FOR, AGAINST, and ABSTAIN votes.

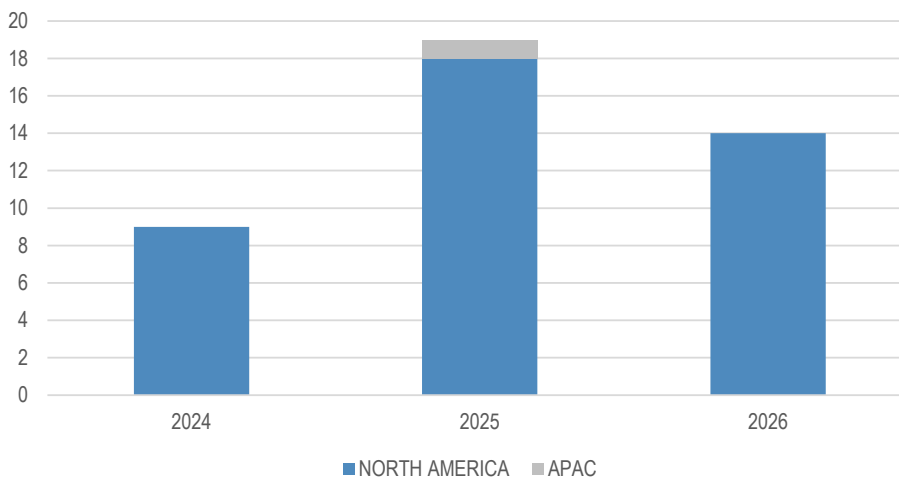
Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

Thematic Spotlight: AI, Passive Voting, & Climate

AI-related proposals: “S” a growing focus in 2026. Shareholder resolutions on artificial intelligence have accelerated since 2024, though the topic remains predominantly a [North American phenomenon](#), with Big Tech continuing to receive a majority of the proposals filed (though a campaign was also [launched](#) at major Canadian banks to limit the use of AI in decision-making and risk-management). By contrast, Bloomberg data show no adopted AI-related proposals in Europe so far and only one in APAC in 2025, though Glass Lewis [anticipates](#) AI governance and cybersecurity board oversight to be a growing focus in Europe, suggesting the topic may broaden geographically in coming seasons. In the US, the most recurring themes have centered on data privacy and usage, AI governance frameworks, and responsible AI practices. The 2026 proposals show a growing emphasis on the social and societal implications of AI — covering labour and workforce impact, human rights, and misinformation.

Figure 44: AI-related shareholder resolutions remain predominantly a North American phenomenon (for now)

Number of AI-related shareholder resolutions by year and region



Source: J.P. Morgan based on Bloomberg L.P. Data as of July 30 for all years.

Towards a neutralization of passive voting? In a recent meeting of the SEC’s Investor Advisory Committee, Commissioner Hester M. Peirce [raised](#) two related questions about voting by passive index funds: 1) whether pass-through voting — delegating voting decisions to fund investors — is compatible with an adviser’s fiduciary duty to the fund itself; and 2) how mirror voting, which consists of voting passive shares in the same proportion as the remaining shares are voted, could serve fund interests in practice. While there is still [debate](#) on practical implementation of mirror voting, the underlying goal of outcome neutrality seems broadly [supported](#). Some practitioners have [flagged](#) that the ongoing shift away from a centralised stewardship model has started to influence voting and engagement dynamics, though evidence of impact on voting outcomes remains limited at this juncture — partly reflecting the still modest take-up of pass-through voting (see our [primer](#) on shareholder activism for more detail).

An eventful AGM season for European O&G suggests continued investor vigilance on climate disclosures: The 2026 AGM season saw some friction around climate-related resolutions in the oil and gas sector. BP management’s [proposal](#) to revoke two legacy climate resolutions — requiring the company to report on climate-related disclosures — was [rejected](#) by shareholders, with [52.53%](#) voting against. A few weeks later, a shareholder proposal calling on [Equinor](#) to disclose how its value creation strategy would perform “under scenarios of declining demand for oil and gas” was rejected, though secured support from 21% of independent shareholders, according to Responsible Investor. A similar proposal at Shell received only [13%](#) support. Outside the O&G sector, the picture was more constructive: say-on-climate votes at Ferrovial ([advisory vote](#) on its Climate Strategy Report), Aena ([advisory vote](#) on its updated Climate Action Plan), and Icade ([update](#) on goals and progress with respect to climate transition and biodiversity preservation) were widely adopted, suggesting that investor appetite for climate disclosures and accountability remains significant.

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